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What's News

Business & Finance

◆ **Shell is in talks to acquire BP** in what would be a landmark combination of two supermajor oil companies, potentially the largest such deal since the merger that created Exxon Mobil in 1999. **A1**

◆ **The U.S. took a step** toward easing some financial-crisis-era bank restrictions, proposing to let the largest lenders free up some of the capital they hold for times of market turmoil. **B1**

◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 unchanged and the Nasdaq rising 0.3%, leaving both within 1% of their records. The Dow fell 0.2%. **B10**

◆ **Sales of new single-family homes** sank in May amid continued concerns over high mortgage costs. **A2**

◆ **A mediator proposed** that Trump and Paramount Global settle the president's lawsuit against the media company's CBS News division for \$20 million. **B1**

◆ **Mark Zuckerberg** poached three OpenAI researchers to join Meta's superintelligence efforts, a recruiting coup intended to help steer the company out of an AI crisis. **B1**

◆ **Tesla's sales in the EU** fell steeply in May, continuing a downward trend even as the bloc's electric-vehicle market shows signs of growth. **B4**

◆ **The EU said it would** investigate in depth Mars's bid to take over Kellanova, escalating its probe into the nearly \$30 billion deal over competition concerns. **B3**

◆ **Dating company Bumble** said it would lay off about 30% of its workforce, or roughly 240 employees, aiming to become more agile. **B3**

World-Wide

◆ **Trump shifted** his stance on NATO, calling the alliance "not a rip-off" after a summit in the Netherlands, as European leaders used flattery and focused on increased military spending to satisfy him. **A1**

◆ **Democratic socialist** Zohran Mamdani's near-certain win in the New York City Democratic primary for mayor left financiers wondering what it might mean for their industry. **A1, A2**

◆ **China told its rare-earth industry** to identify employees with technical expertise, aiming to ensure they don't pass trade secrets to foreigners. **A1**

◆ **Trump doubled down** on claims that U.S. strikes crippled Iran's ability to pursue a nuclear bomb, rejecting the a leaked preliminary intelligence report that found the hits only delayed Tehran's efforts for a few months. **A6**

◆ **Health Secretary** Robert F. Kennedy Jr.'s new panel of vaccine advisers will re-evaluate the recommended vaccine schedule for children and teens, including for measles. **A3**

◆ **Britain said it would** acquire a squadron of U.S. jets capable of carrying nuclear weapons as it looks to beef up deterrence in Europe in light of a growing Russian threat. **A10**

◆ **Former Trump lawyer** Emil Bove defended his actions at the DOJ, parrying Democratic accusations that his temperament and ethics disqualified him from serving on an appeals court. **A3**

◆ **A Capitol Hill group** launched a sustainability caucus to back policies that encourage what it calls environmentally responsible commerce. **A4**

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Shell in Early Talks to Buy Rival BP

A deal for BP, valued at some \$80 billion, would help Shell to challenge competitors

Shell is holding early-stage talks to acquire rival BP in what would be the largest oil deal in a generation, people

By Ben Dummett, Lauren Thomas and Jenny Strasburg

familiar with the matter said. Talks between company representatives are active, the people said, and BP is consid-

ering the approach carefully. Acquiring BP would put Shell on firmer footing to challenge larger competitors such as Exxon Mobil and Chevron. It would be a landmark combination of two so-called supermajor oil companies, a group of multinational behemoths that dominate production of the world's most important energy sources.

Potential terms of any deal couldn't be learned, and a tie-up is far from certain, the people familiar with the matter said. Bankers working on behalf of the companies have been engaged in the discussions, which are moving

slowly, the people said.

Shell said after The Wall Street Journal reported the talks that the report "is further market speculation. No talks are taking place." U.S.-listed shares of BP ended the day 1.5% higher, while in London, Shell shares fell 0.8%.

A BP spokesman declined to comment.

BP is currently valued at around \$80 billion. Taking into account a premium, a deal could end up as the largest corporate oil deal since the \$83 billion megamerger that created Exxon Mobil at the turn of the century. It would also easily be the biggest M&A

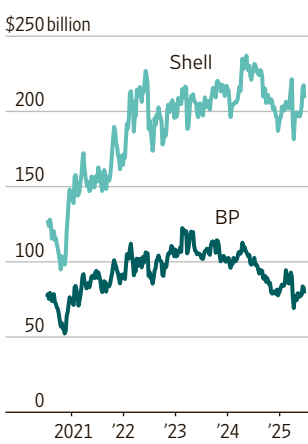
deal of the year, so far, in a market that has been rattled by Trump's trade war and other geopolitical tensions.

Shell comes into the talks operating from a position of strength, with its stock sharply outperforming BP in recent years. Shell, which like BP is based in the U.K. but has operations around the world, has a market value of more than \$200 billion.

BP has been the laggard among major oil companies after an ill-fated push away from fossil fuels into renewable energy. It has also suffered years of management upheaval and

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Market value



Source: FactSet



President Trump basked in praise from European leaders at the summit at The Hague. He is flanked at a meeting by U.K. Prime Minister Keir Starmer, left, Dutch Prime Minister Dick Schoof, standing, and NATO Secretary-General Mark Rutte, right.

Trump Warms to NATO, Won Over By More Military Spending, Flattery

THE HAGUE—What a difference one night in a Dutch palace can make.

President Trump departed Washington early Tuesday in a bad mood, swearing at Israel

By Annie Linskey, Alexander Ward and Daniel Michaels

and Iran for endangering the cease-fire he had brokered and sweating from a heat wave blanketing the capital.

Once he settled into his royal digs here, where temper-

atures dipped into the 60s, the cease-fire was holding and he basked in praise from European leaders he had clashed with for years.

"I came here because it was something I'm supposed to be doing," said Trump during an hourlong news conference at the end of his brief trip to the Netherlands. "But I left here a little bit different."

The biggest difference was his new verdict on the North Atlantic Treaty Organization.

"It's not a rip-off," Trump said, reversing his past broad-

sides against the alliance.

Trump even got a pass on his profanity from NATO Secretary-General Mark Rutte, who compared the Iran-Israel situation to disciplining children, explaining, "Daddy has to sometimes use strong language."

The first NATO summit of Trump's second term indicates he and his European counterparts have finally reached an understanding: If allies pay more for their own defense, the U.S. will remain a committed leader of NATO. In a bonus for Europeans, Trump bashed

President Vladimir Putin of Russia as the main reason war still rages in Ukraine.

"Vladimir Putin has been more difficult," Trump said. "Vladimir Putin really has to end that war."

But getting to this point took immense effort, and some European officials privately bristled at how much this year's summit was geared toward personally satisfying Trump.

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◆ **Intelligence on damage to Iran remains murky..... A6**

Wall Street Frets Over Prospect of A Socialist NYC Mayor

On Wednesday, the world's epicenter of capitalism woke up to find it might soon have a socialist mayor.

By Kevin T. Dugan, Gregory Zuckerman and Brian Schwartz

Democratic socialist Zohran Mamdani's nearly certain win over former Gov. Andrew Cuomo in the New York City Democratic primary for mayor shocked Wall Street. Some of the world's most influential and powerful financiers were left grasping to understand what a potential Mamdani mayoralty would mean for their industry—and whether they would leave the city.

"It's officially hot commie summer," Dan Loeb, chief executive of hedge fund Third Point, and a major Cuomo backer, wrote on social-media platform X.

Mamdani's campaign was, up until a few weeks ago, a long shot. On Polymarket, which predicted the outcome of the 2024 presidential election, Cuomo had odds as high as 92.5% on May 27. Negative ads against Mamdani paid for by Wall Street-funded super political-action committees, as well as also-ran candidate Whitney Tilson—himself an investor—blanketed airwaves and filled residents' mailboxes.

Mamdani's platform includes

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◆ **Primary results jolt party leaders..... A2**

China Puts Rare-Earth Experts on Tight Leash

By JON EMONT

China has told companies in its rare-earth industry to give the government lists of employees with technical expertise, aiming to ensure they don't divulge trade secrets to foreigners.

The queries point to the growing geopolitical significance of China's control over the materials, which are widely used in cars, electronics and weapons and stand at the center of the U.S.-China trade war.

China's Ministry of Commerce in recent weeks asked rare-earth companies based in China for personnel lists that include specialist employees' specific expertise, education, research background and personal information, people familiar with the queries said.

The goal, the people said, is to develop a formal catalog of Chinese nationals with rare-earth expertise and keep tabs on these employees to make sure they don't travel abroad and reveal secrets.

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INSIDE



U.S. NEWS
Young Americans, squeezed by a challenging economy, are spending less. **A3**



SPORTS
Can a woman run a four-minute mile? Faith Kipyegon is ready to find out. **A14**

The Great Scottish Tea Swindle

How a band of brew-swilling detectives brought down Scotland's 'Mr. Tea'

By ALISTAIR MACDONALD

When Ron McNaughton was asked to investigate an entrepreneur claiming to sell Scottish tea, he had one thought.

"You can't grow tea in Scotland," the former police detective remembers thinking of a plant normally grown in notably hotter and sunnier climates of China and India.

Thomas Robinson's The Wee Tea Plantation business

was feted for cultivating novel homegrown brews sold in some of Britain's most exclusive hotels and stores. The self-styled "Mr. Tea" even claimed the late Queen Elizabeth II as a fan.

But his story sparked questions about the provenance of his product, setting off a seven-year probe that took investigators from Scottish fields to a Parisian cafe and a Missis-

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Even Buffett Hasn't Fixed RV Breakdowns

Forest River averages 50 recalls a year, many from manufacturing errors

By RYAN FELTON AND JOHN KEILMAN

Jay Nelson was driving away from a picturesque Montana state park in 2020 when he saw smoke in his rearview mirror.

It was coming from the Forest River recreational vehicle he was towing. Nelson, a longtime Montana highway patrolman, got his three daughters to safety, then he and his wife grabbed a fire extinguisher.

He later blamed the incident on a wiring defect. The trailer suffered hundreds of dollars in smoke damage. Nelson said it could have been much worse.

"That could have easily cost the life of my children, my wife, or me," he said.

RVs are the ticket to an itinerant, back-to-nature lifestyle for millions of Americans. Behind those

footloose dreams, however, are vehicle-quality problems that have been blamed for injuries and deaths.

Forest River, owned by Warren Buffett's Berkshire Hathaway, is one of the RV industry's Big Three, along with Thor and Winnebago. Over the past decade, those companies have reported more recalls than Detroit's Big Three automakers, even though they make far fewer vehicles.

RVs have to operate as both houses and vehicles. The complexity of that production leads to more recalls, according to Forest River. Executives, consultants and analysts say the RV industry's unique manufacturing practices also play a major role.

Unlike highly automated car plants, RV factories typically rely on workers who

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U.S. NEWS

NYC Primary Result Jolts Party Leaders

Democrats on the left cheer Mamdani as GOP looks to paint his policies as extreme

By JOHN McCORMICK
AND KATY STECH FEREK

Democrats were handed their latest challenge in selling themselves nationally to swing voters following the surprise first-place showing of a democratic socialist in New York City's mayoral primary.

The performance in Tuesday's election by Zohran Mamdani, a 33-year-old state lawmaker, has further emboldened progressives calling for generational and ideological changes within a party now completely out of power in Washington. Voters rejected former New York Gov. Andrew Cuomo, a 67-year-old scandal-tarnished insider who was well funded and backed by establishment figures including former President Bill Clinton and billionaire former New York Mayor Michael Bloomberg.

The election outcome in the nation's most populated city and economic capital of the world left the Democratic Party—already fractured and struggling to challenge Republican President Trump—showing even more directional division ahead of next year's midterm elections.

Trump said on his Truth Social platform that “Democrats have crossed the line” by backing Mamdani. “We’ve had Radical Lefties before, but this is getting a little ridiculous,” Trump posted. “He looks TERRIBLE, his voice is grating, he’s not very smart.”

Polls nationally show that the rising cost of living remains a top issue for voters, and Mamdani—who was backed by Sen. Bernie Sanders (I, Vt.) and Rep. Alexandria Ocasio-Cortez (D, N.Y.)—spoke extensively on the topic. The trio of progressives have emerged as leading voices in the resistance against Trump as Democrats have struggled



Zohran Mamdani spoke during a watch party for his primary election Tuesday night. His campaign stressed cost-of-living issues.

to find a unified message or messenger.

“The old guard establishment of the Democratic Party, fueled by billionaires, did everything they could to defeat Mamdani—and they failed,” Stephanie Taylor, co-founder of the Progressive Change Campaign Committee, said in a statement. “They continue being wrong about everything, and they need to get out of the way and let a new generation lead.”

Voters flocked to Mamdani after he called for freezing rent costs, free city bus rides, public child care for young children, city-owned grocery stores and raising the minimum wage to \$30 an hour by 2030. The primary’s top vote-getter has suggested he would

pay for his costly plans by raising the city’s corporate tax rate and imposing higher taxes on those making more than \$1 million.

Mamdani, who could become the first Muslim to lead New York, has also described Israel’s actions in Gaza as genocide and has defended pro-Palestinian slogans such as “globalize the intifada.”

Mamdani’s success was cheered by progressives, while establishment Democrats and party committees were more muted.

New York Gov. Kathy Hochul, Senate Minority Leader Chuck Schumer and House Minority Leader Hakeem Jeffries praised Mamdani on Wednesday without getting too close to him or

some of his policy positions.

“I look forward to speaking with him in the days ahead about his ideas on how to ensure a safe, affordable, and livable New York City,” said Hochul, once Cuomo’s lieutenant in Albany.

Republicans nationally are gleefully suggesting Mamdani is the new face for Democrats as they present him as out of step with a majority of Americans.

The Congressional Leadership Fund, the super political-action committee associated with House Republicans, on Wednesday called Mamdani the ideal candidate for Democrats and sought to tie him to the platform of the Democratic Socialists of America by suggesting he wants to “abolish

the police, get rid of prisons, abolish medical bills and private health insurance, legalize sex work, end cash bail, and ban all guns.”

A debate about the party’s tone and policy direction is already percolating among prospective 2028 Democratic presidential candidates who, along with others in the party, now must decide how closely they want to be associated with Mamdani.

Some possible candidates, including Illinois Gov. JB Pritzker, who is expected to formally announce a third-term campaign Thursday, have encouraged the party to embrace a progressive path. Others, including Govs. Gavin Newsom of California and Gretchen Whitmer of Michigan, former

Transportation Secretary Pete Buttigieg, and Rahm Emanuel—a White House chief of staff, Chicago mayor and diplomat—are trying to nudge it in a more centrist direction.

The official outcome in New York is still to be determined by a ranked-choice vote, count and the Democratic primary winner will still face competition in the November general election.

Along with the Republican candidate, Curtis Sliwa, and an independent, Jim Walden, the Democratic nominee will need to beat Mayor Eric Adams. The embattled incumbent opted to skip the primary and has said he wants to run in November under party lines he created: “Safe&Affordable” and “EndAntiSemitism.”

U.S. WATCH



WATER BREAK: Visitors cool off in the fountains at the World War II Memorial in Washington.

ECONOMY
New-Home Sales Fell 13.7% in May

Sales of new homes sank in May amid continued concerns over high mortgage costs

Sales of new single-family homes fell 13.7% to 623,000 from a downwardly revised 722,000 in April, according to a Commerce Department report released Wednesday

Sales had been expected to come in at 695,000, according to economists polled by The Wall Street Journal.

Monthly data on sales are volatile and tend to be revised.

Compared with May 2024, sales declined 6.3%, the Commerce Department said.

The estimate for new houses for sale was 507,000, 1.4% above the April estimate and representing supply for 9.8 months at current sales rates.

The new-homes data comes after existing-home sales rose unexpectedly for the first time in three months in May, though held near historically low levels, according to the National Association of Realtors on Monday.

—Ed Frankl

WASHINGTON, D.C.
Powell Says Tariffs Make Fed Cautious

Federal Reserve Chair Jerome Powell said the central bank is taking a more cautious approach to the effects of President Trump’s tariff increases than it did in 2019 because recent increases in tariff rates are much larger and because the economy is coming off a period of much higher inflation.

The Fed cut rates three times in 2019 to cushion the economy against the risks of a sharper slowdown as a trade war with China hurt business sentiment. Inflation was running below the Fed’s 2% target at that time.

“This is different,” Powell told the Senate Banking Committee on Wednesday. Recent tariff hikes are larger, with many more countries facing tariff increases and fewer product exemptions.

While it’s possible that tariff increases will result in a one-time increase in prices akin to an oil price shock that interest-rate policy should look through or ignore, the Fed is moving cautiously to arrive at that judgment, Powell said.

—Nick Timiraos

SOUTH CAROLINA
Lightning Strike Sends 12 to Hospital

A dozen people were taken to hospitals Tuesday after a lightning strike at a South Carolina lake, officials said.

Emergency crews responded to Dominion Beach Park near the Lake Murray Dam and assessed 20 patients, including 12 children, Lexington County officials said. They treated 18 people on the scene and 12 of them went to hospitals, according to county spokesperson Vanessa Diaz.

Their injuries weren’t considered life-threatening, and all of the patients were expected to recover, officials said.

The weather was sunny with some clouds nearby, but not overhead when the strike happened, the Irmo Fire District said. Lightning hit the water as several people were holding on to or swimming near a metal cable and buoys that surround the swimming area, the agency said.

“Everybody got quite a jolt,” the fire agency said. “We’re so fortunate that injuries were not worse than they were.”

—Associated Press

Wall Street Frets Over Election

Continued from Page One

increasing taxes on those making more than \$1 million a year. He has said he would make the city more affordable by freezing rents on rent-stabilized apartments, investing \$70 billion in publicly subsidized housing, providing free bus service and opening government-operated grocery stores.

Cuomo’s lock on Wall Street was all but taken for granted. He had the loud backing from billionaire figures such as Bill Ackman, Loeb and former Mayor Michael Bloomberg, who won three terms as the GOP nominee.

On Tuesday night, Mamdani’s lead became apparent soon after polls closed: A nine-point advantage in early votes held about steady as the day-of voting results came in. The primary results aren’t yet finalized, but Cuomo conceded before the end of the night, leaving open questions of whether he will run in the general election in November.

Wall Street quickly started to worry. “There are a lot of warning signs flashing here. The next mayor here is going to have his hands full,” said Ed Skyler, a former deputy mayor under Bloomberg, who is now an executive at Citigroup.

Some of the financial executives spoke of backing Mayor Eric Adams, who is expected to run in November on an independent line. Financial titans had found Adams an early improvement from his predecessor Bill de Blasio, a Democrat.

Corporate leaders held a flurry of private phone calls to plot how to fight back against Mamdani and discussed backing an outside group with the goal of raising around \$20 million to oppose him, according to people familiar with the matter.

The calls also discussed efforts to coalesce behind Adams and working to keep Cuomo out of the race, the people said. They also discussed trying to

get Republican candidate Curtis Sliwa, to drop out by getting the White House to offer him a job in the Trump administration, the people said.

Not everyone was downbeat about the primary results, though. On CNBC, Philippe Laffont, founder of hedge fund Coatue Management, said the city would likely continue to thrive, arguing it withstood the tenure of de Blasio, who embraced policies that some in the business community opposed.

“We had Mayor de Blasio for eight years, New York is really strong, I’m hopeful the same will happen,” he said on CNBC’s “Squawk Box.” “And there’s still an election.”

Mamdani’s wide support seemed to expose how Wall Street has changed in recent decades. There were more individual donors from major banks to Mamdani than there were to Cuomo, according to city campaign-finance records where donors listed their employers.

But many of them were among the large ranks of tech staff and other nonfinance employees. Three Goldman Sachs software engineers were listed as donating directly to Mamdani. Only one financier at Goldman publicly gave directly to Cuomo, according to the records. Other bankers who quietly supported Mamdani wouldn’t talk on the record. One tried to use a fake name.

The level of support for Cuomo among the moneyed set was so high that viral TikTok videos skewered the phenomenon in recent weeks, as Election Day neared. “You seem like such an alpha,” a woman says in one video to her fictional date with a finance bro. “So, you’re voting for Cuomo, right?”

On Wednesday, bankers and traders were trying to figure out the repercussions of a potential Mamdani mayoralty.

Some voiced concern about Mamdani’s plan to freeze the rent of millions of New Yorkers who live in rent-stabilized apartments, saying it would deter new investment in housing, reduce supply and push up prices for everyone else.

“I can’t believe I even need to say this, but socialism doesn’t work,” said Anthony Pompliano, CEO of Professional

Capital Management, a bitcoin-focused financial-services company. “It has failed in every American city it was tried.”

There were renewed questions about whether Wall Street executives would stay in New York or if Mamdani’s plans for the city would send more financiers to states such as Florida and Texas. Some executives cited concerns about taxes and crime under a potential Mamdani administration as well as fears of rising antisemitism.

“I’m depressed and sad,” said Ricky Sandler, who runs Eminence Capital, a Midtown Manhattan hedge fund, which employs 55 people. “If Mamdani becomes mayor, I will likely move my business and family out of New York.”

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U.S. NEWS

RFK Jr. Panel To Assess Shots For Children

Vaccines including hepatitis B, measles and their timing will get new scrutiny

By Liz Essley Whyte
And Dominique Mosbergen

ATLANTA—Health Secretary Robert F. Kennedy Jr.’s new panel of vaccine advisers will re-evaluate the recommended schedule for vaccines for children and teenagers, including for measles and hepatitis B, its new chairman said Wednesday.

The new slate of advisers met for the first time Wednesday in Atlanta, kicking off a two-day meeting with an agenda partially set by political appointees. Meanwhile, on Capitol Hill, the nominee to lead the Centers for Disease Control and Prevention, Susan Monarez, told senators she believes vaccines save lives and there is no causal link between vaccines and autism.

Kennedy earlier this month dismissed all 17 previous members of the Advisory Committee on Immunization Practices, accusing the panel of conflicts of interest. Several of the new replacements have articulated anti-vaccine positions in the past.

A new working group of the panel in coming months will re-evaluate childhood and adolescent vaccines and their timing, said the committee’s new chairman, Dr. Martin Kulldorff. He said the group may look at vaccines for hepatitis B and for measles, mumps and rubella, or MMR.

“If you have questions or concerns about the safety or efficacy of vaccines, we want to hear them. That is the scientific method,” Kulldorff said. “No questions should be off limits.”

Kulldorff said a working group of the committee would examine whether the hepatitis B vaccine should be given to infants in their first days of life. Doctors in the U.S. typically give the shot to newborns, even if a mother has tested negative for the virus, because of the risk that tests are wrong or other household members carry the virus. While the virus is most often spread through sexual contact or intravenous drug use, it can

also spread through scrapes and cuts. Hepatitis B can be a lifelong infection that leads to liver failure.

Kulldorff also said a working group may re-examine the timing for giving MMR vaccines and consider religious objections to MMR vaccines derived from fetal cell lines. He said the working group may look at an MMR vaccine approved in Japan.

Sen. Bill Cassidy, the Louisiana Republican leading Monarez’s confirmation hearing for CDC director on Wednesday morning, reiterated his call that the Atlanta sessions be postponed, saying that many of the secretary’s appointees lacked the right experience and that some may even harbor biased opinions against vaccines.

“Given that there is no confirmed CDC director, along with an ACIP panel which has very few members, many of whom lack broad vaccine and immunological expertise, there are concerns about the rushed nature of this process,” said Cassidy, chairman of the Senate’s health committee.

The doctor from Louisiana, who cast the deciding vote to advance Kennedy’s nomination as HHS secretary, made his first significant rupture with Kennedy earlier this week when calling for the meeting to be delayed.

Kennedy on Wednesday announced he was withdrawing U.S. funding to Gavi, an international alliance that helps provide vaccines to the world’s poorest children. Monarez told senators she wasn’t involved in that decision but affirmed that vaccines save lives.

“We need to continue to support the promotion of utilization of vaccines,” she said.

The vaccine advisory panel is set Thursday to hear a presentation on thimerosal, a preservative that anti-vaccine activists have often blamed for autism, from Lyn Redwood, a nurse practitioner who is president emerita of Children’s Health Defense, an anti-vaccine nonprofit previously helmed by Kennedy. Anti-vaccine activists have long suspected that thimerosal causes autism. Rates of the disorder have continued to climb even after thimerosal was removed from most vaccines in the early 2000s.

The new panel of vaccine advisers met for the first time Wednesday.

Stressed Generation Z Spends Less

By Rachel Wolfe

Young Americans’ shopping spree is over.

In-store and online purchases for 18- to 24-year-olds fell 13% year-over-year between January and April, according to market research firm Circana. Spending by older groups is still on the rise but has slowed.

A combination of economic challenges is driving the decline. Young grads are having a much tougher time finding jobs. Student-loan payments are restarting for millions of borrowers. Over roughly the past year, credit-card delinquency rates have risen to their highest points since before the pandemic, and are highest for those 18 to 29, according to the New York Federal Reserve.

“This group is struggling more than older cohorts,” said Wells Fargo economist Shannon Grein.

Categories where young people’s spending has fallen the most include apparel (-11%), accessories (-18%), technology (-14%) and small appliances (-18%).

It isn’t uncommon for every generation to struggle at the outset. But they also tend to have fewer major financial obligations and more free cash to spend on entertainment and clothing. And as they move up the career ladder, their spending power ought to increase, economists say.

“It sucks for now,” said Grein at Wells Fargo. “But since younger consumers are not only spending less today but also probably saving less, that could dent their ability to build wealth in the future.”

Bank of America found that spending for Gen Z and millennials fell 1% between May 2023 and May 2025.

“Although a 1% decline doesn’t sound so weak, it should at this stage of younger generations’ life cycle really be rising,” said David Tinsley, a Bank of America Institute economist.

Job insecurity

Sheeta Verma moved from her parents’ house to an apartment in San Francisco six months ago, armed with a list of over 200 bars and restaurants she wanted to try. She has been to fewer than 10. For starters, cocktails are \$20. And even when she is willing to splurge, she can’t count on finding a friend to go with her.

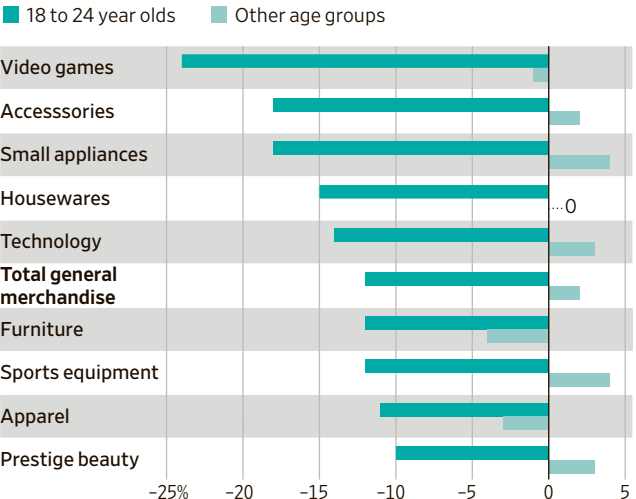
“It’s so disappointing,” said Verma, who is 25.

After getting laid off and spending most of last year job hunting, she was thrilled about her new startup marketing gig, which pays around six figures. But her salary doesn’t go as far as she expected, and she worries about the possibility of losing her

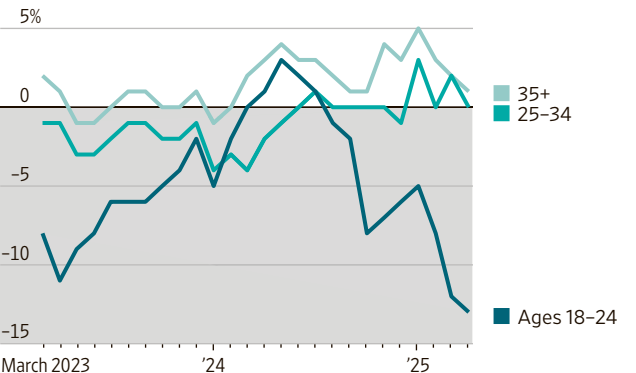


Sheeta Verma, age 25, left, with her younger sister Hiya Verma. Sheetata has a new job that pays around six figures at a marketing startup, but worries about being laid off.

Average weekly spending for select industries, change from a year earlier*



Purchases by age group, change from a year earlier†



*For the four weeks ending April 2025 †Change in three-month rolling average for per-person purchases Source: Circana

job again.

“It feels like every single day I go online and I see a new big tech company has done layoffs,” Verma said.

Most of her friends are similarly fearful, or part of the rising ranks of the unemployed. They have pulled back paying for meals, streaming subscriptions and buying new clothes.

One such friend, Himanshu Wagh, frequents fancy furniture stores for a free place to hang. “We sit on the sofas and when the conversation gets

boring, we move to a different sofa,” said Wagh, a 25-year-old psychiatry resident. “We feel rich drinking their free coffee and enjoying this bougie furniture we can’t afford.”

Although young people make up only a small slice of overall consumer spending, they are an important demographic for retailers to hook.

“The beauty of the younger consumer is they give you longevity and they give you loyalty,” said Marshal Cohen, Circana’s chief retail analyst. They also tend to go on more

frequent, smaller shopping trips, which leads to more impulse buying.

The pullback is especially noticeable for retailers who cater to this demographic.

Online sales for Thread Wallets, an accessories brand that sells primarily to 18- to 29-year-olds, fell 29% over the first three weeks of June compared with the same days in May. “Instead of buying the \$30 wallet, they’re buying the \$16 wallet,” said Ryan King, chief financial officer for the brand.

Financial stress

Skye Bowie, 21, never expected to have a ton of disposable income as a college student. But the closer she has gotten to graduation from New York University, the more financially stressed she has become. She has felt discouraged watching older friends struggle to find work. And she was disappointed when the paid summer internship she had initially lined up fell through.

“You get to this point that, even though you did everything you were supposed to do, the system seems stacked against you,” said Bowie.

Nadia Ford was on track to buy a small condo in Washington, D.C., before she turned 30. The 28-year-old was proud of her six-figure “dream job” at the Department of Health and Human Services and to be contributing regularly to a savings account for her future down payment.

That was before her role as a Presidential Management Fellow was eliminated last month in a round of Department of Government Efficiency cuts. With job prospects in both D.C. and the public-health field more generally looking bleak, she is worried she will have to move back in with her parents in rural Texas.

“I felt like I was where I wanted to be,” said Ford. “Now, that’s off the rails.”

Bove Defends DOJ Tenure in Hearing

By Corinne Ramey

President Trump’s former lawyer Emil Bove defended his actions as a top Justice Department official, including in the corruption case against New York City’s mayor, as he parried Democrats’ accusations that his temperament and ethics disqualified him from serving on a federal appeals court.

“There is a wildly inaccurate caricature of me in the mainstream media,” Bove said during a hearing before the Senate Judiciary Committee. “I am not anybody’s henchman. I’m not an enforcer. I’m a lawyer from a small town who never expected to be in an arena like this.”

Bove, 44 years old, has been nominated by Trump for a seat on the Third U.S. Circuit Court of Appeals. He now serves as principal associate deputy attorney general, and he previously defended Trump in several criminal cases, including during his hush-money trial in New York City. Bove spent about a decade working as a prosecutor in the U.S. attorney’s office for the Southern District of New York, with a focus on national security matters.

Bove has faced fierce opposition from Democrats. They grilled him Wednesday

about his order to drop the bribery charges against Democratic Mayor Eric Adams and a whistleblower complaint accusing him of telling subordinates to disobey court orders related to deporting immigrants. They accused him of having an angry temperament—including while as a prosecutor in New York—that made him a liability to his office.

Sen. Dick Durbin of Illinois, the committee’s top Democrat, said that in selecting Bove, Trump was looking for a nominee who, as a judge, would rule for his policies from the bench.

“He is looking for loyalty,” Durbin said. “He is looking for fierce retribution. He is looking for someone who will instill fear in his opponents. It seems he has found such a nominee in Mr. Bove.”

Over several hours, Bove remained largely calm and collected, although at times he declined to answer questions about internal Justice Department matters,

Trump’s pardons and whether there was any White House involvement in the Adams case.

He denied a whistleblower’s account that he advised officials to tell courts “f— you” to some directives. “I did not advise any Justice Department attorney to violate court orders,” Bove testified.

In February, the Justice Department asked a judge to dismiss the federal bribery case against Adams, saying the case had been politically driven and that it hampered the mayor from helping the Trump administration’s crackdown on illegal immigration. Asked about the matter, Bove said he hadn’t made a “political deal” to drop the charges against Adams.

He told senators that the case “placed an inordinate burden on the mayor’s ability to protect the city” and to campaign for re-election.

The judge ultimately dismissed the case with preju-



Emil Bove spoke before the Senate Judiciary Committee.



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U.S. NEWS

GOP Talks on Megabill Heat Up

Senators try to hit Trump’s July 4 target as Republicans work to resolve differences

By RICHARD RUBIN
AND JASMINE LI

WASHINGTON—Senate Republican leaders kept pressing the gas pedal Wednesday to get their “one big, beautiful bill” passed by this weekend, even while hundreds of billions of dollars in crucial decisions are being negotiated, key senators are holding out, and some House lawmakers are crying foul.

President Trump wants the legislation on his desk by July 4, and Republicans hope the megabill’s perceived inevitability overcomes any momentary implausibility. Senators aim to start votes as soon as Friday on the legislation, which would cut taxes, reduce spending on Medicaid and nutrition assistance, and boost spending on border security and national defense. The House could send the bill to Trump early next week.

For now, there aren’t enough votes for a bill that isn’t finished yet.

“It is this mysterious process of trying to be able to move specific ideas through 53 other people and trying to be able to get ideas and opinions,” said Sen. James Lankford (R., Okla.). “And where do people land? It’s a moving target.”

Changes expected

Senators aren’t quite ready to vote and they expect to change the legislation in the coming days. Several senators, including Josh Hawley (R., Mo.) and Dan Sullivan (R., Alaska), said they want to be able to review the whole bill before taking the first procedural step—a vote to open debate.

“Our guys are all going to keep advocating for what they



TING SHEN/AGENCE FRANCE PRESSE/GETTY IMAGES

‘It’s a moving target,’ Sen. James Lankford (R., Okla.) said of the GOP effort to reach a deal.

want, til the final minute, til we pass it,” said Sen. John Hoeven (R., N.D.) “That’s how it works.”

Senate Republicans need support from at least 50 of their 53 members, a task that is proving to be challenging. Sen. Rand Paul (R., Ky.) is expected to vote “no” because of

a debt-limit increase. Sens. Ron Johnson (R., Wis.), Rick Scott (R., Fla.) and Mike Lee (R., Utah) are seeking further savings in the bill—from bigger spending cuts to faster expiration of clean-energy tax credits.

But moving the bill in their direction could risk others’ votes. Sens. Thom Tillis (R., N.C.), Hawley and Susan Collins (R., Maine) are already arguing that the bill’s Medicaid cuts go too far. They are resisting the Senate leadership proposal to limit a state mechanism that increases federal

Medicaid funding, and they are trying to get money to shore up rural hospitals.

“I don’t think we’ve landed the plane on the rural hospitals,” Hawley said Wednesday, arguing that a \$15 billion fund spread over many years wouldn’t be enough.

Senators expect the House to accept whatever they produce, dismissing GOP representatives’ concerns about budget deficits, Medicaid cuts, clean-energy tax credits and the state and local tax deduction, or SALT. In each case, however, those provisions might look substantially different from the version that the House passed last month, and the House could reject or change it.

“It ain’t good where it is,” said Rep. Chip Roy (R., Texas).

Trump and GOP leaders are trying to get the bill finished by Independence Day, a date

with symbolic importance but little policy significance. The tax cuts getting extended in the bill don’t expire until Dec. 31. The debt-limit increase in the bill isn’t needed until August at the earliest.

But failure to hit the July 4 deadline could frustrate Trump. And Republicans can’t countenance an expiration of the tax cuts at year’s end, which would mean higher costs for most households.

Beyond that, if Republicans can’t get the votes to extend tax cuts and raise the debt ceiling on their own, they might need to negotiate with Democrats. That dynamic gives Republicans confidence that they will find a way through by relying only on Republican votes.

The issues at the center of the frenzied dealmaking—Medicaid, renewable energy, deficits, taxes—are no surprise.

They are among the biggest pieces of the bill, and the choices that Republicans have postponed for months. Party leaders successfully prodded

rank-and-file lawmakers to keep the process going through earlier stages, assuring them that they could always vote “no” later.

Frustration in House

Later is now here, and the Senate framework is prompting frustration in the House, which passed its bill 215-214. House members may be forced to make an up-or-down call on a bill that they don’t fully support.

Reps. David Valadao (R., Calif.), Juan Ciscomani (R., Ariz.) and 14 others wrote to party leaders this week and warned that the Senate’s deeper Medicaid cuts undermined the House’s approach.

Conservatives, including Roy and Reps. Andy Harris (R., Md.) and Eric Burlison (R., Mo.), have warned that they can’t back the Senate plan, which has slower phaseouts of clean-energy credits.

And some New York House members continue insisting on a \$40,000 cap on SALT, when many Republican senators prefer \$10,000 or \$0. So far, the discussions have focused on keeping the cap at \$40,000 while lowering the beginning of the income limit for that deduction down from the \$500,000 in the House bill. House members have said they are open to that change but only if they get something, such as larger annual increases in the cap beyond the 1% in the House bill.

“This is a big jigsaw puzzle,” Sen. Roger Marshall (R., Kan.) said. “I think SALT will be the last piece.”

Rep. Mike Lawler (R., N.Y.) was among lawmakers at a Wednesday meeting with Treasury Secretary Scott Bessent, a session that Lawler called productive. “We’re near the end of the bill, aren’t we?” Lawler said. “The Senate is barreling towards a vote, and obviously the president and the White House want to get this bill across the finish line.”

Lawmakers Encourage Sustainable Shopping

By CLARA HUDSON

In the age of Shein and the fast-fashion haul, lawmakers on both sides of the aisle are trying on a more sustainable option.

Reps. Sydney Kamlager-Dove (D., Calif.) and Nicole Malliotakis (R., N.Y.) are launching a new caucus aiming to promote the re-commerce economy, looking in part to help platforms like eBay, Etsy and Depop where consumers can buy and sell pre-owned items—often at hefty discounts.

The bipartisan initiative will back policies that extend the life cycle of a product, cut down on landfill waste and “encourage environmentally responsible commerce.” It will also aim to support small sellers on digital platforms and promote access to apps like Poshmark and OfferUp.

Kamlager-Dove said she hopes to focus in part on reducing sales tax on second-hand items and providing tax credits for companies adopting circular business models. “Why not do something that’s good for fashion, good for the economy and good for the environment?” she said.

For Malliotakis, a big concern is tackling tax burdens for small businesses and resellers as well as fighting counterfeits, with the added benefit of cutting waste.

“It’s sustainable, it helps the environment, there’s less trash and you make somebody else happy,” she said.

The push comes as an onslaught of tariffs hit products and materials shipping into the country, sending retailers’ supply chains into disarray but also focusing U.S. shoppers’ minds on where their goods come from.

Small Conservative Firms Are Drawing Legal Clients

By ERIN MULVANEY

The nation’s largest corporate law firms have been on their heels during President Trump’s second term, but for small firms with impeccable conservative bona fides, these have been boom times.

What they lack in name recognition or size, these firms make up for with a crucial credential: loyalty to Trump and to MAGA causes.

Steve Roberts, co-chair of litigation boutique Lex Politica, said the firm, with offices in Austin, Texas, and Washington, D.C., has experienced a swell of business from Fortune 500 companies and is fielding résumés from big-firm lawyers. Lex Politica numbers about a dozen lawyers. It added four hires just a few weeks after Trump was sworn into office this year—including Roberts, who has long catered to Republican clients.

By working for a small, overtly political firm during an unabashedly conservative presidential administration, Roberts said he can “amp that up and lean into the political moment we’re having.”

Lex Politica says it has provided legal and strategic advice on the formation of Elon Musk’s Department of Government Efficiency. The firm says it has also represented Musk in his private capacity, as well as entrepreneur and former Republican presidential candidate Vivek Ramaswamy and dozens of GOP Senate and House members.

Conservative firms are well-positioned to help clients navigate an administration that prizes loyalty above all else. Their rise also comes as clients seek favorable outcomes from a federal judiciary that leans to the right.

The Austin-based firm Stone Hilton hasn’t shied away from its conservative roots since it was launched just under two years ago by Chris Hilton and Judd Stone, who are alumni of Texas Attorney General Ken Paxton’s office.

The law firm’s pitch: They



CHIP SONNDEVILLA/GETTY IMAGES

Judd Stone, shown speaking at the Supreme Court in 2022, is a founder of conservative law firm Stone Hilton.

are only a phone call or two away from the president.

Stone Hilton says it is providing counsel to top Republican lawmakers and high-level officials in the administration, as well as representing Musk’s social-media platform X in a defamation case. It has also worked on cases with America First Legal, a conservative legal nonprofit founded by Stephen Miller, Trump’s deputy chief of staff.

Stone says those close connections to Trump’s allies have helped the firm win more business from corporate clients looking to navigate the current regulatory environment.

“We were never going to be politically neutral from the start,” Stone said.

A lawsuit filed in late May by a former employee of the firm accusing Stone of verbally harassing her and making inappropriate sexual comments has cast some shadow over the firm’s rise. The firm says the lawsuit is the result of a political vendetta.

Large law firms have long tended to have a more liberal bent, and many played a role opposing the first Trump administration on immigration and other policies. Jones Day, which has some 2,400 lawyers, has historically been an exception in leaning conservative. The firm represented Trump during his first presidential campaign, and lawyers

there landed top spots in his first administration, including Don McGahn, who served as White House counsel. The firm hasn’t had the same prominence in Trump circles this time around.

Jones Day declined to comment.

Several lawyers from small firms hold significant positions in Trump’s current administration, after representing Trump on criminal and civil matters while he was out of office. He installed Emil Bove, who served on his criminal-defense team, to a high-ranking Justice Department post and has since nominated him to be a federal appeals judge. Alina Habba, who worked at a small firm in New Jersey, is now Trump’s interim U.S. attorney for the state. And Trump ally Harmeet Dhillon has catapulted from a small namesake firm to lead the Justice Department’s civil-rights division.

Industry consultants say today’s hyperpartisan environment allows smaller firms to thrive in part because larger firms, beholden to a much larger base of clients and lawyers, must toe a more careful line.

Bigger firms “may be reluctant to take on politically charged right-wing disputes because of the internal ramifications they can have among employees,” said Dan Binstock, a legal recruiter in Washington, D.C.

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WORLD NEWS

U.S. Makes New Push for Cease-Fire in Gaza

Arab officials say Israel, Hamas have both indicated a desire to seal a deal

The U.S. is making a fresh push in negotiations to end the fighting and free the hostages in Gaza, as President Trump hopes to build on the momentum of a deal that paused hostilities between Israel and Iran and bring an end to the conflict that sparked nearly two years of war in the Middle East.

By Summer Said, Anat Peled and Alexander Ward

While significant gaps remain between Israel and Hamas, Arab officials mediating the talks say both sides have shown an interest in getting a deal done. The mediators said they are in talks with both sides by telephone, adding they could soon meet in Egypt, which along with Qatar has helped the U.S. broker the Gaza talks.

On Wednesday, Trump said the cease-fire between Israel and Iran has improved the atmosphere of talks around the fighting in Gaza. “I think great progress is being made on Gaza,” Trump told reporters at the NATO summit in The Hague. “I think we’re going to have some very good news.” Trump said he was recently briefed about developments in the talks by special envoy Steve Witkoff. “He did



Palestinians in Jabalia, Gaza Strip, on Wednesday walked among ruins, as President Trump said he hopes for a deal for a truce.

tell me that Gaza is very close,” Trump said.

U.S. officials have frequently expressed hopes that talks to end the conflict, sparked by Hamas’s deadly Oct. 7, 2023, attacks on Israel, were close to bearing fruit, only to be proven wrong.

While Israel is willing to talk, there is no sign it has changed its position on ending the war or some of its other

demands, including Hamas’s giving up its arms.

But after months of stalemate, there have been signs of new activity. Hours before Trump announced the cease-fire between Israel and Iran, Witkoff called Israeli and Arab mediators to restart the negotiations for a possible Gaza deal, the mediators said. The mediators reached out to Hamas officials, who indicated they are

willing to come back to the table, the mediators said.

Witkoff told the mediators that Trump wants to see the war in Gaza end and that Israel has communicated to the U.S. that it is sincere about reaching a deal after months of deadlocked negotiations, the mediators said.

The Israeli prime minister’s office and Hamas didn’t respond to requests for com-

ment. The State Department and Witkoff didn’t respond to requests for comment.

Hamas said on Wednesday that it would continue its “positive engagement with the efforts of mediators, and with any serious ideas or proposals that could lead to a comprehensive agreement.”

Israel launched the war in Gaza after the Hamas-led Oct. 7 attacks, which killed around

1,200 people and took about 250 hostage. Israel’s war in the enclave has killed more than 56,000 Palestinians, according to local health authorities, who don’t say how many were combatants, and has left swaths of the enclave in ruins.

Israel had aimed to wrap up its war in Iran to shift the focus back to Gaza, a person familiar with the matter said.

Hamas, meanwhile, finds itself increasingly isolated, with its Lebanese ally Hezbollah and patron Iran battered by Israeli attacks. Most of Hamas’s military leadership has been taken out in Gaza, where the group is now on its third leader in eight months after the previous two were killed by Israel.

The latest proposal under consideration is similar to one that has been on the table for months, the mediators said. It calls for Hamas to release 10 of the roughly 20 hostages Israel believes are still alive, along with the bodies of some deceased hostages. In return, Israel would release a much larger number of Palestinians it is holding and commit to a 60-day cease-fire, they said.

According to the proposal, the 60-day cease-fire would be followed by a lasting cease-fire, during which the remaining living and slain hostages would be handed over.

Hamas has expressed willingness to accept guarantees that the U.S. would express publicly that Israel will enter into talks to end the war, the mediators said.

Iran Intelligence Stays Murky Without Eyes on Ground

WASHINGTON—President Trump on Wednesday doubled down on his claims that U.S. military strikes against Iranian nuclear sites crippled Tehran’s ability to pursue a nuclear bomb, rejecting a leaked pre-

By Michael R. Gordon, Dustin Volz and Lara Seligman

liminary intelligence report that assessed the American strike had merely delayed Iran’s efforts for a few months.

The dispute points to a larger problem that is likely to bedevil U.S. intelligence analysis and experts for many months, as they attempt to determine the full extent of damage on the nuclear facilities that were struck.

While there are ample indi-

cations that the Iranian program suffered major damage from the B-2 bomber and cruise-missile strikes the U.S. carried out last weekend, the status of Iran’s program might not be fully known unless inspectors are allowed to visit the sites that were attacked and the suspected locations where enriched uranium and nuclear-related equipment might be hidden. Iran maintains that its program is for peaceful purposes.

“Remote battle-damage assessment is always difficult,” said Charles Duelfer, who oversaw United Nations weapons inspections in Iraq and later directed a Central Intelligence Agency assessment after the 2003 U.S. invasion on what happened to Saddam Hussein’s weapons of mass-



CIA Director John Ratcliffe said the strikes were effective.

destruction programs. “That’s why people like inspectors on the ground.”

Speaking at a North Atlantic Treaty Organization summit at The Hague, Trump stood by his initial claims that

the Iran program had been “totally obliterated” and called the early findings in a leaked Defense Intelligence Agency report “inconclusive.” The issue is likely to be addressed Thursday morning at

a rare Pentagon news conference, which Trump announced in a social-media post.

“We destroyed the nuclear,” Trump said.

CIA Director John Ratcliffe issued a statement that lent support to Trump’s broad claims without offering details. “CIA can confirm that a body of credible intelligence indicates that Iran’s Nuclear Program has been severely damaged by the recent, targeted strikes,” Ratcliffe said.

Neither the White House nor the CIA addressed the status of stocks of highly enriched uranium that Iran was known to possess and whether they might have been moved before the U.S. attack.

On Sunday, Vice President JD Vance suggested that Iran still had caches of enriched

uranium. “We are going to work in the coming weeks to ensure that we do something with that fuel and that is one of the things that we’re going to have conversations with the Iranians about,” Vance told ABC News.

Before Israel and the U.S. attacked, Iran was thought to have enough near-weapons-grade material for around 10 nuclear weapons. But Vance also argued that the uranium wouldn’t be useful to Iran because its main known enrichment facilities had been destroyed.

A person familiar with the DIA report leaked this week said the document states that it is a preliminary assessment based on reporting available just 24 hours after the strike, and that it wasn’t coordinated with other agencies.

Weakened Regime Is Testing Durability of Its Alliances

As Iran reels from its gravest threat in decades, its alliance with China, Russia and North Korea—an axis that increasingly has alarmed the U.S. and allies—is facing a vital test: Will its partners come to its aid?

By Timothy W. Martin, Thomas Grove and Austin Ramzy

Beijing, Moscow and Pyongyang could offer Iran crucial assistance to recover from the damage inflicted by U.S. and Israeli strikes on its nuclear program and arsenal of conventional weapons. That could deepen the alliance, sending a powerful signal for potential conflicts in Taiwan, the Korean Peninsula and Eastern Europe.

Indeed, the three powers helped Iran build the nuclear program that the U.S. and Israel have tried to destroy.

The Isfahan facility, Iran’s largest nuclear-research complex and a prime target of the U.S. strikes, was built with Chinese assistance when it opened in 1984, according to the nonprofit Nuclear Threat Initiative. Three small, Chinese-supplied research reactors operate there.

North Koreans helped design the underground tunnels used in Iran’s nuclear sites. Moscow has said hundreds of Russian nuclear experts currently work inside Iran.

But China, Russia and North Korea don’t appear eager to rush to Iran’s side. A big reason: President Trump’s

decision to insert the U.S. into Israel’s assault on Iran by striking the country’s nuclear facilities has made helping Tehran recover far riskier and more geopolitically fraught.

“Iran could literally build back better,” said Behnam Ben Taleblu, of the Foundation for Defense of Democracies, a Washington, D.C.-based think tank. But he remains skeptical that such support is coming soon.

“A rising tide that lifts all boats is not the principle that governs this axis of authoritarians,” he added.

A failure to come to Iran’s aid would show divergent the four powers’ interests are, exposing the transactional nature of a coalition that is largely driven by shared opposition to economic and geopolitical pressure from the West.

On Monday, Russian President Vladimir Putin received Iran’s top diplomat, Abbas Araghchi, in Moscow but offered no military aid. China and North Korea both condemned the U.S. strikes on Iran, but didn’t mention Trump by name.

“It’s not like there’s a four-party bad boys treaty,” said Alexander Gabuev, director of the Carnegie Russia Eurasia Center in Berlin. “It’s more helpful in peacetime, in sanctions busting and tech transfers.”

The quartet—christened “Crink” by some Western officials—has cooperated on energy, military and diplomacy in recent years, united in the aim of evading Washington’s sanctions and undermining a U.S.-led order.

Russia’s full-scale invasion of Ukraine three years ago catalyzed the group, with an isolated Moscow seeking support for the war. Iran has supplied Russia with critical drone technology, while North Korea has sent huge quantities of ammunition and thousands of soldiers.

China, which buys more than 90% of Iran’s oil, has supplied so-called dual-use products that help the Kremlin’s war effort.

Sergei Shoigu, head of Russia’s security council, met in Pyongyang with Kim Jong Un last week to strike a deal whereby North Korea would send 6,000 military construction and demining specialists to Russia’s Kursk region—the same area in which Kim has deployed roughly 15,000 of his troops to help expel Ukrainian soldiers since last fall.

Even without helping Iran directly, the three have benefited from the recent events.

The U.S.’s military—already overstretched—has redeployed a slate of assets to the Middle East, including an air-



A man walks in the rubble of a Tehran building that was damaged during Israeli attacks.

Moscow Balances Its Loyalties to Tehran and Israel

Moscow has played a major role in helping Iran finish and run its only nuclear-power plant, with enriched uranium coming from Russia. However, while Moscow was long a major supplier of arms to Iran, it hasn’t delivered on most of those contracts in recent years.

Moreover, Russian Presi-

dent Vladimir Putin and Israeli Prime Minister Benjamin Netanyahu have had a long relationship. Israel has provided Ukraine with early warning radar systems, and Moscow doesn’t want it to provide more.

Nikolay Kozhanov, an expert on Russia-Iran relations at Qatar University, said the

best Moscow could likely do at this time is provide Tehran with radio-electronic systems and some software to help against cyberattacks. “Leaving Iran without any support is very tricky for Moscow,” Kozhanov said. “But the key task for Moscow right now is not to spoil relations with anyone.”

craft carrier that had been stationed in the South China Sea, where China has aggressively pressed territorial claims.

To deal with the Iran-Israel conflict, Trump cut short his trip to the Group of Seven summit in Canada last week, skipping a meeting with Ukrainian President Volodymyr Zelensky, who had traveled there to rally support against Russia.

Rearming Iran creates op-

portunities for weapons sales from North Korea, a longtime military supplier to Tehran. But assisting Tehran could undermine the three nuclear-armed nations’ own interests.

China is in the midst of trade talks with the Trump administration, which has slapped high tariffs on Chinese imports.

Russia might be eager to maintain goodwill with Trump, who has so far re-

jected new sanctions against Moscow to force it to end the war in Ukraine.

North Korea, with limited resources, is engaged in a foreign war in Russia.

“China, Russia and North Korea to some extent are vulnerable under Trump,” said Gabuev, from the Carnegie center.

“They have to balance out that vulnerability with what they want to do for Iran,” he added.

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Air Raids and Shelters: A Night in Kyiv

A reporter spends evenings clinging to life's normal things, if the sirens allow

By JANE LYTUVYENKO

KYIV, Ukraine—It is a balmy Monday evening here, filled with the scent of linden trees, the bustle of outdoor cafes and no outward hint of the deadly war that has raged for more than three years.

Then comes a social-media warning: A couple of Russian attack drones are closing in.

A couple. Not enough to alter my dinner plans but the start of a gamble Kyiv residents take every night: How long can we cling to the normal stuff of life before Russia's steady drone-and-missile barages drive us underground in search of shelter?

During my meal—a half roast chicken and mashed potato washed down with fresh lemonade—my phone lies unlocked so I can keep a wary eye on drone status notifications appearing on my screen at shorter intervals.

Sirens start to wail across the city at 9:06 p.m. as I take a walk after dinner, indicating the first few drones have entered Kyiv's airspace. I head home to get some sleep before the assault's crescendo.

At my apartment, I begin my nightly checks. The bathtub, a safe place away from the windows and behind an interior wall, is padded with a blanket and pillows. I put my electronic devices on to charge and check my go-bag: water, granola bars, a medical kit with two tourniquets, a flashlight, a power bank and sweaters.

I turn the volume on my phone to maximum to avoid missing an air-raid alert and set alarms for every 20 minutes to wake up and check on the status of the assault.

As I doze off, at 10:17 p.m., another warning on Telegram: Russian war planes are preparing to take off in the next two hours. I go back to sleep.

The next update is at 10:31 p.m.: There are up to 100 drones in Ukrainian airspace. I try to squeeze in another 20 minutes of rest as I listen for



SERGEI KOROVAYEV FOR WSJ (2)

Wearing Down Resistance

Russia's latest tactic in its effort to wear down Ukrainian resistance is to stockpile munitions for a few days and then launch them in a single night to overload defenses.

The biggest threat comes from Iranian-designed Shahed attack drones, each capable of destroying several floors of an apartment building. The longer the sky is quiet, the more tense the conversations in Kyiv's coffee shops and stores become about when the next air raid will launch.



At top, people hunker down in a Soviet-era bomb shelter in Kyiv. Above, residents seeking a haven from Russian attacks bring their pets, including dogs, cats and even a parrot.

the telltale buzz, which earned the drones the nickname “moped” among Ukrainians.

Just after midnight, I hear one. The buzzing grows closer. More are on the way. It's time to go to the air-raid shelter.

The usual crowd stands at the entrance, a covered stairway near the side of a building.

They are smoking, chatting and checking their phones, ready to scurry back down at the first sound of trouble.

Many people in Ukraine use parking garages or basements for shelter, but this one was built for the situation in 1978 during the Cold War. A tattered old map on the wall shows the

potential direction for the spread of radiation in case of a nuclear strike. There is wireless internet and makeshift beds fashioned out of stacks of blank forms for a census that was never carried out.

People arrive with their pets, including a green parrot and a pooch with a dyed purple

tail named Lolita. The regulars greet one another warmly.

The cold underground turns into a kind of living room housing a couple of dozen people. A blond woman is sleeping under a blanket with her spaniel beside her. The boy with the parrot eats sandwiches with his friend as their parents

scroll through their phones. A young man plays Candy Crush. Someone snores.

It is past 12:30 a.m. and there are a few dozen drones in the air and Russian warplanes carrying cruise missiles have taken off. By 2 a.m. we will know whether they have launched their munitions. Each update comes with a mental calculation of how long the bombs will take to arrive.

“Balistyka?” people blurt out as walls vibrate. “Was that a ballistic missile?”

Each explosion, even when it is an interception by Ukrainian air defense, shakes the shelter. Those who were asleep are alert now. Ballistic missiles can only be countered with U.S.-designed Patriots, which Ukraine has in short supply. The shock wave from one makes the body shudder.

“A strike in Solomyanka,” a working-class Kyiv district, a man with a mustache says.

“Ambulances were called,” I read out loud from my phone.

By 2:15 a.m., most of the shelter is awake, sharing grim updates about the areas of the city that have been hit. “*O bo-zhe*,” the woman next to me whispers repeatedly, “Oh god.”

Another wave of drones comes an hour later, but some people begin to head home during a period of quiet.

By 4.30 a.m., the cold has begun to creep through my two sweaters and I can't keep my eyes open. The desire to sleep wins out over fear, and I head home, despite the 15 attack drones still in the air.

When I emerge from the shelter, it is nearly dawn. The sky is filled with the sound of birds greeting the rising sun.

For an hour, I try to sleep between the machine-gun fire and explosions as Ukrainians battle against the final wave of drones and missiles.

A glance at photos sent to me by colleagues shows the damage from the strikes. A student dormitory is hollowed out, missing windows. The midsection of a nine-story apartment building has been bombed to the ground by the ballistic missile we heard.

The toll of those who didn't share our shelter or our luck that night is stark: 28 killed and more than 140 wounded.



President Trump with Norway's Prime Minister Jonas Gahr Støre, left, and Polish President Andrzej Duda at the summit.

Trump Warms Up To NATO

Continued from Page One

One day earlier, on Trump's flight to the Netherlands, he had equivocated about his commitment to NATO's core tenet, mutual defense, enshrined in its founding treaty. “Depends on your definition. There are numerous definitions of Article 5,” he said.

Organizers compressed the gathering to just one day, under U.S. pressure to focus on European military spending and European desire to minimize chances of conversations getting confrontational, as they did at NATO's 2018 summit. The final agreed-to text was five paragraphs, one of the shortest communiqués in the

alliance's 75-year history. Europeans also employed copious flattery.

“You are a man of strength, but you're also a man of peace,” Rutte gushed.

Even President Volodymyr Zelensky of Ukraine, who has clashed with Trump, issued a statement brimming with praise after a bilateral meeting. Trump, for his part, said he held a good meeting with Zelensky and committed to sending the country more Patriot air-defense systems, U.S. equipment that Kyiv has long sought.

Not everyone was ebullient. Former NATO chief Anders Fogh Rasmussen said one of the headline commitments—spending 5% of economic output on defense within 10 years—must be achieved sooner.

“All other options are disappointing or too weak,” he said.

And Gabrielius Landsbergis, Lithuania's former foreign minister, said gratifying Trump had distracted from the bigger picture: confronting Russia's

military resurgence.

“The problem is our expectation at the summit was to win a political battle with Trump to appease him,” Landsbergis said in an interview. “The real battle is actually Putin, who is out there blasting Ukraine every single day, and I don't think we achieved much on that front.”

He cited European intelligence that Russia is rearming at levels beyond what it needs to fight in Ukraine. The buildup should have been the main focus of the summit, Landsbergis said, not Trump.

The summit occurred as Trump was toggling priorities, including pushing lawmakers in the U.S. to support his legislative agenda, negotiating an effort to push member nations to increase military spending

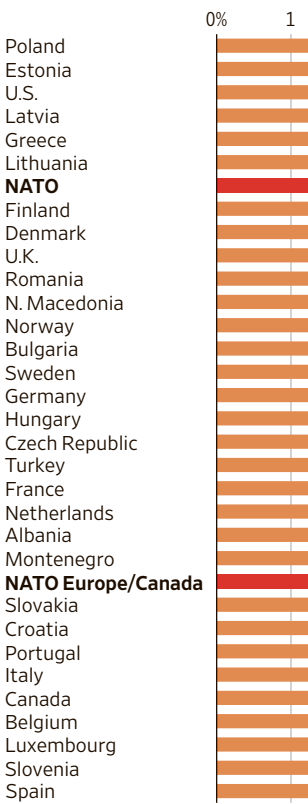
while also monitoring a fragile peace in the Middle East.

The only apparent cloud darkening the presidential mood was a leaked preliminary intelligence report that found the U.S. military's strikes on three Iranian nuclear facilities only set back

Tehran's nuclear ambitions by a few months. He blamed the reports on “idiots at CNN” who broke the story and other news outlets that followed it. And, while Trump didn't dispute the validity of the intelligence reports, he stressed that they were preliminary and cited other reports from Israel and Iran describing significantly more damage.

Just as NATO members voted to lift spending commitments, the White House put out a statement from the Israel

Military spending as percentage of GDP, 2024



Note: Data are estimates
Source: North Atlantic Treaty Organization

Atomic Energy Commission saying the U.S. strikes on the Fordow nuclear site in Iran made it “inoperable” and set Iranian nuclear ambitions back by “many years.” Trump read from it during the news conference.

Trump's mood was notable for a president who during his first term showed dislike for traveling to big international summits. During the Group of Seven summit in Canada earlier this month, Trump was annoyed he had to sit through a lengthy meeting about fire prevention and repeatedly asked aides what was going on in the outside world with the war.

“We've gotta go,” he said, explaining the decision to leave, according to a person familiar with the conversation.

Staff from some other delegations rolled their eyes as Trump's team left early.

Trump said Wednesday he was genuinely pleased with the Dutch trip. “This was a tremendous summit, and I enjoyed it very much,” he said af-

ter several hours of meetings. “I stayed through every one of those speeches, every one. And some were good.”

Typically, U.S. presidents don't sit through all of the speeches, but instead pop out for bilateral meetings.

Trump appeared upbeat from the lavish dinner upon his arrival Tuesday. He and other leaders gathered at the 17th-century royal palace Huis ten Bosch, in a hall decorated with floor-to-ceiling paintings and lighted by chandeliers. Trump, who favors grand rooms, was photographed looking up to take in the splendor.

He overnighted there as the guest of Dutch King Willem-Alexander and Queen Máxima. “I actually had breakfast today with a king and a queen who were beautiful, beautiful people. Central Casting.”

Trump even had praise for the foliage. “I saw the most beautiful trees,” he said. “In fact, I want to bring some back with me.”

WORLD NEWS

U.K. to Purchase U.S. Jets in Shift Of Nuclear Policy

By Max Colchester

LONDON—In a return to Cold War nuclear policy, Britain will acquire a squadron of U.S. jets capable of carrying atomic bombs as it looks to beef up deterrence in Europe in light of a growing Russian threat.

The U.K. government said it would purchase 12 F-35A jets, which can carry conventional weapons as well as U.S.-made tactical nuclear bombs. The purchase could allow the U.K. to launch nuclear weapons from the air for the first time since the late 1990s. Currently, Britain's nuclear weapons are carried solely on its four Vanguard submarines.

The overhaul of Britain's nuclear policy points to growing fear of Russian aggression and Europe's reliance on U.S. equipment to deter its most high-profile adversary. Fears of a more isolationist Trump presidency have prompted European leaders to consider expanding their nuclear capabilities.

Britain will contribute its F-35 jets to the North Atlantic Treaty Organization's airborne nuclear mission. Several European countries, including Germany and the Netherlands, have jets that can be loaded

with U.S. nuclear bombs and deployed in the event of war. These missions need signoff from the U.S. president, as well as NATO planners. The U.K. doesn't at this stage plan to develop its own air-to-ground nuclear missiles, officials said.

NATO Secretary-General Mark Rutte hailed the move as "a robust British contribution to the alliance." The British announcement to purchase Lockheed Martin's F-35As was made as it pledged to increase military spending to 5% along with other NATO allies by 2035, in a bid to placate President Trump, who has complained that the Continent doesn't pay enough to fund its own security.

Since Trump's election, European nations have been debating whether they need to develop, or more widely share, nuclear bombs in case the U.S. disengages from the Continent's defense. In Europe, only France and the U.K. have their own nuclear bombs.

The F-35s, as well as being cheaper to maintain than submarines, also can be equipped with tactical nuclear bombs, which carry a smaller nuclear payload. Britain will need to acquire nuclear air-to-ground bombs from the U.S.



An F-35A jet was seen at the Paris Air Show this month. The U.K. government said that it would buy 12 F-35A jets.



A demonstrator gestured in front of a burning barricade in downtown Nairobi on Wednesday, amid a protest against police brutality and government corruption on the first anniversary of antitax demonstrations in which 60 people were killed.

UNITED KINGDOM
Trump Skips King's Meeting Offer

President Trump plans to make a full state visit to Britain this year, bypassing a suggestion put forward by King Charles III that the two men first meet informally this summer when both are expected to be in Scotland.

The invitation from Britain formalizes Trump's unprecedented second state visit to Britain. The visit is seen as part of Prime Minister Keir Starmer's effort to curry favor with Trump and lessen the impact of his America First policies on the U.K. But Starmer has faced pushback from some lawmakers in his Labour Party.

Charles will face his own challenges during the visit because he is head of state of the U.K. and Canada, which Trump has suggested should become the 51st U.S. state.

—Associated Press

GAZA STRIP
Seven Israeli Forces Killed in Bombing

Israel on Wednesday reported one of its deadliest days in Gaza in months as its military said seven soldiers were killed when a Palestinian attacker attached a bomb to their armored vehicle, while health officials in the battered enclave said Israeli attacks killed 79 people over the past day.

Among the 79 reported killed in Gaza were 33 people who died while trying to access aid. Palestinian witnesses and health officials say Israeli forces have repeatedly opened fire on crowds heading toward desperately needed food, killing hundreds in recent weeks.

The military says it has fired warning shots at people it said approached its forces in a suspicious manner.

—Associated Press

ARMENIA
Archbishop Held On Terror Charges

Security services arrested one of the country's top religious leaders on terrorism charges on Wednesday and accused him of plotting to overthrow the government, the second arrest in a week of a prominent political opponent.

Archbishop Bagrat Galstanyan, a major figure in the influential Apostolic Church, was arrested by Armenia's Investigative Committee, which accused him of planning to carry out bombings and arson attacks to disrupt power supplies and stage accidents on major roads to paralyze traffic. His lawyer described the charges as "fiction."

Galstanyan leads the Sacred Struggle opposition movement and has demanded the resignation of Prime Minister Nikol Pashinyan.

—Associated Press

KENYA
Rights Protesters Clash With Police

Thousands of protesters against police brutality and government corruption clashed on Wednesday with Kenyan police who hurled tear-gas canisters and wielded batons, leaving several people injured as demonstrations spread.

The protests were timed to mark the first anniversary of antitax demonstrations in which 60 people were killed.

Parliament and the president's office in Kenya's capital were barricaded with razor wire, with all access roads blockaded by police.

The protests, which have spread to major cities, have morphed into calls for President William Ruto to resign over poor governance.

Ruto on Wednesday urged protesters not to "destroy" the country.

—Associated Press

China Aims To Monitor Rare Earths

Continued from Page One

The lists include those in upstream roles, such as processing rare earths, and those in downstream roles, such as those using the processed minerals to make rare-earth magnets. The magnets are used in automobiles, wind turbines, drones and jet fighters.

One of the people said some experts at Chinese companies have been asked to turn in their passports to their companies or local authorities, to ensure they don't make any unauthorized trips. China already requires government officials and employees of state-owned companies to turn in travel documents and apply for approval to travel abroad.

China is the world's largest miner and processor of rare earths, and it makes around 90% of the world's rare-earth magnets. With trade tensions heating up, China in April es-

tablished a new system for licensing the export of rare earths and rare-earth magnets. That has constricted the global trade in magnets, worrying Western car and electronics companies and leading to some temporary closures at factories dependent on Chinese supplies.

For years, China has produced these magnets so inexpensively that it has been all but impossible for companies elsewhere to compete. But the recent export restrictions are breathing new life into efforts to develop rare-earth industries in countries such as the U.S. and France.

One of the main hurdles is the paucity of rare-earth production expertise outside of China.

Processing rare earths involves painstaking separation of individual rare-earth elements from raw materials, in which many elements with similar chemical properties are jumbled together. Chinese scientists have developed equipment and processes

that are widely considered best in class.

That is a turnaround from decades ago, when China was first developing its rare-earth industry and benefited from foreign experts who trained workers in the latest technologies.

To fortify its advantage, China's government in December 2023 released new regulations forbidding the export of certain Chinese technology used in rare-earth processing, making it harder for foreign competitors to emulate China's strengths.

Last September, China's Ministry of State Security said a Chinese national was sentenced to 11 years in prison for selling secrets about China's rare-earth stockpiles to unspecified foreign interests.

The ministry said foreign entities "use every means to obtain our internal data" and if they get leaked data, it could "put China at a disadvantage in international strategic competition."

The country produces about 90% of the world's rare-earth magnets.



Workers transport soil containing rare-earth elements—of which China is the world's largest miner and processor—for export at a port in Lianyungang, Jiangsu province, China.



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FROM PAGE ONE

Shell Is In Talks To Buy BP

Continued from Page One

operational disasters.

Activist investor Elliott Investment Management, which owns more than 5% of BP's shares, has pushed for changes at BP since at least February, underscoring the oil and gas producer's exposure to a potential takeover bid.

BP has since adopted several measures to try to ad-

dress investor frustrations. It announced plans earlier this year to boost oil and gas production and sharply cut investments in clean energy.

BP is also in the process of trying to sell its lubricants business that operates under the Castrol brand and has indicated it could unload at least part of its solar unit, Lightsource. More recently, BP said that Chairman Helge Lund, an architect of BP's low-carbon strategy, plans to step down.

Shell, meanwhile, has focused on its most profitable operations, pledging to pump more oil and gas and rolling back green-energy targets.

When asked publicly, Shell Chief Executive Officer Wael

Sawan said recently the company's bar for big dealmaking would be high. Shell announced in May a multibillion-dollar share buyback plan, the latest in a series of big share repurchases. Shell has been working with bankers on a potential sale of its chemicals assets in Europe and the U.S., the Journal has reported.

For Shell, acquiring BP would take years of integration, complicated by culture clashes and possibly the sale of overlapping assets. But a deal could give Shell's global trading business greater reach and bolster its dominance in areas like liquefied natural gas. Analysts and investors also see a good matchup in

the companies' operations in the Gulf of Mexico, now called the Gulf of America by the U.S.

Acquiring BP would offer an opportunity for Shell to spread costs over a larger operating base and would box out rivals. Shell would also be more politically palatable to U.K. regulators who might oppose a foreign buyer from acquiring BP, a more than century-old company that traces its roots to oil exploration during the height of the British Empire.

Bloomberg News reported in early May that Shell was evaluating a potential BP deal.

Under U.K. takeover rules, a London-listed company that issues a formal stock exchange denial of takeover talks can be

prevented from approaching the target for at least six months. Shell didn't release a formal statement, but its comment could still potentially subject it to that restriction.

A Shell-BP deal would be the latest in a wave of M&A activity across the energy landscape as producers look to achieve greater economies of scale. Chevron is still working to close its \$53 billion mega-deal for Hess, which has been held up due to Exxon's effort to challenge the deal's legality.

Exxon last year closed a \$60 billion deal to buy Pioneer Natural Resources. And Diamondback Energy sealed a \$26 billion deal for Endeavor Energy Resources.

Major energy deals	
Exxon-Mobil (1998)	\$83.1 billion
Shell-BG Group (2015)	81.2
Exxon Mobil-Pioneer (2023)	65.0
Occidental-Anadarko (2019)	54.1
BP-Amoco (1998)	53.8
Enbridge-Spectra (2016)	43.1
Exxon Mobil-XTO (2009)	39.3
Note: Year of deal announcement Source: FactSet	



Clockwise from left, Forest River RVs; Wade Mullins points out spots where the ceiling fell down in his RV; a billboard in Elkhart advertises Forest River's priority for customer satisfaction.

Forest River RVs Under Scrutiny

Continued from Page One

assemble vehicles by hand. Employees are often paid by the unit instead of a straight hourly wage and can leave once they hit their quota. Some former workers say the system encourages speed over thoroughness.

"The piece rate thing is great, but if you know you'll get out early when you get done, that's where the crap comes from," said Fred Cook, who spent most of his career working in RV factories, including six years at a Forest River plant.

From 2015 to 2024, no single automaker or RV manufacturer issued more recalls than Forest River. About half of its recalls between 2020 and 2024 were due to manufacturing errors rather than faulty parts or poor engineering, according to a Wall Street Journal analysis of federal data.

Recall documents highlight insufficient oversight, inattention and haste.

In one case, workers punctured microwaves they were installing with screws that were the incorrect length. In another, inspectors discovered misaligned furnace flues a month after the employee who was checking them quit. In 2023, the company recalled 50 towable campers after finding that workers had created a fire risk by inserting the wrong fuse into power distribution centers. The reason? The factory had a shortage of the correct fuse.

Federal law requires companies to file a recall within five working days of determining that a vehicle contains a safety-related defect. Forest River said it proactively files recalls out of an overabundance of caution, doing so even when it doesn't believe a safety defect actually exists. It also noted that other companies' recalls, on average, have involved many more vehicles.

Forest River said it is committed to producing the safest and highest-quality vehicles, and does thorough inspections before every RV leaves the factory. A trade group, the RV Industry Association, also does its own unannounced inspections six times a year.

"Forest River will continue to own what we build and stand behind every product with the same honesty that's helped us become one of the industry's leading manufacturers," the company said.

Forest River now faces the biggest probe of its quality control in years with a lawsuit brought by Nelson.

Four years after the incident at the state park, the company recalled about 41,000 vehicles with an electrical

component that it said some plants had incorrectly wired—an error that could cause a short circuit and a fire. The safety issue affected two Forest River models produced over 20 years, according to the company's recall filings, and so far 7% have been repaired.

Nelson said the company issued the recall after inspecting his RV. His lawyers are seeking class-action certification, alleging the wiring defect could affect far more vehicles.

Forest River said it doesn't comment on pending litigation.

'Well-oiled machine'

Four out of five RVs in the U.S. are built around Elkhart, Ind., a city of 53,000 between Chicago and Detroit. Long before dawn, its roads are jammed with workers headed to their shifts.

The area has been a manufacturing hub for decades. While many plants closed long ago, RV makers have remained a constant since setting up shop in the 1940s, taking advantage of the town's prime auto belt location.

Among those drawn to the business was Pete Liegl, who created a small RV maker in the mid-1980s called Cobra Industries. After selling the company to private investors—and later reclaiming it out of bankruptcy—he renamed it Forest River and offered it to Buffett in 2005 for \$800 million. The legendary investor bought the company for an undisclosed sum following 20 minutes of negotiation. Buffett has praised the business and Liegl, but has rarely spoken about Forest River in detail. Unlike Thor and Winnebago, which are stand-alone, publicly traded companies, Berkshire typically shares little detail about Forest River beyond occasional remarks on revenue and market share.

"Forest River has 82 plants, and I have yet to visit one," Buffett said in a 2011 letter to investors.

Forest River said Buffett still hasn't visited a plant, though the company regularly meets with Berkshire representatives. Buffett and Berkshire didn't respond to requests for comment. Liegl, who stayed on as CEO, died in November at 80.

Forest River now sells more than 100,000 RVs a year on average and generates more than \$6 billion in annual revenue. Like its competitors, the company offers vehicles at various price points, but its bevy of entry-level towable trailers has helped make it the go-to brand for less-affluent buyers.

Michael Swartz, who covers the industry for Truist



Securities, said Forest River is especially disciplined with costs, which allows it to offer more attractive deals.

"People try to get their price points as low as possible to match Forest River," Swartz said. "They're viewed as a well-oiled machine."

Production and pay

The concentration of the industry around Elkhart has created an intensely competitive labor market. Workers, who historically haven't been unionized, are typically paid a relatively low hourly wage and a bonus known as a "piece rate" that kicks in if they hit a weekly production goal.

Job hunters prefer factories that offer piece-rate pay, according to RV execs, workers and industry consultants. Companies can lure away workers with even a small increase in the rate, leading to high turnover at plants.

Former piece-rate workers at the Big Three said the promise of leaving early once they hit their quota led to fast-paced assemblies. At the same time, RV makers design and produce new models in weeks, often copying popular features introduced by competitors.

The unstable workforce and lack of automation make it difficult to produce consistent results, Swartz said: "It's not everything measured to a laser-pointed width of a hair, like in autos."

Forest River said it offers a

variety of compensation programs for workers, and many of its highest quality plants are piece-rate facilities with low turnover.

"Pay programs do not define quality; rather, it's ongoing training, adherence to standards, regular audits, and long-term employees that combine to create expertise within our workforce," the company said. Forest River added it uses automation, though it declined to give an example.

Analysts say quality is an industrywide concern; market leader Thor and its subsidiaries, which operate separately, have collectively had the most recalls over the past decade.

Thor said it errs on the side of caution, issuing recalls when potential safety defects are identified. Winnebago said it adheres to industry best practices to ensure safety and dependability.

Some buyers don't know what they're getting into with an RV, said Pat Spackey, a former Air Force mechanic who began repairing RVs during the pandemic. "They'll have it for five to six years, sell it, and they say, 'Never again,'" he said. His repair business, he said, remains brisk.

Wade Mullins, a former General Motors machinist, bought a Forest River RV in 2021, thinking it would be an upgrade over his aging trailer. One of the camper's bunk beds broke during a final pre-purchase walk-through. The dealer fixed it immediately,

Mullins said, but he encountered other issues for years, including peeling wall panels and poorly fitting doors. A blown refrigerator fuse ended up costing him \$190.

"For whatever reason they put the fuse behind the fridge," he said.

Allison Paul bought a Forest River trailer in 2023. Within a month of it sitting outside, the pipe fitter said, rainwater began leaking through the ceiling. Paul said she put the camper inside a barn and argued with Forest River over the warranty until the company fixed it.

"This is the first and only brand new thing I've ever bought in my life, and it went to sh— in a year," she said.

Growing recalls

Forest River used to report as few as one or two recalls a year. In some cases, it issued technical service bulletins that are supposed to address non-safety-related issues. Some highlighted potentially fatal concerns.

In one 2014 bulletin, the company advised that loose wiring could spark a fire. In another the following year, it pointed to furnaces that didn't have exhaust vents, which could lead to carbon-monoxide exposure.

The National Highway Traffic Safety Administration told Forest River that those and other problems needed to be treated as recalls. Unlike bulletins, recalls require companies to provide fixes for free and routinely report how many units have been repaired.

As part of a settlement, the company admitted it had violated federal law and ultimately paid a fine of \$5 million. Though the sum pales in comparison with a \$65 million fine Ford paid earlier this year for similar violations, it is still among the larger penalties NHTSA has collected over the past decade.

In a 2015 interview with a trade publication, Liegl said the matter was an internal IT mistake. "While it was nothing I would call serious in itself, it was obviously serious to NHTSA," he said.

Forest River said it would remedy violations, create internal practices to comply with the law and conduct independent audits. Following the 2015 settlement, the company revamped its recall processes. It began to report an average of 50 recalls a year.

"As a manufacturer, we continually seek to improve quality and safety," Forest River said. "Recalls are one tool to accomplish this goal."

Michael Brooks, executive director of the Center for Auto Safety, said recalls improve safety, but

manufacturers should work to ensure defective vehicles never reach the road in the first place.

"I've just never heard a manufacturer describe a recall as a tool," he added. "It's something they have to resort to when their quality and other processes have failed."

Wiring risks

Forest River's quality control has come under fresh scrutiny through Nelson's lawsuit.

Nelson's lawyers declined to make him available for an interview. In a deposition filed in the case, he said taking his family camping had been a dream. While buying his Palomino Puma fifth-wheel trailer, he completed a course to learn best practices for owners.

Nelson returned his camper for a newer Forest River model that had the same wiring issue. After Nelson sued in 2022, his experts allege, the company conducted a study that found that more than half of Forest River plants surveyed were wiring towable RVs in a way that violated industry standards. One of Forest River's expert witnesses, in a report for the case, said that claim was unsubstantiated.

In seeking class-action certification, Nelson's lawyers said Forest River's recall is insufficient and that more than one million vehicles face wiring risks. One of his lawyers is Tab Turner, who more than two decades ago helped bring to light a rollover problem with Ford Explorers that cost the automaker billions of dollars.

The lawyers hired a team of engineers to survey Forest River vehicles in the field, and said they found roughly 60% of the 86 RV models surveyed had the same wiring problem discovered in the front of Nelson's trailers.

Forest River said in court filings the proposed class size is overblown because the standards Nelson cites apply only to one type of RV.

Forest River declined to comment on the survey conducted by Nelson's team or say how many fires have been attributed to the defect.

Heather Timmerman and Christy Csernyik say their RV should be on that list.

The pair were lying in bed one night in December 2023 when a fire broke out that destroyed their home. They got out in time but lost their cats and most of their belongings in the flames.

Local police and fire investigators couldn't determine the cause, and didn't rule out human intervention, improperly discarded smoking materials or problems with a generator.

Months later, Timmerman and Csernyik received a notice in the mail: Their camper was part of the faulty wiring recall. "When I got that letter, it all made sense," said Timmerman.

Forest River said connecting the trailer fire to the recall is "an unsupported conclusion."



Pat Spackey, left, says his RV repair business stays busy.

New Sobriety: Loud and Stigma-Free

A growing sober set is taking over mosh pits and football stadiums, partying even harder without booze

By JULIE WERNAU

John Plageman was covered head-to-toe in Green Bay Packers gear in April as he stood a few feet away from a beer tent at the National Football League draft. But he wasn't drinking beer.

The 53-year-old was hanging out with 20 other football fans drinking water in a "gratitude circle" at a sober tailgate. His group, Section Yellow, is a safe space for football fans to be boldly sober in one of the most intense drinking environments in American sports.

"Sobriety is this new culture wave," said Plageman, who stopped drinking 16 years ago. "I think this is a new phase of our evolution of humanity."

When tailgaters jokingly took selfies of themselves holding beers in front of the sober tent, Plageman gave them a ribbing right back.

Today's sobriety is in-your-face and everywhere. More than ever, people are seeking alternatives to alcohol, from \$15 mocktails and sober dating, to waking up early for sober raves and wearing T-shirts branding their sobriety. But some people think it is a buzzkill.

Doreen St. Felix, a staff writer at the New Yorker, quipped that we have entered the age of "sober fascism," or the idea that people talk about their sobriety so much they make it their personality. People seem addicted to sobriety, she said.

Americans increasingly think that alcohol consumption is bad for their health, according to a Gallup Poll. In 2024, 45% of Americans said drinking one or two alcoholic beverages a day is bad for one's health, a new high.

In-your-face sobriety is catching on with people in recovery, such as Plageman. But also with people such as Johnny Crowder, who never found partying all that fun in the first place.

At every show Crowder plays with his metal band Prison, the 32-year-old singer and tech executive has a key message for his fans: Don't drink or do drugs.

Reality is metal, he tells his fans.



ety with drinking stale coffee in the basement of an Episcopal Church, said Jeremiah Calvino, co-founder and chief product officer of Recovery.com, a marketplace for recovery programs and communities. Now it is also a bunch of weirdos at the climbing gym, he said, and people covering themselves in body paint.

Scott Strode, founder and executive director of sober community The Phoenix, got sober by whaling on a boxing bag. Now nearly one million people on his "sober active community" platform aren't only boxing, but rock climbing, line dancing and hosting beach parties.

"When you go into recovery, you feel left behind," Strode said. "But what if we gang up?"

That is exactly what Plageman decided to do. The Packers fan is such a die-hard that he owns a section of the goal post from the team's stadium. But he was tired of feeling like the lone sober person at football games.

So, six years ago, he and a friend muscled their way into Lambeau Field, where the Packers play, calling themselves "Section Yellow." They didn't ask permission.

"You don't have to be pious. You can keep your personality," said Plageman.

He got some pushback from other fans at the start. They bullied his group and put beers on their table.

Today, the group has six billboards on the way into the stadium and an official sober tailgate at the NFL draft.

When booze sales end for the fourth quarter, Section Yellow's fans release yellow (biodegradable) balloons in a kind of subversive celebration.

Plageman said he was inspired by one of the most substance-loving crowds in history: fans of the jam band Phish. A sober cadre of his fellow Phish fans fly yellow balloons at festivals. He is hoping he can persuade Phish to host a sober rock festival at Lambeau Field. The sober fans, he said, party down the most.

"We boogie, we boogie-down," he said.

'Sobriety is this new culture wave,' a Green Bay tailgate organizer says.

in 2017.

"Work hard, play hard? Kids hear that and say, 'That seems like a lot of effort,' " Marshall said.

Still, when his bar first opened, it wasn't an immediate hit. A group of people from a local

Alcoholics Anonymous meeting showed up and threatened to shut him down, saying that mocktails could trigger alcoholics to drink. A local newspaper commenter wrote, "What's next? A restaurant without food?"

"People don't get it at first," he said.

He doesn't serve soda. Or coffee. There are zero-proof cocktails, wines and beers. When people come in and say their plan is to quietly sit in the corner with a book, he discourages it. The comedy show or sorority party he is hosting might not make for a good library environment.

Engineering social interactions takes a little more work without the booze, he said, but people can actually hold a conversation. A group sitting at the bar recently had a raucous debate after one patron claimed that oatmeal-raisin cookies are better than chocolate-chip cookies.

"People went crazy," he said. Partying sober has also gotten more in-your-face. Carl Radke re-

turned to the reality show "Summer House"—and the party—sober.

Radke had spent the first several seasons of "Summer House" drunk and on cocaine. In 2020, his brother died of a drug overdose. His own relationship with substances took a dark turn. "I almost died," he said.

People told him they were worried that going back to an environment that is essentially one big party wasn't a good idea. He chose to go back to "Summer House." The only real change was that he stopped partying until 5:30 a.m. Now that is when he wakes up. He became so convinced that he wasn't the only sober person who liked to party, that he launched his own nonalcoholic drinks and bar.

"Is there a requirement that you have to be drunk and do cocaine to drive to the Hamptons?" he said.

Radke says that in some ways, we are all living in a reality show. His theory is that he isn't the only one who has seen enough footage of himself drunk, coked out and acting like an a--hole. But many are surprised to see a party on the other side.

People once associated sobri-



▲ Andrea Bastek and Sarah Adle wear matching 16-pound weighted vests on their walks.

during really intense or long workouts can lead to posture issues or a greater risk of injury as muscles fatigue, Purdom says.

And always consult a doctor before trying a weighted vest if you have back, shoulder or other orthopaedic issues.

Weighted vests are also beneficial for older people, especially postmenopausal women, who have a higher risk of developing osteoporosis and suffering from bone loss and fractures.

Studies suggest weighted vests can help prevent or reduce bone density loss. That's what drew Lauren Gleason, a 40-year-old dietitian in Decatur, Ga., to try one. "Bone health has been a personal priority for me," she says. "My grandmother broke her hip at my parents' wedding."

a substitute for resistance training. So how many more calories can you burn wearing a weighted vest? If you wear one equal to 10% of your body weight, it will burn an additional 8.5% calories, says Dave Looney, an exercise physiologist at CoachMePlus who has researched weighted vests for the Army. With a vest that is 20% or 30% of your body weight, that number jumps to 19.7% and 32.2%, respectively.

Weight vests can also boost endurance in stabilizing muscles, says Looney. They work your back, shoulders, abs and lower body, he says.

For running and high-intensity workouts, keep your vest weighted at 10% to 20% of body weight, and make sure it isn't affecting your normal range of motion, he says. It's OK to start with a light vest, but getting an adjustable one is recommended, so you can increase the weight. Wearing a vest that's only 5% of your body weight doesn't have a metabolic benefit, says Troy Purdom, an assistant professor of kinesiology at North Carolina Agricultural and Technical State University, in Greensboro, who conducts research on weighted vests.

His research has found that weighted vests can help with running performance. Recreational runners shaved more than 15 seconds off a 5K when warming up with a 10% body weight vest for 20 minutes prior to the race.

But be careful: Wearing a vest

professor of internal medicine at Wake Forest University School of Medicine.

Still, Roger Fielding, a senior scientist at Tufts University, says evidence on bone density isn't conclusive. He notes bone density changes over months to years.

While vests add resistance to cardio, they don't replace focused strength-training like dumbbell or body weight exercises, Fielding says.

Most of the studies include wearing it on average an hour a day for three days a week, Beavers says.

That's exactly what Sarah Adle, a 47-year-old attorney, does. She wears a 16-pound vest

with friends on regular power walks. She will walk up to an hour with the vest. "I hurt myself and stopped running, and I didn't feel like just walking around the neighborhood was enough," she says. "This feels like a good supplement."

And me? A month into my weighted-vest walks, I'm feeling less self-conscious. I've ditched the fleece I used to hide the vest with when passing through busier parts of our neighborhood.

Now, when I walk without the vest, I'm moving at a noticeably faster clip. I'm ready to upgrade to an adjustable weighted version so I can add more weight.

I may even spring for one with full coverage, like my neighbor's, so we can match as we march through the neighborhood, commando-style.

Are Weighted Vests Worth the Hype?



YOUR HEALTH
SUMATHI REDDY

It's not often that we intentionally add extra body weight. But the latest fitness fad encourages it: Meet the weighted vest.

You've probably seen them in your neighborhood, on power-walking pros out and about at the crack of dawn. That's my neighbor and me.

For the past month, we've been sneaking out in the early morning—she in a Navy SEAL-worthy vest and me in one that looks like an ill-fitting lifejacket—as we supercharge our walk. I duck across the street in a baseball cap to oblige my 11-year-old's plea to avoid her bus stop.

A fad, yes. Fashionable? Not so much.

So what are these weighted vests actually doing for us?

The vests have been around for decades, but were traditionally associated more with military training or CrossFit workouts. They have broadened their appeal, showing up on everyone from actress Jessica Alba to news anchor Katie Couric. They have grown particularly popular with middle-aged women.

The vests can enhance your cardiovascular workout. The benefits ramp up at weights of at least 10% of your body weight. But they're not

PERSONAL JOURNAL.

By DEMETRIA GALLEGOS

About 5.2 million new business applications were filed in 2024, according to the U.S. Chamber of Commerce. But based on historical averages dating back to 1994, about half of them will fail over the next five years.

So, what makes the difference between success and failure?

To find the answer to that question, we asked readers to tell us what one piece of advice was most useful to them in starting and running their business. And what do they wish they had known when they started their business. Here are some of their responses.

Ask for help

I wish I'd known when I started my business that it is OK to ask for help. I used to be hesitant because I didn't want to seem like I didn't know what I was doing. But I've learned that there's no shame in asking, and it's actually one of the smartest things you can do.

In the male-dominated music-promotion business and up against some behemoths, I've found a platform supporting diverse and inclusive artists. As a small-business owner, you just have to continue to pivot until you find a lane you can own and find your community. They will be your biggest champions. They have become mine.

—Marcie Allen, Nashville

Be true to your word

Say what you'll do, and do what you say. There is no excuse for not returning a phone call or for not calling to say you're late, for example. This is beyond just business, it is common courtesy, but it's not so common anymore.

—Dave Hulett, Hot Springs, Ark

Do the homework

I've made many mistakes based on emotions, which I now realize could have been avoided if I had taken the time to do market research and data analysis. The perfect example is when we expanded to the United Kingdom. We had received a couple of orders from England, and I thought it was a good time to expand internationally. The U.K. is an English-speaking country, so I assumed it would be easier to start there. But we didn't spend time understanding the different taxes and regulations, as well as market fit. We were not prepared for it and ended up closing down our U.K. operations after one year. It was a \$15,000 entrepreneurial lesson!

—Rowena Scherer, New York

You have to believe

I've learned that mindset plays an important role in running your own business, particularly an abundance mindset. It means believing in your ability to make things possible, even when things are challenging in business. And they will be!

This mindset helps you make decisions from a position of

Small-Business Owners Offer The Best Advice They Ever Got

Useful startup lessons came from hard-earned experience or from other entrepreneurs



▲ Rowena Scherer learned a '\$15,000 entrepreneurial lesson.'



▲ 'Say what you'll do, and do what you say,' advises Dave Hulett



▲ Shanna Hocking has found that the right mindset is crucial.



▲ Venkat Sharma has learned the importance of persistence.

strength, gratitude, generosity and learning. Practicing this mindset has helped me to keep moving forward when things don't go as planned or hoped, to continue to invest in my business to create opportunities and proactively build supportive relationships with other entrepreneurs.

—Shanna Hocking, Merion Station, Pa.

Ask the big questions

Your most important employee is your bookkeeper. He or she must have an accounting degree. Meet with them weekly. Are you spending more than you're bringing in? Where's the money going? Do you really need all of your big-ticket equipment, or services, or consultants? Are you depositing your payroll taxes? We had technical writers placed in Silicon Valley companies, and we had to make federal tax deposits every day, but we didn't know that!

Also, a CEO often rolls up her sleeves and helps with the work all day (and night). But you are the only one who had the vision, the passion. So you have to take an hour or a day occasionally to take a helicopter view. Ask: How's it going? What are the weak parts? How can we fix those areas? And, most important, What can we do to grow?

—Dorothy Webster, Humble, Texas

It's a marathon

Go slowly, especially when it comes to debt. I have seen many gold-plated businesses fail. Debt can drown a new business before it has time to get past its growing pains.

The idea of growing slowly is that it will give you time to really get to know your business and to understand where the true opportunities lie. In my case, we had envisioned a fine-dining restaurant with table service at lunch and dinner. Instead, we found out that lunch was a low-margin business because most people skip alcohol and desserts. But an even better opportunity was right under our nose. We had an extra room that we began using for business meetings and group events. These events would usually involve pre-ordered lunches or dinners, so our service costs were reduced, and there was usually a third-party payer, so wines and desserts were quite in fashion.

—Joe Roberts, Helena, Mont.

Customers before tech

I started my first business in college, building a Bluetooth-based tracking device and focusing, like an engineer, solely on the product and technology. Sales and marketing seemed like something you do later. Sure enough, no one bought it. My co-founder was friends with a tech founder who had just

turned the corner in his business. This is where we got the simple advice: Sales solves all problems. He told us to stop focusing on the technology and focus on the customer. Tune the product that they want to buy against our vision of what we wanted to build.

—Chris Herbert, Santa Barbara, Calif.

Press on

I am a serial entrepreneur with a mix of successes and failures. Even the successes were not without significant struggles, self-doubt, ups and downs. One key insight has stayed with me, though.

After my first company crashed and burned when I ran out of money, I started a second company, which was a great idea but slightly ahead of its time. I abandoned it as early revenues were slow to pick up. A few years later, I saw that same idea taken to market by someone else, with millions of customers, and a brand that many of your readers would recognize.

During a later startup, I was talking to a successful investor in small businesses. He made what seemed to be, then, an off-the-cuff remark. "It's surprising how many entrepreneurs are successful just by sticking around long enough." As I reflected on this statement and my entrepreneurial experi-

ence, to me, this translated to persistence—never give up. I took that to heart, and that was a key learning that was part of subsequent successes. However difficult the circumstances, my persistence was a key element of my success.

—Venkat Sharma, Louisville, Ky.

Don't hire your spouse

I have some spectacular successes and spectacular failures. Here is just a little bit of what I've learned.

1. Spend at least five years working in the business you intend to start. Before you launch a restaurant, work in them for five years. The most successful founders are ones that see a new trend or creative idea from a business they are currently working in.
2. Understand tax strategy, as taxes are your No. 1 expense and your best opportunity to retain operating capital.
3. Never hire your spouse or your relatives; it discourages the other goal-achievers.
4. Drive an old pickup truck like Sam Walton. Don't be ostentatious. Be humble. Be thankful that you lucked out with the right idea at the right time. You are lucky, not brilliant.
5. The least-attractive businesses are the most profitable. Janitorial services are good.

—Michael Lowery, Colorado Springs, Colo.

FROM LEFT: ROWENA SCHERER; DAVE HULETT; NICOLE MCH PHOTOGRAPHY; VENKAT SHARMA

Chasing Scotland's 'Mr. Tea'

Continued from Page One

Mississippi tea farm. Along the way, McNaughton found out he was wrong about one thing: There are legitimate tea farmers in Scotland, a country famed for its cold and cloud.

Robinson just wasn't one of them. He was found guilty of fraud and on Wednesday was sentenced to three-and-a-half years in prison.

Few nations drink more tea than Britain, a country where "having a brew" is woven into the national identity. British colonialists helped spread tea drinking—and the growing of the plants—around the world. The World Bank valued the global tea market at around \$7 billion.

Robinson wanted a piece of that.

In January 2014, he began selling "smoked white tea" to high-end hotels that he said was cultivated on his estate in Perthshire, just south of the country's Highlands area.

You can call me Mr. Tea, he told British media, having snagged what he described as top prize in the "Salon de The" global industry awards in Paris.

The tweed-wearing Robinson touted top university qualifications in agriculture and a spell as a British army bomb disposal expert.

Robinson also said he'd created a new way of growing tea plants ideal for Scotland. His tea needed less light because it was cultivated in a biodegradable polymer wrapping, he

► Thomas Robinson at his farm in the Scottish Highlands in 2016.

said. The breakthrough was later described in court as looking like a black trash can liner.

In early 2015, Richard Ross was in his car when he heard of Robinson's Scottish tea production on the radio. "It was a light-bulb moment," said the food and drink writer, who had land just 8 miles from Robinson's farm.

Ross went to meet Robinson, who was then going by the name of Tam O'Braan, and bought 500 tea plants for the equivalent of around \$8,100.

By 2018, McNaughton's team had been contacted by local authorities who were concerned that whenever they tried to check Robinson's business, he was never home.

A former detective with a six-cups-a-day tea habit, McNaughton heads the Scottish Food Crime and Incidents Unit, a government-run consumer-protection group.



During his police career, McNaughton had worked on all manner of vile crimes, from murder to violent assaults. Food fraud can be just as serious. His team has investigated toxic fake vodka and poisonous weight-loss pills.

But they were surprised to be investigating Scottish tea, and even more so to learn the country had around 30 plantations. "I thought, my goodness, I didn't know there was one," said Ian Cowie, a senior investigator.

Over copious cups of tea, the team set to work. Some of Robinson's claims quickly unraveled. Qualifications from particular univer-

sities appeared to be incorrect. The British army had never heard of him. The Salon de The in Paris was a small cafe, not the tea industry's Oscars.

Cowie knew that Robinson was selling large amounts of tea to the Balmoral Hotel in Edinburgh and posh London store Fortnum and Mason's, claiming that it came from his own and other Scottish plantations.

After a cup of tea on a visit to a plantation in Perthshire, Cowie could see that Scottish production was very real. "It was very nice actually," he said.

Other local plantations were also selling to Robinson. But investigators questioned whether their combined production matched the amount he was passing off as Scottish.

Meanwhile tea plants sold by Robinson were struggling. Nearly a third of Ross' had died within two years.

When Cowie contacted Robinson and asked for some paperwork, he

was told the documentation had been destroyed in a fire. He would later say a flood.

From 2020, McNaughton's team began submitting their evidence to prosecutors. "Scottish tea just sounded ridiculous," he said. "But such fraud can have an impact on trust."

Robinson's trial began in May. He denied the fraud charges.

That's when Jason McDonald in Mississippi received an email.

McNaughton's team wanted help for the trial in working out whether Scotland's combined crop could ever even match what Robinson was already selling as Scottish tea.

"Scotland is not the most suitable place in the world for tea," said McDonald, who grows it in Mississippi. "But it tastes great," he said. McDonald concluded that the yield from Scotland's crop wasn't enough for the 500 kilograms of tea that Robinson had sold as Scottish.

In fact, Robinson had bought tea from Sri Lanka, Malawi and China via a London dealer and simply sold it on as Scottish at a large premium, prosecutors said.

Meanwhile, the tea bushes that Robinson said he had developed for Scotland had actually been bought in Italy.

Ross and several others have since given up cultivating Robinson's tea plants.

The swindler has become a huge headache for the Scottish tea industry, sparking online ridicule and concerns that customers will question the provenance of its brews. But he also helped.

"Oddly, he's the Godfather of the Scottish tea industry," said Islay Henderson, who has been growing tea on the hilly banks of a Scottish loch for seven years and is producing enough to sell to high-end restaurants. "He sparked people's interest in it."

ROBERT PERRY/AFP/GETTY IMAGES (2)

► A cafe owner prepares a pot of Robinson's 'smoked white tea.'



REACH FOR THE CROWN



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ARTS IN REVIEW

ARCHITECTURE REVIEW

A Building’s Practical Power

The newly expanded Perry Glass Studio offers a contemporary view of an ancient art form



The studio, left; a scene from its grand opening earlier this year, below.

shop, where two melting furnaces are kept constantly burning, night and day, to maintain the 2100 degrees Fahrenheit necessary for working glass. A space of both making and teaching, it takes the form of a 200-seat black-box theater, surrounded by a balcony, and can be dramatically darkened for educational purposes. You might effectively stage “Faust” here (or any other production that would be enhanced by flames).

This is no antiseptic gallery. It is a gritty place of making, with a resolutely industrial aesthetic. The floors are of concrete and the walls brick, while the ceiling is painted black and left unfinished. The only note of color is in the prominent pipes of the sprinkler system overhead, which are painted in bright, vibrant red—the architects’ “playful” way of telling the visitor not to fret about the omnipresent fire.

Bare concrete and brick are sound-reflective, and pose an acoustic challenge for artists trying to teach. The architects recognized that they could never achieve silence, not in the presence of roaring furnaces, but settled for making the human voice at least “discernible,” using discreetly

placed sound-absorbent panels and a perforated ceiling. They have done this sensitively and—as anyone who has listened to a glassblowing demonstration will attest—successfully.

The Perry Glass Studio does not strive to be beautiful, but to support the making of beautiful objects. At heart it is a prosaic building. But prose can be as eloquent as poetry, and a well-made tool can be a thing of beauty.

After the glassblower’s demonstration, I made my way back to the Chrysler. Having watched molten glass pulled from the furnace, as mesmerizing and omi-

nous as flowing lava, and expertly twisted at the end of the blowpipe, I found that the museum’s rows of precious glass objects had acquired a different meaning. They seemed made not of lifeless matter, but of consolidated fire, charged with human effort; their silence was like that of a volcano that’s dormant—not dead.

Mr. Lewis teaches architectural history at Williams College and reviews architecture for the Journal.

By MICHAEL J. LEWIS

You don’t have to be old to know that the museum experience has changed. That phrase is itself the most radical change of all, for it assumes that a museum is not a storeroom of objects but a place where things *happen*, that its fundamental duty is to offer you an experience. This idea has already affected the internal balance of power of the contemporary museum, whose programming branch is coming to rival the curatorial in terms of prestige and clout.

This gives special interest to the Perry Glass Studio, where the visitor’s experience is particularly immersive—to use the fashionable term. Yet it is not the usual zippy apology for the static array of objects on the wall or in the vitrine. If anything, it makes those objects more comprehensible, even urgent—which is quite an achievement, since you have to cross the street to see them.

The Perry Glass Studio was founded by the Chrysler Museum of Art, whose collection of some 10,000 glass objects is remark-

able. It spans three millennia, providing a comprehensive history that the museum wanted to bring up to the present day. In particular it wanted to show that this history is not a closed book and that the Studio Glass Movement, which began in the 1960s, remains a vital genre of contemporary art.

Toward that end, the Chrysler acquired a nearby bank building and in 2011 converted it into a studio for contemporary glass artists and for public classes in glassblowing. That original studio has now been given a \$30 million, 24,000-square-foot addition, tripling it in size and in the process transforming its meaning.

I foolishly assumed that the addition would be made of glass, and so did its architects. Work Program Architects, a Norfolk-based firm, first sketched a glazed building in the tradition of the Crystal Palace and Bruno Taut’s *Glashaus*. They soon discovered that the worst material for a glass studio—weirdly enough—is glass. As molten glass cools, it changes color, telling you the precise moment it can be worked and shaped. You need controlled lighting, not fickle daylight.

This was the moment, as lead architect Rob Crawshaw told me,



when it became clear that the project demanded a straightforward, smoothly functioning workshop, not a symbol of itself. It is anything but flashy. Built of a coal-black brick with cream-colored terracotta trim, it is a simple two-story box, bent slightly in the middle so that its entrance points to the Chrysler across the street.

The site complicated matters. Close to sea level and prone to flooding, it forced the architects to raise their building onto a 4-foot-

high earthen terrace. This was planted with native, salt-tolerant species, which act “as a green sponge” and reduce runoff. The added height compels you to traverse a long serpentine ramp to reach the entrance, or else mount several sets of steps and cross a small bridge.

The moment we enter we can see fire. The broken axis of the building “genuflects,” to use Mr. Crawshaw’s felicitous term, toward the studio’s principal hot

CULTURAL COMMENTARY

A Grand Folly In Three Dimensions

By ERIC GIBSON

NEXT TUESDAY, July 1, is the deadline for artists to submit applications to contribute to the National Garden of American Heroes, a joint venture of the National Endowment for the Humanities and the National Endowment for the Arts. The project, proposed during the first Trump administration and revived this year, would create an outdoor display, in an as yet undetermined location, of 250 life-size statues of individuals “who have contributed to our cultural, scientific, economic and political heritage,” as the NEH’s April 24 press release states.

Grants of up to \$200,000 per statue are available, with the subjects drawn from a wide-ranging list contained in President Trump’s Jan. 18, 2021, Executive Order 13978. Applicants must “submit a two-dimensional or three-dimensional graphic representation of the preliminary concepts for up to three statues of selected individuals, accompanied by a description of the proposed project and workplan.” Successful applicants will be notified by Sept. 25 and must deliver their finished statue(s) by June 1 of next year. According to Acting NEH Chairman Michael McDonald, “The projected unveiling date for the Garden is on or about July 4, 2026.”

Talk about an impossible dream.

The author of this idea must imagine that artists of the caliber of Augustus Saint-Gaudens and Daniel Chester French walk the land today. They and other sculptors active during the second half of the 19th century created statues of America’s great and good, some of which stand as enduring masterpieces of American art.

One of the latter is Saint-Gaudens’s Farragut Monument (1877-80) in Manhattan’s Madison Square Park. David Glasgow Farragut was the great naval hero of the Civil War, famous for the battle cry, “Damn the torpedoes! Full speed ahead!”

Saint-Gaudens’s bronze statue of him stands atop a stone pedestal whose sides curve out to form an exedra, or high-walled bench. Farragut is posed as if on the prow of a ship, feet planted firmly on the ground, one just ahead of the other, and facing into a wind that billows his coat. The right arm hangs down, the left is flexed, hand tightly gripping a pair of binoculars. His torso rotates slightly toward his right, while his head turns in the opposite direction, his lips pursed and his gaze fixedly and determinedly staring at something in the distance. Light and shadow play across the statue, articulating the form and animating every square inch of its surface.

A good likeness the Farragut may be, but the reason it gets and holds our attention is that it is

more. Saint-Gaudens has orchestrated the language of the human figure—pose, gesture, facial expression, even dress—to express ideas about his subject’s character, situation and the like. In so doing, he has created both a dynamic individual active in the world and a statue that transcends time and place to embody a set of values.

I can’t claim to have made a scientific study of the genre, but the contemporary sculptured figures that I’ve seen over the years are, by comparison, like three-dimensional snapshots—records of surface appearances, nothing more. And while their knee bones may be connected to their thigh bones, most display only a notional, something-like-this-goes-here understanding of the architecture of the human body. You get no sense of how the members function individually and as part of a whole. More broadly, even when anatomically correct, these works reflect no understanding of the expressive poten-

tial of the figure itself as a vehicle of ideas. As works of three-dimensional art, they are mostly just piles of inert matter. You look once, then quickly move on.

Blame the state of art instruction. Since the Renaissance, mastery of the human figure has been considered the indispensable pre-

requisite, the foundation of everything in art. Even Henri Matisse, one of the founding fathers of modern art, made life drawing integral to his practice. Yet recent decades have seen abstract and conceptual art prioritized over such traditional methods as having students work from the live model.

Then there’s the zeitgeist. The heroic mode exited American art generations ago, replaced first by irony, then grievance, both attitudes antithetical to the spirit of celebration that is the Garden’s *raison d’être*. So the odds of this project yielding one work capable of passing the test of time in the manner of the Farragut Monument, much less 250, are, well, long.

My advice: Scrap the field-of-figures idea. Instead, hire a talented landscape architect to create a bucolic environment built around a wall etched with the names of the notables, leaving room for later additions. That’s the only way to prevent the National Garden of American Heroes from becoming the Cavalcade of Kitsch.

Mr. Gibson is the Journal’s Arts in Review editor.

Augustus Saint-Gaudens’s statue of David Farragut in Madison Square Park, New York.



SPORTS

Can a Woman Run a Four-Minute Mile?

Faith Kipyegon, the world-record holder, will attempt to break the barrier this week. She'll be getting plenty of help.

By RACHEL BACHMAN

More than 70 years ago, Roger Bannister became the first person to run a mile in under 4 minutes. And, as runners continued to obsess over the mark, several thousand more followed in his wake.

But all of them had one thing in common: They were men. Now, for the first time, a woman is taking aim at a 4-minute mile. Faith Kipyegon, a three-time Olympic champion from Kenya, will make her attempt at the previously unimaginable target on Thursday in a closed-course event at the Stade Charl ty in Paris.

"I think it will cement my legacy and also give hope to other women that everything is possible," Kipyegon said.

The question is exactly how possible. Nike, her sponsor and the event's organizer, is calling this a moonshot, and with good reason. To go under 4 minutes, the 31-year-old Kipyegon needs to slash nearly eight seconds off her current world record of 4:07.64.

Nike has supplied her with special spikes and a sleek, custom racing suit. But the most crucial element probably won't be anything she's wearing. The biggest difference-maker will likely be the pacesetters running with Kipyegon to help maintain the frenetic rhythm and shield her from wind. A spokesperson said Nike had tested different strategies and that the final formation would be revealed on Thursday.

Kipyegon has already written her name into the history books repeatedly by setting world records in the 1,500 and 5,000 meter races. But the mile remains the distance that stays in the minds of even casual weekend runners.

World Athletics President Seb Coe, who set the mile world record three times in the 1970s and 1980s, pointed out that more people have reached the summit of Mount Everest (an estimated 7,000) than achieved a 4-minute



Faith Kipyegon will make her attempt in Paris.

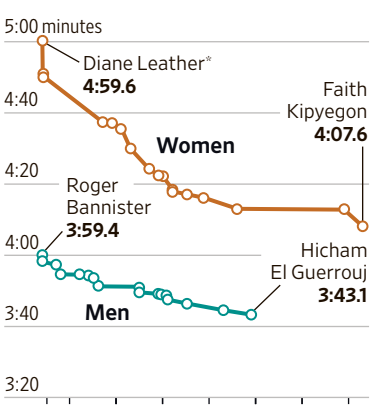
mile (about 2,100, according to Track & Field News editor Sieg Lindstrom).

"The mile still has a universal cachet," Coe said.

Nike has plenty of experience with stunts like this one. Eight years ago, it staged a race in Italy for Kenyan star Eliud Kipchoge to try to run a marathon in under two hours.

The company equipped him with state-of-the-art shoes and a phalanx of pace-setting runners tagging in and out to escort him on his way. Kipchoge missed the mark by 25 seconds at the time. But in a subsequent staged attempt two years later, he hit the historic mark on a closed course

Mile world record progression



*World records for women weren't ratified until 1967. Source: World Athletics

in Vienna.

Due to the highly controlled conditions, Kipchoge's effort wasn't eligible for world-record ratification—no one has run a marathon in under 2 hours in competition. The same will be true of Kipyegon's attempt. Track and field governing body World Athletics requires that world records be set in live competition.

Still, Kipyegon is throwing herself into uncharted territory for women. Trimming 7.65 seconds over the course of a mile is a monumental leap that will require every possible efficiency.

Aerodynamic drafting with the help of pacesetters could contribute to a saving of 3 to 4 seconds

at 4-minute-mile pace, according to a recent academic paper written in part by two Nike-funded researchers. When Bannister broke the 4-minute barrier, he drafted closely behind two different pacers for more than 80% of the run.

Another study, published in February independently of Nike, said its calculations "suggest that Kipyegon could run ~3:59.37 with drafting provided by one pacer in front and one in back who change out with two other pacers at 800 [meters]."

Wouter Hoogkamer, one of the authors of the February study, said, "We didn't think they were going to try it this soon. But I guess if anybody's going to do it, it's going to be Faith Kipyegon."

Beyond the pacers, Kipyegon—who once won a junior title running barefoot—will also rely on a knee-length bodysuit studded with raindrop-sized nubs that Nike calls "aeronodes," which are designed to "split the air in front of Faith and create smaller eddies behind her to reduce drag." The kit includes arm and leg sleeves and a headband.

Her custom track shoes, meanwhile, feature six spikes instead of the regular five and more cushion under the forefoot. The general category of super spikes, developed with high-tech foams and carbon-fiber plates, has driven a surge in 4-minute miles among men.

Kipyegon's attempt comes as Nike seeks to rejuvenate its brand and capitalize on the rising profile of women's sports. But not everyone necessarily sees the sporting merit.

Kara Goucher, a retired U.S. Olympian and former Nike athlete who has been critical of the brand, called Kipyegon a "true prodigy," but thought that fixating on 4 minutes was misguided.

"We are focused on a woman breaking a men's barrier instead of what she has already done," Goucher wrote in an email. "She has run 4:07 in the mile. That is wayyy faster than what was ever believed that a woman could run."

BRYAN BANDUCCI/BLUMENBERG NEWS

The WSJ Daily Crossword | Edited by Mike Shenk

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NO KIDDING! | By Mike Shenk

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1 Packs of plotters	28 Ukr., once	49 Virginia-to-30-Across Amtrak option	4 Pearl Mosque site
7 "Alexander Hamilton" biographer Chernow	30 Key location: Abbr.	52 Low pitch	5 Position on a golf course
10 Prepare for tomorrow's test	31 It may be sprinkled on les frites	53 Respect, informally	6 Spot for seeds
14 Slow when playing	32 New Englander's milkshake	54 Like rotini	7 It's made to measure
15 Crazy eights cousin	34 Suffers a toe woe	57 Underfoot?	8 Carat, vis-�-vis a gram
16 Medal recipient, maybe	36 Their faces used to appear on milk cartons (and what will explain 12 of the Down answers)	58 "You are so right!"	9 Also excluding
17 Ground-breaking invention	41 Short-tailed lemur	62 Home to Yeats	10 Stubble setting
19 Wide-flanged girder	42 Brother of Lucrezia Borgia	63 According to	11 Picture puzzle
20 Bullpen pitcher's job	43 Head of Vegas?	64 Big name in potato products	12 Good for farming
21 Gives the cold shoulder	46 Wide shoe indication	67 Hound or badger	13 Bite
22 17-million-square-mile area	47 Two-time loser to DDE		
25 "Nicomachean Ethics" author			
		Down	
		1 Budget rental	
		2 Hoo-ha	

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Previous Puzzle's Solution

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Cooper Flagg Can Do Almost Everything. Will He Save the NBA's Biggest Punchline?

By ROBERT O'CONNELL AND WILL DEHMEL

WHEN COOPER FLAGG heard that the Dallas Mavericks had traded Luka Doncic, he had the exact same reaction as everyone else in the world.

"We just all started going crazy," Flagg said. "It was such a shock."

There's one big difference between Flagg and every other basketball fan who couldn't believe that the Mavericks had willingly sent away one of the NBA's premier superstars.

As of Wednesday night, it will be Flagg's job to replace him.

When general manager Nico Harrison officially makes his selection with the No. 1 pick of the NBA draft on Wednesday night, Flagg will become a Dallas Maverick. His role will be to rescue the franchise from one of the most calamitous decisions in pro sports history.

The most remarkable thing, though, is that Flagg might just pull it off.

Plenty of NBA draft picks enter the league with one spectacular skill that separates them from everyone else—dead-eye shooting or top-grade athleticism. Teams will be lining up on Wednesday to get players they think can become ace passers or shot-blocking defensive anchors.

The difference with Flagg? He can do all of the above—and then some. Before he ever played a second of college basketball, Flagg dominated a scrimmage with Team USA's Olympic squad, leaving the world's best players shaking their heads. And last season at Duke, he carried the Blue Devils to the Final Four while leading the team in every single statistical category: points, rebounds, assists, steals and blocks per game.

"He's basically a point guard," ESPN analyst Jay Bilas said, "in a 6-foot-9 body." Any franchise would

count itself lucky to land Flagg, who has been penciled in as 2025's top pick since well before he enrolled at Duke. But for the Mavericks, who endured fan protests and widespread ridicule following the Doncic trade, Flagg represents a once-in-a-lifetime chance to undo the damage almost as quickly as it set in.

When the Mavericks traded Doncic away in February, the idea of Dallas getting Flagg seemed about as realistic as Dallas getting a ski resort. The Mavericks entered the draft lottery—which determines the order by weighted drawing—with just a 1.8% chance of getting the top pick.

Despite the long odds, Flagg was in many ways the exact type of player Harrison was chasing when he opted to dump Doncic. In explaining his decision to send a perennial MVP candidate to a conference rival, Harrison outlined his philosophy and why Doncic—an often sluggish and uninterested defender—didn't fit it.

"Defense wins championships," Harrison

said. "We're hanging our hat on defense."

In his wildest dreams, Harrison couldn't have imagined that his team would match his vision so quickly. When they traded Doncic away, the Mavericks received Anthony Davis, one of the NBA's most dominant defenders, in return. Now, Harrison can add Flagg—another tenacious stopper who is capable of guarding every position on the floor—to the mix.

When the lottery's ping-pong balls bounced Dallas' way, last month, the entire basketball world fixated on how lucky the Mavericks were. Some conspiracy-minded fans even suggested the league had paid the franchise back for sending one of its biggest stars to one of its biggest markets.

But there's another side to Dallas' good fortune. Though they'd plummeted from the highs they achieved with Doncic—including a trip to the 2024 NBA Finals—last year's Mavericks still retained a serviceable roster built around Davis and All-Star point guard Kyrie Irving. That's why they had such a slim chance of getting Flagg: the best odds, in the lottery, go to the worst teams.

Flagg now enjoys a luxury very few No. 1 picks ever receive. He's about to join a franchise that is ready to compete for a playoff spot right away. That's a far cry from what happened to recent No. 1 pick Victor Wembanyama, whose San Antonio Spurs have lost 108 of 156 games since he was drafted.

For his entire basketball life, Flagg has taken the fast track to stardom. He reclassified to enroll at Duke a season early. He competed against the NBA's best players before he'd bought his college textbooks.

Now he's got a new task. To heal a fanbase's broken hearts—in record time.



Cooper Flagg

BRYAN ANDERSON/ASSOCIATED PRESS

OPINION

The MAGA Isolationist Mirage

By Karl Rove

Operation Midnight Hammer demonstrated the U.S. military’s awesome power and dealt Iran’s nuclear ambitions a severe setback. It also ignited a debate at home. Was the assault on Iran’s nuclear facilities a betrayal or a furtherance of President Donald Trump’s “America first” agenda?

Neo-isolationists argued Mr. Trump abandoned his MAGA base and predicted the immediate outbreak of a great Middle Eastern war. They were wrong on both counts. No ground war has erupted. Nor is one remotely likely. And there’s clear evidence that Mr. Trump acted in accord with his domestic coalition, which seems in reality interventionist-minded.

Look at a poll that the Ronald Reagan Institute conducted three weeks before the B-2s unloaded their ordnance—and therefore prior to any rally-around-the-flag effect from the strikes.

The June 2 survey by Beacon Research and Shaw & Co. Research found that “when it comes to international events,” 64% of Americans think it is better for the U.S. “to be more engaged and take the lead” compared with 23% who believe it’s better “to be less engaged and react to events.” That’s a marked pro-international-involvement shift from last November, when 32% said they preferred less engagement and 57% said more.

When you dig into the partisan numbers, things look even worse for the neo-isola-

tionist case. Among Democrats, support for being more engaged is at 65%, and among independents, 50%. The biggest supporters are Republicans—at 69%—and particularly self-identified MAGA supporters, 73% of whom are pro more engagement. Among non-MAGA Republicans, it’s only 59%.

Republican support for increased engagement has risen across the board since the mid-November survey by a whopping 21 points. Again, this is due more so to Mr. Trump’s base. MAGA Republican support for more engagement went up 22 points, while non-MAGA backing rose 11 points.

While neo-isolationists paint international involvement as out of fashion, the numbers say otherwise. Of any age group, it’s Americans under 30 who most favor more engagement, at 68%. But no age group was below 61%.

The survey also examined four questions about America’s engagement. An overwhelming 86% of respondents felt “a strong US military is essential to maintaining peace and prosperity at home and abroad,” with 59% believing that strongly. There was a partisan divide—75% of Republicans and 47% of Democrats strongly agreed with the statement.

The proposition that American “leadership and engagement is essential for promoting trade and boosting our economy” likewise drew a remarkable 85%, with 49% agreeing strongly. There was little difference between the

parties on this question: 54% of Republicans and 50% of Democrats strongly agreed.

Eighty-two percent of Americans also felt that the U.S. “has a moral obligation to stand up for human rights and democracy whenever possible.” Fifty percent agreed strongly. There was a partisan split on this question: 63% of Democrats agreed strongly but only 42% of Republicans.

A recent poll belies the claim that the Trump base opposes foreign intervention.

Lagging far behind was the proposition that the U.S. “is better served by withdrawing and focusing more attention on problems here at home.” While 57% agreed across the political spectrum, only 29% felt strongly. Support for this neo-isolationist approach has dropped 5 points among Democrats and independents and 6 points among Republicans since this question was last asked, in the Reagan Institute’s May 2024 poll.

These responses show Americans are capable of holding conflicting opinions. By a huge margin, they want their country to be engaged in the world and to lead. They believe that is important for trade and prosperity. They want the U.S. to stand for human rights and democracy “whenever possible.” And some people can hold those views while also wanting more

attention paid to challenges at home.

The Reagan Institute survey shows Americans understand the world is full of challenges: 84% are concerned about “preventing Iran from obtaining a nuclear weapon.” More than 7 in 10 are worried about “a potential war between China and Taiwan,” “illegal immigration across the southern border,” “the war between Russia and Ukraine” and “the security of Israel.”

The poll shows Americans are clear-eyed about the world and national security. We’re concerned about the threats posed by our adversaries. We’re certain the U.S. must lead and that our allies must step up and do their fair share, as the president is pressing North Atlantic Treaty Organization members to do.

The survey shows neither Republicans nor Americans in general are neo-isolationists. In launching Operation Midnight Hammer, Mr. Trump acted in accordance with what most Americans believe—that our great nation must be strong, dependable and engaged abroad if we’re to have peace and prosperity. Most Americans believe peace comes through strength and its judicious use. The world—including opponents of the West—saw that early Sunday morning, Iran Standard Time.

Mr. Rove helped organize the political-action committee American Crossroads and is author of “The Triumph of William McKinley” (Simon & Schuster, 2015).

BOOKSHELF | By Steven Poole

Silence Your Phone for Real

Unplug

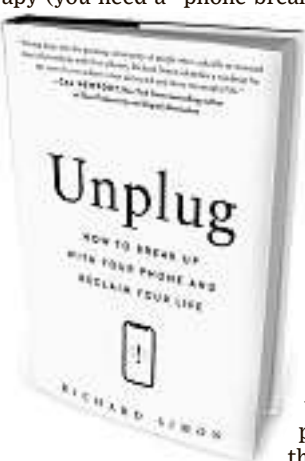
By Richard Simon

Workman, 224 pages, \$20

Don’t you sometimes wish that you could throw away your smartphone? You’d be free from the doom spiral of news and social media, and more engaged with the people around you. You’d notice beautiful everyday things. Life would be so much calmer.

But then what would you do without the authenticator apps, and the banking apps, and that great camera, and your work emails? It’s unthinkable. Or is it? With “Unplug,” Richard Simon, a journalist and director of website strategy at Georgetown University’s law school, is here to tell you that it can be done, and to explain how.

As in a 12-step program, the first thing to do is to admit that you have a problem. Our relationships with our phones are described in this book with the language of substance addiction (you need a “digital detox”) or relationship therapy (you need a “phone breakup”), and the cure is quasi-



religious: You should “ritualize” things like reading or even daydreaming.

Mr. Simon recommends beginning by going cold turkey: He switched off his own smartphone for 12 months, having warned friends and family, and advises the reader to disconnect for at least 60 days. Once you have struggled through the worst of the “withdrawal,” you can decide whether you want to use a “basic phone” (one without internet services) or perhaps try to “reintegrate” the smartphone (as though it

were a paroled prisoner being helped to live again in civil society) while being more “mindful” of how you use it. There is pseudoscientific talk of the neurotransmitter dopamine as the molecule that smartphones evilly target and how the technology manipulates us on a chemical level. In Mr. Simon’s view, addicts should be wary of behaviors that replace one source of surging dopamine with another—if you dump your phone but watch endless YouTube videos on your laptop, you’re no better off.

Beware, too, the “digital hack,” a strategy to keep your phone but make it less pleasant to use, such as simply switching the display to grayscale. (I have done this. It is surprising how much less interesting it becomes to consume gobbets of pseudonymous rage on X or Facebook.) Like many an addiction counselor, Mr. Simon thinks such small-scale efforts are less likely to succeed than total abstinence. His book draws thumbnail case studies from many interviews with smartphone refuseniks, from the Philadelphia Phillies right fielder Nick Castellanos to the novelist Kate Emmons and the chess grandmaster Wesley So. Mr. Simon betrays a rather puritan extremism: The monk-like heroes of the narrative are those who go whole hog and absent themselves from any portable long-distance communication at all. Personally, I wasn’t sure that the guy who takes his 1-year-old son on mountain hikes without bringing a cellphone deserved to be in line for Father of the Year.

The book is written in a friendly and encouraging style, and offers many observations that might spark sober recognition in any reader. “The time you take looking at the screen is time you don’t get back,” one media professor tells Mr. Simon. “It’s almost like I want something in that junk food category in my brain,” a software engineer confesses. The sight of parents ignoring their children in favor of their phones is the subject of the author’s recurring laments. Kindly but firmly, Mr. Simon insists: “Unless you’re working at the State Department there is no need for you to be checking news throughout the day.”

Even landlines were once understood as a problematic distraction. Alexander Graham Bell didn’t allow a phone in his study.

Even before smartphones, Mr. Simon notes, their landline predecessors were accused of hindering attention. Alexander Graham Bell did not allow a telephone in his study: After all, that’s where he went to concentrate on his work.

“Unplug” reflects the growing interest in an alternative to the always-on life. There is now a market, for instance, for premium, not-so-smart devices such as the Light Phone (“designed to be used as little as possible,” its advertisements say reassuringly) or the button-festooned Punkt phone. A reader might worry, however, that following Mr. Simon’s advice is going to be easier for the relatively privileged. For a start, there’s the list of new gear he says you’ll need to buy: not just a basic phone but also a nice compact camera (because the cameras on dumbphones are terrible), a sheaf of paper maps (no GPS for you) and something to play music or podcasts on. (Mr. Simon recommends a screenless device, called the Mighty, that essentially reinvents the old iPod Shuffle for Spotify users.)

Giving up a smartphone (or, at minimum, leaving it switched off) is not going to be an option for those who rely on low-paid “gig economy” work such as Uber or delivery drivers, or anyone whose employer expects them to be rapidly answering work messages as they come in. The biggest problem with this book’s arguments is that they make individuals responsible for resisting the blandishments of smartphone tech, when its intrusive demands are often mandated by forces outside their control.

This is recognized by some polities: In France, for example, employers are forbidden from emailing their workers outside of agreed-on office hours. But as long as such guardrails are not imposed from above, there will remain a lot of people involuntarily tethered to the surveillance devices in their pockets, and it seems rather unkind to blame it on their own weak wills.

Notwithstanding such criticisms, this book contains a lot of good advice: You should go for aimless walks without checking social media, or play golf, or bring a book to read if you are dining alone at a restaurant. Watch your children play sports without ravenously scrolling an endless feed. Listen to music attentively. Grow vegetables in your backyard. “This idea of getting out of your house to do meaningful activities is a critical step in filling your time,” Mr. Simon advises. Apparently things have got so bad that we need a therapeutic manual to learn how to live like a normal person from 20 years ago.

Mr. Poole is the author of “Rethink: The Surprising History of New Ideas.”

By Phil Gramm
And Donald J. Boudreaux

When announcing the agreement allowing Nippon Steel to acquire U.S. Steel on May 30, President Trump promised to double to 50% U.S. tariff rates on steel and aluminum. On June 3 he signed a proclamation implementing those tariffs and also applying them to the steel and aluminum content in derivative products.

While it is hard to imagine that such draconian tariffs on two essential imports could be sustained—and negotiations apparently are under way to grant Mexico a partial waiver—it is the most reckless trade action of the Trump presidency.

Because steel and aluminum are crucial in manufacturing, anything close to a 50% tariff will drive up the cost of U.S. manufactured products dramatically. That will harm consumers, make U.S. manufactured products far less competitive on the world market, and significantly increase the probability that tariffs will drag the economy into a recession. By making reciprocal trade agreements more difficult to negotiate, Mr. Trump’s steel and aluminum tariffs will increase the probability of retaliation against American exports and an all-out trade war.

But these tariffs will hurt more than the economy. They will harm national security by

increasing the cost of two essential components of defense procurement just as Congress is poised to increase military spending by \$100 billion. The defense industry is already struggling to replace ordnance and equipment sent to Ukraine and replacing ordnance expended by Israel will add to that burden.

While total imports compose less than 14% of the U.S. economy, steel imports make up 25% of U.S. steel consumption. The U.S. imports roughly half its aluminum consumption. The new 50% tariff will have negative economic effects far larger than the original 25% tariffs in 2018. Those had carve-outs for Canada and Mexico, the largest suppliers of steel and aluminum to the U.S. Brazil and Korea were also exempt. The 2018 tariffs didn’t cover derivative products that could be imported as substitutes for raw steel and aluminum. This time around prices for consumer goods, such as lawn furniture at Walmart, and producer goods, such as robots in manufacturing plants, will rise as tariffs are imposed on their steel and aluminum content.

The International Trade Commission found that the 2018 tariffs raised the domestic prices of steel and aluminum by 2.4% and 1.6%, respectively. Yet even these modest increases disrupted supply chains and inflicted real damage. From the third quarter of

2009 (the end of the great recession) through 2017, U.S. manufacturing output rose at an average quarterly rate of 0.9%. But from the first quarter of 2018, when Mr. Trump first imposed tariffs, through the end of 2019 (just before the pandemic), manufacturing output fell on average by 0.06% per quarter. Unsurprisingly, while employment in

The duties on steel and aluminum will hit consumers, jobs and national security.

steel and aluminum production grew by a piddling 2,300 jobs in 2018-19, employment in manufacturing industries using steel and aluminum in their production process fell by an estimated 75,000 jobs. The job losses from the new tariffs will be many times greater. The tax on the steel and aluminum content of all imports will affect almost every U.S. trading partner, making it harder to reach reciprocal trade agreements and avoid retaliation.

The irony is that Mr. Trump is imposing tariffs in the name of national security. They will undercut his proposed defense buildup by reducing supply of the materials most critical to building the weapons on which America’s

security rests. As political economist Henry George observed, with protective tariffs we “do to ourselves in peace time what enemies seek to do to us in times of war.” This self-imposed blockade might be warranted if the nation were dependent on steel and aluminum from potentially hostile nations. But the countries that supply the bulk of U.S. imports—Canada, Brazil and Mexico—are longtime allies and friends.

Deliverance from the 50% tariffs on steel and aluminum could come from court action finding that Congress doesn’t have the authority to delegate its constitutionally prescribed powers to “lay and collect taxes, duties, imposts and excises.” It could come from an extraordinary bipartisan action by Congress to take back its tariff-setting powers and void the Trump levies. Or Mr. Trump might find the political dexterity to escape this protectionist trap he has set for himself and the economy. But the most likely outcome is a recession.

Mr. Gramm is a nonresident senior fellow at the American Enterprise Institute. Mr. Boudreaux is a professor of economics at George Mason University. They are the authors of “The Triumph of Economic Freedom: Debunking the Seven Great Myths of American Capitalism.” Mike Solon contributed to this article.

Socialism Is Hot in New York City

By Nicole Ault

Who knows what might happen in a New York heat wave? The city is still and quiet, but the millions of people are all here, spirits and energy pent. Signs, smells and sounds are acute. It isn’t surprising that E.B. White wrote “Here Is New York,” a prescient vignette, in the middle of a 1948 hot spell. The city’s essence is stronger in compression.

One of the great dramas of New York heat waves is fictional. But the insanity-inducing stillness is true to life in the climatic chapters of F. Scott Fitzgerald’s “The Great Gatsby.” The day of the book’s crisis is “broiling, almost the last, certainly the warmest, of the summer.” It is too hot to do anything—“too hot to fuss,” says Daisy. Too hot, until the listless characters erupt in dispute, leave the Manhattan hotel where they’ve been languishing, and drive “on toward death.”

Other dramas are all too real. In August 1896, a 10-day heat wave killed perhaps hundreds of people. Horse carcasses littered the streets, and salivating dogs were shot. William Jennings Bryan accepted the Democratic presidential nomination with a speech at sweltering Madi-

Zohran Mamdani wins, but it’s possible cooler heads will prevail in November.

son Square Garden. People left early in droves, and the speech flopped, writes history professor Edward Kohn in “Hot Time in the Old Town.” Mr. Kohn makes the case that the heat doomed the speech that doomed Mr. Bryan’s campaign.

In July 1977, a 25-hour blackout hit the city during a heat wave. Looters and rioters brought a fine point to the

city’s crime problems. The disarray helped boost Ed Koch, promising law and order, to eke out a win in a seven-way Democratic mayoral primary in September. He handily won a runoff and later the general election.

This year the spell struck on primary election day. Tuesday reached 100 degrees. New Yorkers ventured through the mug to vote in the Democratic primary for mayor. Over former Gov. Andrew Cuomo, they chose the 33-year-old true socialist Zohran Mamdani, who promises city-run grocery stores, free bus rides and child care, sky-high taxes, and a \$30-an-hour minimum wage.

It would be nice to call it a heat craze. Mr. Cuomo had led some polls by double digits. If “climate change” alarms rang in a few mistaken heads, didn’t it also occur to anyone that socialism smacks of summer blackouts—no air conditioning? Perhaps temperatures kept older voters who might have preferred Mr. Cuomo home Tuesday. If

nothing else, those ranked-choice ballots must have swum in the haze.

The result bodes ill, but the Big Apple isn’t doomed. “New York is the concentrate of art and commerce and sport and religion and entertainment and finance,” White wrote. “No one should come to New York to live unless he is willing to be lucky.”

For all of its progressivism, New York is essentially American: thrumming with business, ingenuity and ambition, hustlers after big dreams and money. It entertains socialism, but its impulse is capitalist, believing in work and opportunity.

That impulse has curbed the worst excesses of insensible governance. Mr. Mamdani’s victory in November isn’t guaranteed. But even if he becomes mayor, socialism won’t be the final word in New York.

Ms. Ault is an assistant editorial page writer at the Journal.

OPINION

REVIEW & OUTLOOK

The Great Medicaid Hospital Scam

No industry other than perhaps higher education feasts more on government than hospitals. So it's no surprise that hospitals are blaring their sirens over the GOP's effort to clamp down on the scheme they use to grab more federal Medicaid money.

It's hard to think of a bigger government-sanctioned racket than Medicaid provider taxes. States pioneered these during the 1980s to obtain more federal Medicaid matching funds and reduce spending on the program from their general tax revenue. The free lunch has enabled states to expand benefits and greatly diminished the incentive to operate the program efficiently.

Here's how it works: States assess taxes on health providers—namely hospitals. They then channel the revenue back into their Medicaid programs to draw more federal money. For every dollar that states spend on Medicaid, they get one to three dollars more from the feds—and nine for able-bodied individuals covered under ObamaCare. Hospitals then receive more in Medicaid payments than they pay in the provider taxes.

In 1991 George H.W. Bush signed bipartisan legislation to crack down on this scheme, which even Nancy Pelosi and Chuck Schumer voted for. The law forbids Medicaid taxes that have the effect of holding providers harmless—as nearly every state tax today does.

Even the Biden Centers for Medicare and Medicaid Services in 2023 noted that providers have struck agreements to redistribute their Medicaid payments to other providers to ensure they all recoup their tax payments—including those that don't treat Medicaid patients. Is this political collusion in plain sight? Yes.

As CMS explained, “the redistribution enables broad support for the tax program from all hospitals.” Such arrangements are illegal under the 1991 law, but the Clinton Administration created a regulatory safe-harbor that

sanctions provider taxes as long as they are assessed at a rate of less than 6% on net patient revenue.

Enter Republicans, who are seeking to crack down on the scam. The House tax bill freezes provider taxes at current rates. The Senate Finance draft would go further by reducing the safe harbor tax rate

by 0.5% annually starting in 2027 to 3.5% in states that have expanded Medicaid under ObamaCare. Taxes would be frozen in non-expansion states.

Cue the howls from the hospital lobby. Since when does an industry protest a tax cut for itself? Hospitals claim any restrictions on the taxes will cause rural hospitals to close, but they say the same about all Medicaid reforms, including work requirements. Congress can appropriate money specifically for rural hospitals if Members are worried about their vitality.

Medicaid often pays below the cost of care, but supplemental state payments funded by provider taxes more than compensate. Such payments made up a large share of earnings last year of for-profit hospitals such as Universal Health Services (45%), Tenet (25%) and HCA (18%). Most hospitals are prospering.

One reason is that government regulations have encouraged hospitals to merge and buy physician practices, which increases their leverage with insurers. Since 2010, prices charged by hospitals have increased 97%, compared to 31% for physicians, 42% for prescription drugs, while overall inflation has been 48%, according to the Bureau of Labor Statistics.

Medicare also pays hospitals higher rates than independent physicians for the same treatments. The federal 340B program lets hospitals buy medicines at steep discounts and charge markups to private insurers. Republicans have shrunk from targeting these undeserved hospital perks, so the least they could do is stop hospitals from their dishonest Medicaid scheme.

Republicans can fix a tax scheme that fleeces taxpayers.

Trump Wins the Battle of NATO

America has long asked its European allies to spend more on their own self-defense. So the astonishing news out of this week's North Atlantic Treaty Organization summit is the near unanimity: NATO allies have agreed to devote 5% of their economies to military spending, up from the current 2% floor.

President Trump called the NATO plan “a big one for Europe and for actually Western civilization,” and for once he may not be overselling. The allies will aim to spend 3.5% of GDP on hard military power by 2035. For the remaining 1.5 percentage points, countries can count peripheral but still useful investment such as hardening cyber defenses.

Mark Rutte is catching flak for praising Mr. Trump, but the NATO Secretary General was correct to give the President credit. “Would you ever think,” Mr. Rutte asked reporters, “that this would be the result of this summit if he would not have been re-elected President?”

It's a fair point. A President Kamala Harris might have shown more politeness and avoided futile public spats. But what matters is whether the alliance has the will and the means to defend itself.

No question the 5% will be a heavy lift for some NATO laggards. Spain, which spent 1.28%

of its economy on defense in 2024, is already trying to duck the agreement. Others on the dishonor roll include Slovenia (1.29%); Belgium (1.3%); and Canada (1.37%), though Ottawa is now promising to do better.

The 5% figure wasn't pulled from thin air. Mr. Rutte has been pressing the case that the target is rooted in the hardware needed to protect the continent. The specifics are classified, but Mr. Rutte says the shopping list includes:

“A five-fold increase in air defence capabilities. Because we see Russia's deadly terror from the skies over Ukraine every day, and we must be able to defend ourselves from such attacks. Thousands more tanks and armored vehicles. Because even though warfare is changing fast, we still need to be able to protect our soldiers on the battlefield, and to maneuver. And millions of rounds of artillery ammunition, because it is by having these stockpiles that we can deter aggression from any threat.”

Hear, hear to that clear strategic thinking, long overdue from Europe. Left out at the summit, however, is whether Mr. Trump is prepared to help Europe arm Ukraine as Russia refuses to end its brutal assault. The President's strike against Iran bolstered deterrence, but the Ukraine decision is phase two.

The alliance sets a 5% of GDP target, though a Ukraine decision looms.

The People's Republic of New York City

The easy victory by Zohran Mamdani in Tuesday's Democratic mayoral primary marks a sharp left turn for New York City. But perhaps more important is that it signals the rise of leftwing economic populism as a leading alternative to the MAGA Republicans.

Democrats nationwide have been debating how to respond to their defeats in 2024, and the victory by the 33-year-old assemblyman is a triumph for the Bernie Sanders-Alexandria Ocasio-Cortez faction. Mr. Mamdani's 43.5% plus 11.3% for progressive Brad Lander gave the left a clear majority. Andrew Cuomo, the former Governor and establishment favorite, had a disappointing 36.4%.

This was the first round of a ranked-choice voting primary, but Mr. Mamdani's lead is large enough that he will be the Democratic standard bearer in November's general election. We keep hearing that ranked-choice voting will yield moderate candidates. But in practice it appears to magnify what primary elections already are: events for highly motivated partisans who closely follow politics.

Mr. Mamdani is charismatic and a fluent communicator on social media. He won easily among young progressives, while Mr. Cuomo carried the traditional Democrats on Manhattan's Upper West Side and eastern Queens. Mr. Mamdani's main theme is affordability, and it resonated in a city that is increasingly unaffordable for the middle-class.

The irony is that this “affordability crisis” is the result of failed Democratic governance. Rent control and eviction limits have caused landlords to take tens of thousands of apartments off the market. A higher minimum wage raised the cost of food and other basics, while rich union contracts keep transportation inefficient and

costly. Climate bans and mandates have raised energy costs.

Mr. Mamdani's solution is more socialism. He wants even higher taxes on already overtaxed businesses and high earners (top city tax rate: 14.78%), government-run grocery stores, free bus rides, and a mandatory freeze on 43% of the city's rental units. These policies

won't work, but they sound appealing to Democrats who don't think New York works now.

The November election could be crowded, with Mayor Eric Adams running as an independent and radio host Curtis Sliwa as the GOP nominee. Mr. Cuomo has left the door open to an independent run, but his best service would be to drop out. He is a spent political force who thought he could win with a famous name and being Mamdani-lite on pensions, the minimum wage and more.

If Mr. Cuomo stays in the race, he could divide the anti-Mamdani vote. The best chance to beat Mr. Mamdani is with a united-front campaign that rallies behind a single candidate, though even that is probably a long shot.

Mr. Mamdani declared himself on election night to be “a model for the Democratic Party,” and among the party base he may be. He echoes all of the leftwing social policies that hurt the party in 2024, and on Israel he sounds like Columbia University demonstrators. It's hard to believe the most Jewish city in America could elect a mayor who favors a boycott of Israel, but that is today's Democratic Party.

The populist left poses obvious problems for national Democrats who want to move the party back toward the middle. But Republicans would be wise not to gloat. If Trumponomics fails to deliver strong growth and gains in real incomes, the leftwing populists will be waiting as the main alternative.

LETTERS TO THE EDITOR

It's Time to Revisit the President's War Powers

For now the question whether President Trump needed congressional authorization to take military action against Iran is academic. Nevertheless, Peggy Noonan is right that the framers vested Congress, not the president, with the power to declare war (“Iraq's Shadow Over the Iran Debate,” *Declarations*, June 21).

That power is in tension with the fact, underscored by the Supreme Court's Civil War-era *Prize Cases*, that the president has not merely the authority but the duty to quell foreign threats to American national security and vital interests. The matter of whether there is such a viable threat is a political one, left by the Constitution to officials electorally accountable to the people whose lives are at stake. It is nonjusticiable: Congress must vindicate its own authority because the courts won't.

To be sure, Mr. Trump had authority to strike based on how the post-9/11 Authorization for the Use of Military Force has been used over the past quarter-century, and because Iran's proxies, such as the Houthis in Yemen, have recently been attacking Americans. Moreover, the congress-

men Ms. Noonan touts for pushing an Iran-focused AUMF as a precondition for military action—Reps. Thomas Massie (R., Ky.) and Ro Khanna (D., Calif.)—seem to be motivated more by their opposition to military intervention in Iran than by good constitutional hygiene.

Regardless, with the crisis hopefully in the rearview, we should recognize that the 2001 AUMF has proved too sweeping and open-ended a delegation of congressional war power to the commander in chief. Twenty-four years later, given that many targets of U.S. combat operations under the AUMF's auspices weren't in existence when the 9/11 atrocities occurred, it is time to repeal that provision.

Congress should enact a new AUMF, tailored to international terrorism as it exists today. If the president believes it necessary to use force outside such parameters, he should in the absence of a true emergency seek a separate congressional authorization.

ANDREW C. MCCARTHY
National Review
New York

Why a Medicaid Penalty Would Prove Costly

The Senate's reconciliation bill, which would reduce the federal Medicaid match for states that cover certain healthcare services for immigrants living in the U.S. unlawfully, may sound like a way to cut federal spending. In reality, it would increase healthcare costs, strain emergency rooms and make healthcare worse for all (“Blue States Reverse Course on Insuring Undocumented,” *U.S. News*, June 20).

Consider that outpatient dialysis costs about \$90,000 a year, while emergency inpatient dialysis can exceed \$300,000 annually. That extra cost falls on hospitals, state budgets and, ultimately, the taxpayer. That's why 20 states, both Democratic- and Republican-led, have chosen to provide outpatient dialysis through Medicaid. It isn't about immigration policy or a gesture of generosity; it is fiscally responsible. Patients with kidney failure need dialysis three times a week to survive. Immigrants here unlawfully typically can't access private insur-

ance or Medicaid. That doesn't mean they go without care; it means they show up in emergency rooms when their condition is life-threatening. Under federal law, hospitals must treat anyone in an emergency, regardless of immigration or insurance status.

The proposed Medicaid penalty would make it harder for states like Delaware to provide more-efficient care. This means higher healthcare costs, increased strain on emergency rooms and longer wait times for everyone. Immigration enforcement is a separate issue that should remain under federal jurisdiction. Yet denying states the tools to deliver the most cost-effective care to people who are already here doesn't fix immigration; it makes our healthcare system worse for everyone.

GOV. MATT MEYER
Dover, Del.

NEIL HOCKSTEIN, M.D.
Delaware Health Care Commission
Wilmington, Del.

A Beautiful Land Sale Is a Boon for Families

A limited sale of federal lands that can be used for much-needed housing is long overdue (“America's Big, Beautiful Land Sale,” *Review & Outlook*, June 20). The extension of neighborhoods into new territory is one of the best predictors of housing affordability in U.S. metro areas, and keeping market-rate housing accessible for young Americans is crucial for family formation. When cities are land-constrained, home prices skyrocket. Young people loiter in their parents' basements, marry later and have fewer children. When land constraints are a product of physical barriers, little can be done. But when policy barriers, like liberal-favored urban growth boundaries or rings of federal landholdings around cities, constrain availability, the problem can be solved.

The Senate's bill proposes to sell a trivial share of federal lands through a transparent process that gives states and localities say over how land sales proceed. It would also impose restrictive covenants forcing sales to be used for new neighborhoods. That's as it should be. Nobody wants America's pristine landscapes

auctioned for elite hunting estates. Nor do citizens want localities stripped of federal land access that has been a basis of their commerce and tourism for generations.

If developers can navigate the bill's requirements and build new neighborhoods, it will be a boon for American families. Housing supplies in federally landlocked cities are able to grow at a faster rate, making it easier to buy that starter home with a yard most Americans want for their new families.

LYMAN STONE
Institute for Family Studies
Lexington, Ky.

We've Already Hit the Iceberg

Regarding your editorial “The Social Security Iceberg Gets Closer” (June 20): In reality the iceberg has been tearing open the hull of our “ship” ever since the Social Security trust began drawing down its fund reserves in 2021. The fund is filled with special issue securities that it presents to the Treasury for payment. Since we are already running a budget deficit, this payment is made possible by Treasury's issuing more debt. All the fund has done is add a step. This creates the illusion that, for now, the problem of payroll-tax revenues running below benefits payments is being dealt with. It isn't. The day after the fund runs out will be no different than the day before. Either way, more water will have flowed into the hull, thereby ushering in the day that the ship sinks.

DAVID C. ROSE
American Inst. for Economic Research
St. Louis

Pepper ... And Salt

THE WALL STREET JOURNAL



“Could you please not do everything you do?”

ROGER RITTER
Alexandria, Va.

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Attacks ‘Effectively Destroyed’ Iran’s Program

This is an excerpt from “Post-Attack Assessment of the First 12 Days of Israeli Strikes on Iranian Nuclear Facilities” published June 24 by David Albright and Spencer Faragasso of the Institute for Science and International Security.

After 12 days of military operations, a survey of the resulting damage is appropriate. . . . Overall, Israel’s and U.S. attacks have effectively destroyed Iran’s centrifuge enrichment program. It will be a long time before Iran comes anywhere near the capability it had before the attack. That being said, there are residuals such as stocks of 60%, 20%, and 3-5% enriched uranium and the centrifuges manufactured but not yet installed at Natanz or Fordow. These non-destroyed parts pose a threat as they can be used in the future to produce weapon-grade uranium.

Complicating any effort to turn weapon-grade uranium into nuclear explosives have been extensive attacks against Iran’s facilities and personnel to make the nuclear weapon itself. Its infrastructure to build the nuclear weapon has been severely damaged. The time Iran would need to build even a non-missile deliverable nuclear weapon has increased significantly.

In particular, major setbacks include: the elimination of, or severe damage to, the majority of the centrifuges at the Natanz site, significant damage to the Fordow underground site, destruction and damage to several facilities at the Esfahan Nuclear Complex. . . . The attack on the IR-40 Arak Heavy Water Reactor has likely destroyed the reactor, eliminating a potential future source of plutonium that could be used in nuclear weapons. . . .

Further damage assessments are needed for some of the sites, particularly underground sites. Israeli intelligence would be expected to be hunting in Iran, even under the ceasefire, for non-destroyed residuals. . . .

Natanz Nuclear Complex

The Natanz complex was Iran’s primary uranium enrichment site. . . . The underground halls can be characterized as the “workhorse” of Iran’s enrichment program focused on producing less than 5% enriched uranium. The above ground pilot plant is Iran’s principal centrifuge research and development facility and was also producing 60% enriched uranium.

On June 13, the Institute reported on the Israeli strikes to Natanz, highlighting the destruction of the Pilot Fuel Enrichment Plant and the onsite electrical infrastructure. The loss of electrical power is likely to have caused damage to the centrifuges in the underground Fuel Enrichment Plant (FEP). A subsequent review of satellite imagery from June 14 showed two or three small explosive impact craters on the surface over the FEP halls, leading to a reassessment that substantially more damage likely occurred in the initial attack to the underground enrichment plant. . . .

This assessment is in line with the next day’s statement released by the IAEA Director General Rafael Mariano Grossi that “on the same day [of the attack], the main cascade hall appears to have been attacked using ground-penetrating munitions. . . . the strikes on the underground cascade halls were seriously damaging.” . . .

The site was attacked again early on June 22, this time by the United States. Satellite imagery shows at least one penetration hole located above the buried enrichment hall caused by a GBU-57 bunker buster. It is reported by the U.S. Department of Defense that at least two GBU-57’s (MOP) attacked the site, possibly in an attack where one followed the other through the same penetration hole in a “double tap” strike. As a result, the site is likely destroyed and knocked out of operation. No damage was observed in satellite imagery of the complex being constructed underneath Mt. Kolang Gaz La.

Fordow Enrichment Plant

Fordow enrichment site is a deeply buried uranium enrichment site associated with the production of highly enriched uranium. . . . revealed in 2009 by Western leaders. Iran promptly declared it as a civil facility dedicated to making low enriched uranium and allowed international inspection. Inspectors who soon after visited the site reported that the internal pipework, equipment, and uranium feed stations were in line with a site to make weapon-grade uranium. On the next visit by inspectors, all the

The Institute for Science and International Security sizes up the results of the U.S. and Israeli strikes.

pipework and other equipment associated with weapon-grade uranium production had been removed, with the Iranians giving the excuse that the ceiling needed to be repaired. . . .

In a striking attack in the early morning of June 22, the U.S. dropped twelve MOPs over the deeply buried enrichment halls. High-resolution satellite imagery taken post attack shows two groups of three penetration holes on the mountain above the enrichment halls. This set of holes are at the location of the ventilation shaft of the underground complex and at the location of previously identified service-related structures that lay above the cascade hall, enabling easier pathways for the MOPs to the deeply buried halls. As a result, the facility is likely severely damaged or destroyed. . . .

It appears that the bombing was precisely targeted to concentrate on two likely points of vulnerability. . . . The first point target is what can generally be termed as a ventilation

“shaft” but is likely a more elaborate structure, which connects subsurface with a central hallway leading to the two main underground halls shown in the plot plan housing both equipment and centrifuges. The second point target is located on the other side of the mountain ridge. . . . [It] not only completely destroyed [a] surface structure but was likely intended to focus at depth on the south end of centrifuge cascade hall, which, once breached, would use the hall’s long side walls to channel the blast wave through the entire length of centrifuge cascade hall completely destroying all of the installed and otherwise operational centrifuges. Interestingly, the bomb blast waves that would have been generated down the two halls from these two points of attack run perpendicular to one another, further increasing the likelihood of maximum damage and destruction. . . .

It is possible that the Iranians tried to move the enriched uranium kept at the site. Dismantling and transporting some of the installed centrifuges, or at least their rotor assemblies, may also have occurred, but this process is complex and time consuming and may have damaged centrifuges. . . .

In a follow up attack, Israel struck the site on the night of June 22/23, reportedly targeting access routes to the facility, in order to obstruct access to the Fordow site, but as yet we are unable to confirm from imagery available to us.

Esfahan Nuclear Complex

The Esfahan complex has been targeted three times, twice by Israel and once by the U.S. Extensive damage has been done to the site.

The first attack was on June 14. Satellite imagery from the day of the strike shows damage to four buildings at the uranium conversion complex; the enriched uranium metal conversion plant was destroyed, a possible Shipping and Receiving Building was severely damaged, the Tehran Reactor Fuel Manufacturing

Plant (FPFP) was partially damaged, and the Central Chemical Laboratory was also partially damaged. . . .

The enriched uranium metal conversion line, which converts uranium tetrafluoride into enriched uranium metal, is a key capability in making weapon-grade uranium cores of nuclear weapons. This line had been tested with 20% enriched uranium and could process any 90% enriched uranium. Destruction of this facility would cause a bottleneck in any effort by Iran to build nuclear weapons, requiring Iran to build a new clandestine one, if it wanted nuclear weapons, a risky and potentially time-consuming step.

The Tehran Reactor Fuel Manufacturing Plant (aka FPFP) can make natural uranium metal. This facility also stores(ed) 20% and 60% enriched uranium. . . .

A second attack was carried out on the night of June 20/21. The IAEA reported on June 21, “six other buildings at the same site have now also been attacked: a natural and depleted uranium metal production facility which had not yet begun operations, a fuel rod production facility, a building with low-enriched uranium pellet production as well as a laboratory and nuclear material storage, another laboratory building, a workshop handling contaminated equipment and an office building. . . .”

The next night, on June 22, the U.S. attacked the site with Tomahawk cruise missiles launched from a submarine. . . . Notably, the main uranium conversion facility that converts natural uranium into uranium hexafluoride was severely damaged. Uranium hexafluoride is the form of uranium entered into gas centrifuges. Tunnel entrances leading to an underground complex [rumored to hold stockpiles of enriched uranium] just north of the main Esfahan complex were also struck during the attack. All four tunnel entrances appear to have collapsed. The IAEA also assessed that “extensive damage” was done to the tunnel entrances.

America’s Long Road From Osirak to Fordow

By Elliott Abrams

The U.S. and Israel have long been allies, but Washington hasn’t always been friendly to the Jewish state’s efforts to stop the development of nuclear weapons by its enemies in the Middle East.

When Israel struck the Iraqi nuclear program on June 7, 1981, the U.S. was as surprised as the Iraqis. The Israelis had given no notice. The Reagan administration—in which I served as an assistant secretary of state—was split over how to react. I remember the attitude Secretary of State Alexander Haig showed in private: The strike against the Osirak reactor had been a terrific show of military power. Defense Secretary Caspar Weinberger urged an end to all aid to Israel. President Reagan suspended delivery of F-16 jets scheduled for days later. Reagan’s heart wasn’t in it, he quickly reversed himself, and Israel got the planes.

I was there when the U.S. condemned Israel’s strike against Iraq in 1981. A lot has changed in 44 years.

Impossible to reverse was United Nations Security Council Resolution 487, which “strongly condemns” the “premeditated Israeli air attack.” The U.S. voted for it. Jimmy Carter’s record of allowing or joining Security Council votes against Israel had elicited a scalding December 1980 Washington Post editorial titled “Joining the Jackals” and a February 1981 Commentary article of the same title by Sen. Daniel Patrick Moynihan. The U.N. ambassador who cast the U.S. vote for the condemnation of Israel over its elimination of the Iraqi reactor was Jeane Kirkpatrick, who had famously criticized Carter’s foreign policy in Commentary.

Defending her vote against Israel, Jeane sent a cable to Washington ending with these words: “I am not joining the jackals; The UN is for

real.” I thought she had joined them. Jeane had been a family friend for many years, and our relationship never fully recovered.

By 2007, when Israel struck the Syrian nuclear program, the U.S. attitude had evolved. After discovering the reactor under construction in the desert near Al-Kibar in eastern Syria, the Israelis immediately shared the intelligence with the U.S. They sent the head of the Mossad, Meir Dagan, to Washington, where Vice President Dick Cheney, national security adviser Steve Hadley and I (Mr. Hadley’s deputy for the Middle East) met with him. He showed us the intelligence and told us Israel was firm that the reactor had to go.

During months of intelligence work and military planning by the U.S. and Israel, President George W. Bush held several meetings in the East Wing’s Yellow Oval Room. On June 17, the president asked for views. Defense Secretary Robert Gates and Secretary of State Condoleezza Rice urged diplomacy: Let the U.N. handle this. Mr. Cheney urged a U.S. strike; I suggested an Israeli strike. The president made his decision a few weeks later and called Israel’s Prime Minister Ehud Olmert on July 13. He said he had decided on the diplomatic option: There would be no strikes by the U.S. or Israel, and instead we would go to the United Nations.

Mr. Olmert rejected the idea of turning Israel’s security over to the U.N. and told Mr. Bush that if the U.S. wouldn’t strike, Israel would. Mr. Bush immediately accepted that decision and told Mr. Hadley and me to drop the diplomatic preparations and maintain absolute secrecy. Mr. Olmert later told me, and I agreed, that Mr. Bush expected and fully approved Israel’s decision to eliminate the Syrian reactor.

The Iraq and Afghanistan wars were hot, the Central Intelligence Agency wouldn’t say with “high confidence” that the reactor was part of a nuclear-weapons program, and the president would have had to reject the strong advice of both Ms. Rice and Mr. Gates to order a strike or agree in advance to an Israeli one. Instead, the



A billboard in Tel Aviv.

president let Mr. Olmert decide, hung up the phone, and told Mr. Hadley and me: “That guy has guts.”

So the U.S. moved in 26 years from condemnation of a surprise Israeli attack on the Iraqi reactor to knowledge and effective approval of the Israeli strike on the Syrian reactor. Another 18 years later, the U.S. actually joined the effort to destroy the Iranian nuclear program. What explains this progression?

Relations between the U.S. and Israel grew closer in those four decades, except in the Obama years. American officials and analysts more broadly understood Israel’s value as an ally.

U.S. aid budgets grew. Israel joined the U.S. Central Command and began to coordinate through it with Arab armed forces. It became increasingly obvious that Iran was a deadly enemy of the U.S. and the greatest state supporter of terrorism, and its growing alignment with Russia and China made it more dangerous.

It was also increasingly clear that Iran meant it when it said “Death to Israel.” Tehran built a “ring of fire” around the Jewish state with proxies such as Hamas and Hezbollah. The effort to stop the Iranian nuclear weapons program through negotiations produced only the Obama nuclear

Is the Fed Ready for an AI Economy?

By Derek Horstmeyer

Federal Reserve presidents have been clear about their concerns regarding artificial intelligence’s possible effects on productivity, banking customer service, and upheaval in the labor market.

But the Fed may be ignoring another AI issue that could turn out to dwarf all others: AI’s coming ability to create money and credit—and thereby determine the money supply in our economy.

This may sound like science-fiction, but AI will likely begin to control the extension of credit, and in effect the money supply, in the next few years. That’s a major issue for the Fed if it can’t easily observe the manner in which AI makes its decisions or constrain it to follow the central bank’s underlying interest-rate policies.

Here’s how it will work: Individual users will start with personal-assistant AIs, as many of us already have. As guardrails are established on AI’s behavior and their actions refined, users will employ them as purchasing agents, giving them the authority to use credit on behalf of the user.

On the banking side, business operations on the decision to extend credit or not will start to be tasked to AIs. These AIs will assess creditworthiness and make an assessment to create a loan or authorize a credit purchase.

The aggregation of millions of such decisions will make AI a major influence on the expansion or contraction of the money supply.

Most likely this will first take place in the “shadow banking” part of the economy—lightly regulated fintech companies that are experimenting with new forms of credit creation—which is outside the direct purview of the Federal Reserve. The Genius Act, which passed the Senate last week, makes these events even easier to envision. The act would formalize the stablecoin industry. Stablecoin is a Treasury-backed cryptocurrency that allows transactions to move onto the blockchain, a decentralized digital ledger outside the traditional banking sector. Companies like Amazon and Walmart have thrown their hats into the ring to create their own stablecoins, skirting the traditional banking system in all transactions.

With these elements in place, the Federal Reserve will face the problem of an AI purchasing agent talking to an AI credit agent with the only constraint on them being the underlying code dictating their behavior and the instructions users give them. Further, these two agents may conduct transactions using a form of currency that is lightly regulated and doesn’t move through the traditional banking system. Since these interactions would take place

in the shadow banking sector, the Fed won’t see first movements in where the money supply is expanding or contracting, one of the main things central bankers need to observe to do their job correctly and guide the economy. And as AIs make financial decisions, how can anyone be certain that they will respond to Fed policy in the same way as our historical data tells us humans respond to Fed policy?

There are possible private-sector solutions to mitigate some of this, like insurance issued on the behavior of AIs making decisions. But if the Fed doesn’t have a clear picture of money creation by AIs or a direct way to intercede in AIs’ ability to change the money supply, it is in for a world of problems in an AI-driven economy.

The Fed needs to address this sooner rather than later. If the Genius Act becomes law, it will only make the problem more urgent. The pace at which personal AI products are being rolled out signals that this reality is fast approaching. If the Fed doesn’t have clarity on these innovative areas of the shadow banking sector and a playbook to deal with AI money creation, then it will realize the depth of this problem far too late to do anything about it.

Mr. Horstmeyer is a professor of finance at George Mason University.

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Crisis-Era Bank Capital Rules Eased

Treasury secretary says loosening requirements to help lift economy

By DYLAN TOKAR

The U.S. took a step toward easing some of the requirements placed on banks in the wake of the 2008-09 financial crisis, issuing a proposal that would let the largest lenders

free up some of the capital they hold for times of market turmoil.

Banks have long lobbied for lowering what is known as the supplementary leverage ratio, and Treasury Secretary Scott Bessent has said the change would help buttress global markets by allowing banks to buy more Treasuries.

The Federal Reserve Board voted 5-2 on Wednesday to issue a proposal to lower the enhanced supplementary le-

verage ratio.

The enhanced ratio dictates how much capital big banks like **JPMorgan Chase** and **Citigroup** must hold against their total assets.

One of the opposing votes came from Fed governor Michael Barr, who served as the central bank's top bank regulator before stepping down amid pressure from President Trump.

Barr said in a statement that the proposal would "sig-

nificantly increase" the risk of a big bank failure.

The supplementary leverage ratio was originally meant to act as a backstop to rules that require banks to hold capital based on the riskiness of different assets.

"With the risk-based approach...there is a lot of room for flexibility—or to put it differently, manipulation," said Mayra Rodriguez Valladares, a financial regulatory consultant at the MRV Associates.

The proposal would reduce the amount of core capital that big banks hold at the holding-company level by an estimated \$13 billion and at the subsidiary level by an estimated \$210 billion, according to Fed officials. That would give banks more flexibility about how they allocate capital across their subsidiaries.

The Office of the Comptroller of the Currency released a parallel proposal Wednesday. *Please turn to page B2*

Mediator Proposes \$20 Million CBS Deal in Trump Suit

By JESSICA TOONKEL AND JOSH DAWSEY

A mediator has proposed that President Trump and **Paramount Global** settle his lawsuit over a CBS News "60 Minutes" interview with former Vice President Kamala Harris for \$20 million, according to people familiar with the matter.

The proposal would include a \$17 million donation to Trump's presidential foundation or museum, the people said. It would also include millions more in legal fees and public-service announcements on Paramount-owned networks to fight antisemitism, the people said.

Trump's team has said it wants an apology—something Paramount isn't prepared to do, according to people familiar with the situation. It couldn't be learned whether Trump is still seeking an apology.

Settlement talks are still fluid and an agreement might not be reached.

Paramount, which owns CBS News, has been at an impasse with Trump's lawyers for weeks after entering mediation this spring. The company had offered \$15 million to settle the suit, but Trump wanted more than \$25 million. *Please turn to page B4*

Bond Investors Sweep Fiscal Concerns to Side

By SAM GOLDFARB

Not everybody on Wall Street is panicked about the U.S. fiscal outlook.

Just a month ago, a sharp selloff in U.S. Treasuries spurred widespread alarm that the bond market might finally be buckling under the pressure of outsize U.S. borrowing. But bonds have rallied since, boosted in part by mild inflation data that have driven up bets that the Federal Reserve will cut interest rates by the fall.

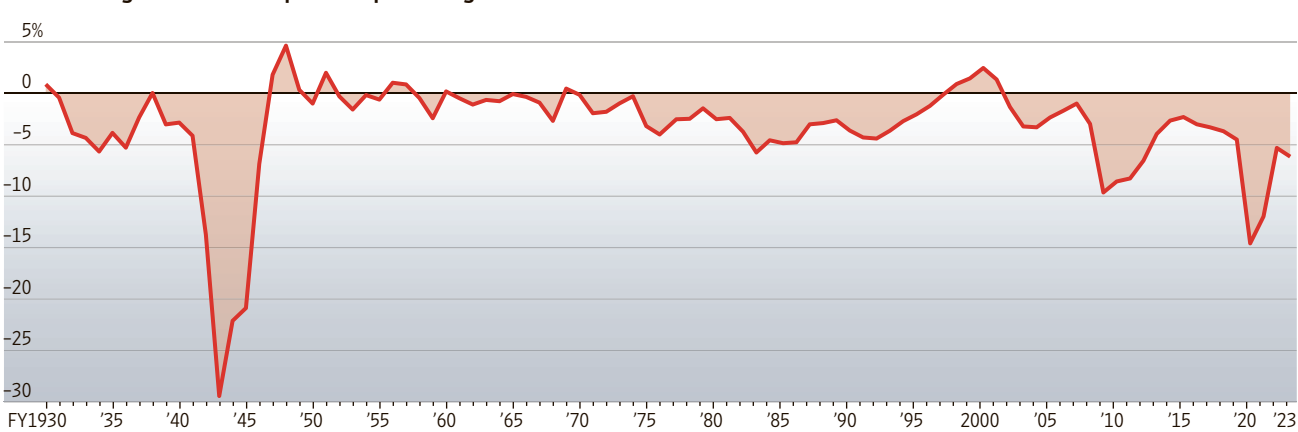
Now, with Republicans trying to push their giant package of tax cuts and spending measures over the finish line, the nuances of the U.S. fiscal situation are driving swings in bond yields.

Yields on longer-term Treasuries set a floor on a swath of borrowing costs, including mortgage rates. Yields themselves are dictated largely by investors' expectations for short-term interest rates set by the Fed. But they can also be influenced by the size of the budget deficit.

A larger deficit means the government needs to borrow more, which it does by issuing Treasuries. And if the government issues more Treasuries than investors want or need, it needs to win them over with higher interest rates.

Investors, though, are always looking ahead. When they suspect interest rates on bonds will be higher in the future, prices of existing Treasuries tend to fall right away—

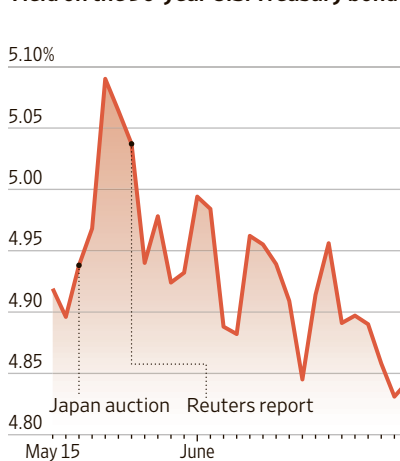
Federal budget deficit or surplus as a percentage of GDP*



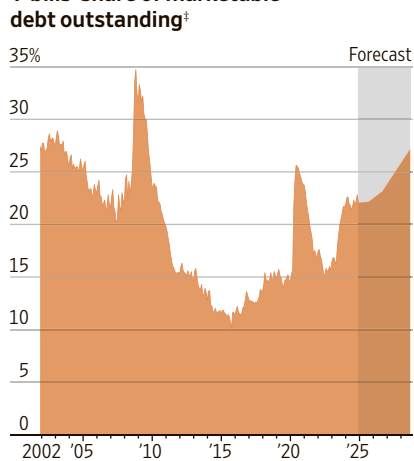
Evolution of fiscal 2026 deficit forecast†



Yield on the 30-year U.S. Treasury bond



T-bills' share of marketable debt outstanding‡



*For fiscal years ended Sept. 30. †Average forecast of primary dealers surveyed by the Treasury Department. ‡Forecast assumes no increase in note-and-bond auction sizes. Sources: Federal Reserve Bank of St. Louis (budget deficit); Treasury Department (deficit forecast, actual debt outstanding); Tradeweb FTSE closes (yield); Citigroup (forecast debt outstanding)

pushing yields upward. Thus, Treasury yields don't tend to rise just because the deficit is large now, but rather when expectations for future deficits shift higher.

Benchmark 10-year Treasury notes snapped a three-day streak of falling yields on Wednesday—with the yield rising slightly to 4.294%. Bond yields rise as prices fall.

Last month's selloff came just as the House neared passage of a fiscal package that the Congressional Budget Office estimates would increase budget deficits by \$2.4 trillion

over the next decade. That estimate, though, is based on the assumption that tax cuts passed in 2017 would be allowed to fully expire if *Please turn to page B2*

Platform To Let Anyone Bet On SpaceX

By CORRIE DRIEBUSCH

An investment platform plans to use blockchain technology to sell investors exposure to SpaceX, another effort in an arms race to give regular traders access to hot startups.

Republic says it is starting to sell digital "tokens" that mirror the performance of private shares of Elon Musk's rocket and satellite company starting this week. The investment platform, which offers individual investors access to investments typically limited to the wealthy, plans to eventually expand its tokenization to other high-profile private companies like artificial-intelligence firms **OpenAI** and **Anthropic**.

Republic's plan is part of an array of efforts by crypto exchanges, brokerages and others to reinvent securities using similar blockchain technology that underpins bitcoin. Still largely untested with regulators, and even the underlying companies, the tokens are another attempt to trade on stocks that can't be found on the New York Stock Exchange or Nasdaq.

But there are plenty of questions. Token buyers won't have access to companies' financials and won't own actual stakes. Lawyers question if companies like SpaceX would fight it. The tokens could also draw scrutiny from regulators.

Republic CEO Kendrick Nguyen said he is confident in *Please turn to page B2*

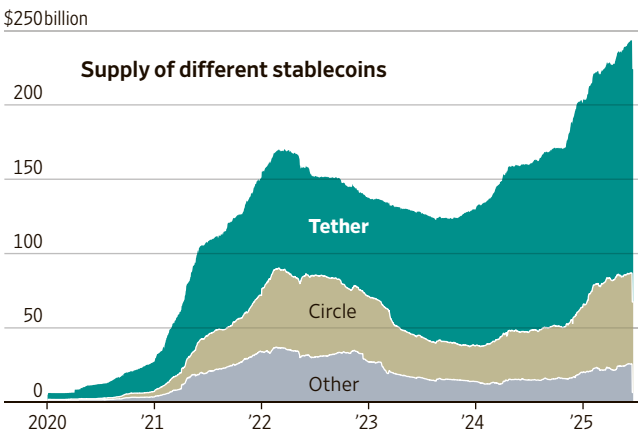
Stablecoin Bill Takes Aim at Tether

Congress is set to bring stablecoins into the financial mainstream, with legislation that has sparked a frenzy of interest from startups, banks and even retailers like Walmart that were previously wary of cryptocurrencies.

By Alexander Osipovich, Vicky Ge Huang and Angus Berwick

But the bill, known as the Genius Act, has a tough message for Tether, the No. 1 player in stablecoins: Shape up or get kicked out of the U.S. market.

The legislation, which passed the Senate last week, aims to bring more oversight to stablecoins—digital tokens with a fixed price, typically \$1.



Note: Tether supply includes authorized but not issued tokens. Data through Tuesday. Sources: The Block Research; DefiLlama

Stablecoins function as a bridge from regular money to the crypto world, allowing people to make payments or send funds overseas using the

technology behind bitcoin, but without bitcoin's volatility. The Genius Act would require stablecoin issuers to underpin the value of their to-

kens with reserves of cash, short-term Treasuries and similarly safe assets.

Larger issuers would be required to publish annual, audited financial statements. That is bad news for Tether, which commands roughly two-thirds of the stablecoin market, with \$156 billion in circulation.

Tether's stablecoins are partly backed by bitcoin and precious metals and the company has resisted being fully transparent about its finances. That means the legislation could make it untenable for Tether to keep operating in the U.S., said Scott Armstrong, a former federal prosecutor who handled crypto cases.

"It could definitely put Tether in a pinch," said Armstrong, now a partner at law *Please turn to page B2*

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Nvidia threatens the giants of cloud computing. **B11**

Delta Sees an Opening in Online Delivery

By ESTHER FUNG

There is a new contender aiming to deliver your e-commerce packages door-to-door, nationwide: **Delta Air Lines**.

Delta is now carrying tens of thousands of packages a day—products such as Figs scrubs and Arezzo shoes—through a new parcel service introduced last year. While small in comparison, Delta Cargo DeliverDirect is nipping at the heels of parcel giants **FedEx** and **United Parcel Service**.

The airline is taking advantage of unused space in the cargo holds of its planes.

"We've taught people really well to put suitcases up in the bin," said Jeffrey Elder, head of cargo products at Delta Air Lines. Belly space at Delta has *Please turn to page B4*



The airline is carrying thousands of packages a day, taking advantage of unused cargo space.

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Bond Investors Stay Cool

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Republicans don't pass their new bill.

Investors never expected that to happen—even if Democrats were in power, given their promises to extend tax cuts on all but the highest-income households.

Treasury yields had already ticked higher after the election, partly because investors thought a Republican sweep would lead to slightly larger deficits than other scenarios. Their base case was that all of the 2017 tax cuts would be extended, without any major offsets from spending cuts.

The House bill includes some additional tax cuts that would further add to the deficit. But it also makes cuts to programs like Medicaid. Meanwhile, revenue from tariffs have been higher than investors anticipated.

Although Senate Republicans could make changes to the House bill that would increase its cost, the net result is that the fiscal outlook hasn't changed much since the election. Banks surveyed by the Treasury Department at the end of April—when the GOP fiscal legislation was already taking shape—forecast that the deficit will total \$2 trillion in fiscal 2026. That was up only slightly from their estimate of \$1.975 trillion in January and \$1.9 trillion last July.

Anatomy of selloff

Last month's selloff also raised concerns because it came just after the U.S. government lost its triple-A credit rating with a downgrade from Moody's Ratings.

Further stoking fears about a worldwide debt problem, a sale of 20-year bonds by Japan's government on May

20 met with especially weak demand from investors. That was followed up by a lackluster U.S. auction of 20-year Treasurys on May 21, which triggered the worst of the selloff.

After that, the bond market quickly calmed, however.

Yields fell sharply on May 27 after Reuters reported that Japan's government was considering reducing the size of its longer-term debt auctions (a step Japan formally announced last week). They then fell further after a disappointing reading on U.S. service-sector activity and a cooler-than-expected inflation report.

Cause for optimism

Helping to ease investors' anxieties is a growing expectation that, despite elevated deficits, the Trump administration will try to minimize issuance of longer-term Treasurys in the coming years.

The government typically tries to keep auctions of notes and bonds, which mature in two to 30 years, the same size for as long as possible. It uses bills, which mature in a year or less, to manage fluctuations in borrowing needs.

A year ago, most Wall Street banks were forecasting that Treasury officials would increase the sizes of its longer-term debt auctions this year. That was based on an assumption that officials would keep bills as a share of debt outstanding to around 20%—a private-sector advisory group's recommendation for what would achieve both low and stable government funding costs.

Early this year, however, the Treasury Department signaled that it was unlikely to boost auction sizes in the near future. Most banks now expect increases in 2026, if not later, and expect the increases to be concentrated in notes that mature in two to seven years.

Absent an increase in auction sizes, analysts expect the bill share would creep up to around 25% by the end of fiscal 2027.

involved in Meta's AI recruiting efforts in April after an underwhelming launch of its latest model. In May, The Wall Street Journal reported that Meta was delaying the release of another version of the model—the biggest one.

Some AI researchers have turned down the Meta CEO, and in several cases, OpenAI has counteroffered, giving its researchers more money and scope to stay.

Tech giants Meta and **AI-phab**et's Google and startups OpenAI and **Anthropic** are racing to develop cutting-edge AI technology that will power the next wave of innovation in Silicon Valley. Zuckerberg's overtures to top AI researchers and engineers are the latest developments in a fierce war for talent taking place all over the world.

Meta plans to spend up to \$65 billion on capital expenditures this year, largely to build out its AI ambitions.

'Genius' Bill Hurts Tether

Continued from page B1
firm McGovern Weems. "There's no ambiguity about those requirements. For anyone to participate now in the U.S. market and the stablecoin regime, they have to take those steps."

Representatives for Tether didn't respond to requests for comment. Tether Chief Executive Paolo Ardoino has said the firm may launch a separate, locally issued stablecoin to maintain a foothold in the U.S.

The Senate legislation provides a three-year grace period for companies to be compliant with the new requirements. A companion bill under consideration in the House of Representatives gives issuers 18 months. Differences between the two would have to be reconciled before President Trump, who supports the Genius Act, can sign it into law.

With the prospect of a legal framework that could make stablecoins widely used for payments, banks have explored teaming up to offer a joint stablecoin, while Walmart and Amazon.com have also considered issuing stablecoins, The Wall Street Journal has reported.

Tether's stablecoins already are popular tools for international payments in emerging markets. They are also used for illicit activities such as sanctions evasion, researchers say.

One of the Genius Act's biggest beneficiaries is Tether's homegrown U.S. rival **Circle**, which went public on the New York Stock Exchange this month and is the issuer of the



The legislation could make it untenable for Tether to keep operating in the U.S.

second-largest stablecoin.

But it has a long way to catch up. Tether made \$13.7 billion in profit last year, largely by collecting interest on the Treasury bills that back its stablecoin and gains on its bitcoin and gold holdings. Circle, whose stablecoin has less than half the circulating supply of Tether's, earned \$156 million in 2024. Circle shares jumped 34% the day after the Genius Act passed the Senate.

For years, Tether was dogged by worries that it didn't have sufficient reserves to underpin the \$1 value of its stablecoins. In 2021, to settle an investigation by the New York attorney general that Tether had covered up an \$850 million shortfall, the firm began releasing quarterly attestations about its reserves. Those attestations aren't the same as a full public audit.

Some of the assets Tether is using for reserves, including bitcoin, could lose their value during a broad market drawdown, increasing the risk that Tether holders might be unable to redeem their tokens for \$1 apiece.

Under the Genius Act, stablecoin issuers must register with U.S. regulators—unless they are regulated by a foreign country whose rules are deemed to be similar to those of the U.S. Tether recently moved its headquarters to El Salvador and acquired a license there to provide crypto services. The firm was previously domiciled in the British Virgin Islands.

"El Salvador is, in this moment, the only country that has a proper, intelligent, very thorough stablecoin regulation," Ardoino told CNBC in a recent interview.

Tether could maintain its access to U.S. markets if the Trump administration deems El Salvador to have sufficiently strong stablecoin rules. The country's president, Nayib Bukele, has partnered with Trump on accepting deportees, and the two leaders had a warm meeting in the Oval Office in April.

Another Tether ally is Commerce Secretary Howard Lutnick, who led financial-services firm **Cantor Fitzgerald** before

he joined the administration. Cantor holds most of Tether's Treasury portfolio and has invested in Tether through a convertible bond. Lutnick agreed to transfer his ownership stake in Cantor to his children when he joined the cabinet.

Tether exited from the European Union earlier this year rather than comply with new EU rules on stablecoins. Similarly, the firm has the option to exit from the U.S. and double down on its thriving business in Asia, Latin America and other emerging markets. Most of the trading volume in Tether's stablecoins—which often exceeds \$100 billion a day—is on platforms based outside the U.S., particularly Binance, the world's largest crypto exchange.

The Genius Act would require stablecoin issuers to fulfill law-enforcement requests to seize cryptocurrency, carry out bank-level customer checks and report suspicious transactions. Tether says it has complied with law-enforcement requests to freeze stablecoins used for illicit activity.



Republic says it will sell digital 'tokens' that mirror the performance of private shares of the rocket and satellite company.

Platform Allows Bets On SpaceX

Continued from page B1
the tokens' legality, but added that it is possible regulators might take a different view.

Republic says it is able to offer the tokens in part because of a provision in the 2012 JOBS Act that lets private U.S. companies issue securities and raise up to \$5 million a year from individual investors. Republic says it would be the issuing company, and the tokens are essentially a note that assures token holders will be paid any increase in the price of SpaceX's common stock if it goes public or is purchased.

Republic has a license through the Securities and Exchange Commission that al-

lows it to use this Regulation Crowdfunding exemption to sell tokenized securities to individual investors. Nguyen said Republic won't need permission from the companies whose tokens it is selling because the tokens represent securities sold by Republic.

The tokens for SpaceX and other companies will initially be priced based on how the company's shares are trading in secondary markets where shares of private companies can be exchanged by accredited investors. When the company goes public or is sold, Republic says it will owe any increase in price to the token holders.

Republic plans to hold shares of or have some other exposure to the underlying security, Nguyen said. Token investors won't be acknowledged as shareholders in the company.

Wall Street wants to pitch stakes in highflying startups and other privately held companies to ordinary investors. Trump administration officials

have said the private sector is a major engine of growth and are looking to increase everyday Americans' exposure to private-equity investments.

Others have flagged the possible risks. Moody's recently warned that the push to sell private investments to individual investors could trigger stress in the financial markets and that the investments can be harder to sell.

Republic will let people invest as little as \$50 and up to \$5,000 in the tokens. Typically, people who want to get in on private companies need to invest upward of \$10,000, or even \$100,000, and must meet certain income or net-worth requirements.

For the most popular companies, it helps to have an in with the founder.

After a year of holding the tokens, Republic says people will be able to trade them on INX, an alternative trading system Republic is in the process of acquiring.

For startups that want to

Capital Rules Eased On Banks

Continued from page B1
The Federal Deposit Insurance Corp. is expected to meet on the proposal Thursday.

The move is part of a set

of rollbacks the Trump administration is expected to undertake, including changes to how banks are rated, how they are examined by regulators for financial stability and the annual stress tests the largest lenders must take.

The changes to bank capital rules in particular would strip away some of the "gold plating" U.S. banking rules—or the additional safeguards the U.S. placed on banks above what was required by interna-

tional agreements.

Industry representatives say banks are unlikely to immediately buy more Treasurys as a result of leverage requirement changes, but that they would have more capacity to do so in times of stress.

The Fed's proposal also asks banks to comment on possibly excluding Treasurys from the leverage ratio denominator for all banks.

Banks and the public have 60 days to comment on the

proposal. A final rule is expected later this year.

Officials have indicated they are also preparing to propose a set of risk-based capital requirements that the U.S. agreed to undertake as part of an international Basel III agreement following the financial crisis.

After intense industry pushback, the Fed had to pull back on a prior Basel proposal during the Biden administration.

BUSINESS NEWS



The Blue Buffalo brand will launch fresh pet food this year.

General Mills Logs Decline in Sales, Profit

By Connor Hart

General Mills said organic sales could fall again in the current fiscal year as consumers continue to spend less on snacks, despite efforts to return to growth.

The maker of Cinnamon Toast Crunch and Bisquick pancake mix on Wednesday said its top priority in fiscal 2026 is to restore volume-driven organic sales growth. “To do that, we’ll invest further in consumer value, product news, innovation and brand building,” Chief Executive Jeff Harmening said.

These investments will include launching Blue Buffalo into the quickly growing U.S. fresh-pet-food space later this calendar year, the Minneapolis company said. However, it warned that these investments, coupled with higher costs from tariffs, should outpace cost-saving efforts.

General Mills also said it expects to close the sale of its U.S. yogurt business by the end of this month. It continues to anticipate that this divestiture, together with that of its Canada yogurt business and last year’s acquisition of North American Whitebridge Pet Brands, will reduce adjusted operating profit growth in the current fiscal year. The company guided for full-year organic net sales in the range of down 1% to up 1%, and for adjusted per-share earnings to fall between 10% and 15% from fiscal 2025.

The outlook came as General Mills logged lower profit and sales in its fiscal fourth quarter. The company posted a profit of \$294 million, or 53 cents a share, for its three months ended May 25, compared with a profit of \$557.5 million, or 98 cents a share, in last year’s comparable quarter. Sales fell 3.3% to \$4.56 billion.

Bumble Cuts Staff by 30%

Smaller workforce will help the dating app return to growth, its CEO says

By Chip Cutter and Connor Hart

The business of love is proving to be complicated. Dating-app providers, hoping to woo younger users turned off by online swiping, want to return to growth. To accomplish that, executives are realizing they will need far fewer employees.

Bumble on Wednesday became the latest dating company to slim down its staff, announcing that it will lay off about 30% of its workforce, or roughly 240 employees, as it aims to change its structure and speed up how it operates.

“Bumble, like the online dating industry itself, is at an inflection point,” Chief Executive Whitney Wolfe Herd said in a letter sent to employees Wednesday disclosing the staff cuts. “The reality is, we need to take decisive action to restructure to build a company that’s resilient, intentional, and ready for the next decade.”

After years of sagging growth and sinking stock prices, dating companies are looking to quickly reset their strategies. Wolfe Herd returned to Bumble in March.



CEO Whitney Wolfe Herd says she wants Bumble to be faster, more decisive, and more agile.

Its biggest competitor, Match Group, which runs Tinder and Hinge, also appointed a new leader earlier this year. Spencer Rascoff, a co-founder and former CEO of Zillow, took the reins as Match Group’s CEO in February.

Both executives are aiming to address an existential issue: Younger users, particularly those in Generation Z, have soured on online dating. That is forcing dating platforms to upend their features, change their marketing messages and find other ways to court this new generation.

Part of the solution, executives say, is how companies are organized. Like employers across corporate America, the leaders of the online-dating

platforms are finding that larger workforces can impede their progress. Match Group in May said it would cut 13% of its workers, or about 325 people, as it reduced management layers—including around one in five managers overall—and returned to smaller teams focused on its products.

Wolfe Herd echoed such a message in her note to staff Wednesday, saying she wanted Bumble to return to a startup mentality and become “a faster, more decisive, and more agile organization.”

Launching new products faster is the goal. One of the challenges online-dating companies face, Wolfe Herd told investors last month, is that

the quality of the experience for many users has deteriorated. Dating apps perform at their best when people get quality matches, go on dates and fall in love. During the pandemic, apps grew by adding people in search of a connection, though that didn’t translate to better outcomes.

“Dating apps don’t work like social networks, where more people and content automatically makes the product better,” Wolfe Herd told investors last month on a call. “What we learned is that just adding more profiles does not guarantee better matches. In fact, it can lead to the opposite: more mismatches, more fake or low-quality profiles, and a frustrating experience.”

EU Launches Probe of Mars’s \$30 Billion Takeover of Kellanova

By Edith Hancock

The European Union said it would launch an in-depth investigation into Mars’s bid to take over Pringles seller Kellanova, escalating its probe into the nearly \$30 billion deal amid concerns it could stifle competition.

The European Commission, the EU’s executive arm, said

on Wednesday that both companies have strong market positions in multiple sectors and countries, with brands that are considered a “must have” for consumers.

Privately held Mars agreed to buy Kellanova in an all-cash deal last August as part of a plan to build out its snacks business—which includes M&M’s, Twix and Skittles—

with Kellanova’s portfolio of products such as Pop-Tarts and Cheez-Its.

The deal would catapult Mars into supermarkets’s chips and crackers aisles. However, it comes as consumer-goods groups have been struggling with customers balking at higher prices as a result of inflation.

The commission said retail-

ers are worried the transaction could increase Mars’s bargaining power and force them to accept higher prices to avoid not being able to sell both its and Kellanova’s products. The commission also said supermarket shoppers could switch to a different retailer if they can’t find the products they want in one.

Mars said that it was disap-

pointed but remained optimistic that the investigation would be resolved positively.

“We have cooperated with the regulatory authorities, furnishing substantial supporting information, and will continue to do so,” the company said.

The deal was previously expected to close in the first half of 2025, but Mars said it now expects to wrap it up toward

the end of the year.

Competition Commissioner Teresa Ribera said the EU executive would look at how the deal might affect product prices in the bloc.

“By acquiring Kellanova, Mars will add several very popular brands of potato chips and cereals to its already broad and strong product portfolio,” she said.

NEW YORK POST BUSINESS REPORT

ON THE MONEY

by CHARLES GASPARINO

Gain insights from veteran financial journalist and FOX business correspondent, Charles Gasparino delivered to your inbox every week.

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TECHNOLOGY

WSJ.com/Tech

Tesla’s EU Sales Slumped in May

Drop in new-car registrations came despite growth in Europe’s EV market

By MAURO ORRU

Tesla’s sales in the European Union logged another steep decline in May, continuing a downward trend for Elon Musk’s electric-vehicle maker even as the bloc’s EV market shows signs of growth.

New-car registrations for Tesla models, a reflection of sales, fell 40.5% to 8,729 vehicles across the EU last month, according to the European Automobile Manufacturers’ Association, an industry body. When including the U.K., Iceland, Liechtenstein, Norway and Switzerland, sales contracted nearly 28% to 13,863 vehicles.

The fall extends a streak of disappointing EU monthly sales for the company. Tesla’s new-car registrations in the bloc slumped nearly 53% in April, 36% in March, 47% in February and 50% in January. December marked the last month when the group logged higher sales in the EU, with 5.9% growth.

May’s decline for Tesla came despite signs that the bloc’s EV market is improving. Sales of battery-electric vehicles increased 25% on year,



Tesla faces tough competition from Chinese rivals and fallout from CEO Musk’s involvement with the Trump administration.

with a nearly 45% jump in Germany alone. Registrations of hybrid-electric cars rose 16%, while plug-in-hybrid models climbed nearly 47%.

Tesla, like many Western carmakers, faces tough competition from Chinese rivals as they seek to expand in Europe. The company is also dealing with the fallout from Musk’s involvement with the Trump administration. The chief ex-

ecutive said last month that his tenure working for the administration was ending.

Investors were concerned that he had taken his eye off the ball. The billionaire wrote in a post on X last month that he had gone back to spending significant time at work, saying he had to be “super focused” on Tesla and his other companies.

The company recently

rolled out its long-awaited robotaxi service in Austin, Texas, as it seeks to compete with the likes of Waymo in the autonomous ride-hailing market. Musk said the company was starting with as many as 20 Tesla Model Ys driving on public roads, before expanding the service further.

The European manufacturing association said overall EU passenger-car registrations

grew 1.6% in May to 926,582 vehicles. Sales were up 1.2% in Germany but down more than 12% in France and 0.1% in Italy.

New-car registrations for Chinese state-owned automaker SAIC Motor jumped 38%, while Germany’s Volkswagen logged 4.8% growth. Stellantis, the owner of the Jeep and Dodge brands, recorded a 5.2% decline in overall sales.

Delta Looks To Online Delivery

Continued from page B1
also opened up in recent years as the U.S. Postal Service began delivering more letters and parcels using its own trucks.

Delta uses a technology platform called SmartKargo,

which links flight schedules to trucking companies that carry packages on the first and final legs of their journeys.

The carrier aims to deliver hundreds of thousands of packages a day in the U.S. in the coming years. UPS delivered an average of 19 million packages a day domestically in 2024. FedEx’s Express and Ground units delivered an average of 15 million parcels a day in its fiscal year ended May 2024.

Cargo generally accounts for less than 3% of passenger airlines’ revenue. In recent

quarters, revenue from the cargo units in Delta, American Airlines Group and United Airlines Holdings has outpaced passenger revenue growth, helping insulate against fluctuations in ticket sales.

American and United also are carrying more e-commerce packages in their cargo holds, but they don’t offer the door-to-door service that Delta does.

There are potential drawbacks to sending a package on a passenger flight: Deliveries could be vulnerable to air-travel delays. And a package

might get bumped from its flight. Passenger luggage gets first dibs for plane belly space. Human organ or tissue deliveries and human remains also get priority over other cargo.

But some businesses are seeking cheaper alternatives to traditional delivery services. Passenger airlines can generally get a parcel delivered within 2½ days, often at a lower price.

GoBolt, a logistics-service provider handling inventory and package deliveries for 400 brands in North America,

started using Delta’s DeliverDirect service in April. So far, it has gone well, said Jarrett Stewart, a senior vice president at GoBolt.

Delta’s on-time performance has been on par with FedEx and UPS, and its delivery costs are 20% to 25% cheaper, Stewart said. Delivering 1,000 parcels by truck for the middle leg of a trip from New Jersey to Miami might cost around \$3,000, or \$3 for a parcel; with a passenger airline, the cost of the middle leg could be pennies for a parcel, he said.

CBS-Trump \$20 Million Deal Pushed

Continued from page B1
The Wall Street Journal previously reported.

Trump alleged in October that the network committed election interference by deceitfully editing a “60 Minutes” interview with Democratic presidential candidate Harris, making her sound better. The lawsuit ultimately sought \$20 billion in damages. CBS has said it didn’t doctor her comments, but rather aired a more succinct version of her response.

Paramount leaders have been wrestling with how to pay to settle the lawsuit without exposing directors and officers to liability in potential future shareholder litigation or to criminal charges for bribing a public official. By settling within the range of what other companies have paid to end litigation with Trump, some Paramount executives have said they hope to minimize such liability, people familiar with the matter said.

Paramount brought in law firm Gibson Dunn to assess whether it could offer more than \$15 million without putting its directors and top executives at risk of future litigation or criminal charges, people familiar with the discussions said.

A potential settlement of \$20 million, including legal fees, would be in line with what other media and tech companies have paid to settle lawsuits from Trump.

In December, Disney settled a defamation lawsuit against its ABC News division and star anchor George Stephanopoulos. Disney agreed to contribute \$15 million to Trump’s presidential foundation or museum and to pay \$1 million in legal fees to Trump’s lawyer.

The CBS suit has hung over Paramount’s planned merger with Skydance Media, and the prospect of settling has angered some of the news organization’s executives and staff.

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Futures Contracts

Metal & Petroleum Futures					
	Contract				Open interest
	Open	High	Low	Settle	Chg
Copper-High (CMX)-25,000 lbs.; \$ per lb.					
June	4.8905	4.8915	4.8900	4.9130	0.0460
Sept	4.9485	4.9850	4.9260	4.9715	0.0440
Gold (CMX)-100 troy oz.; \$ per troy oz.					
June	3321.60	3331.20	3310.60	3327.10	9.70
July	3322.90	3335.60	3312.00	3329.00	9.00
Aug	3338.10	3351.30	3325.50	3343.10	9.20
Sept	3352.00	3363.00	3342.60	3357.90	9.30
Oct	3365.00	3378.90	3353.70	3370.80	9.40
Nov	3388.60	3390.30	3386.70	3385.70	9.60

Palladium (NYM) - 50 troy oz.; \$ per troy oz.					
June	1091.50	1096.00	1084.00	1065.40	-1.60
Sept	1077.50	1083.50	1084.50	1067.40	-1.10
Platinum (NYM) - 50 troy oz.; \$ per troy oz.					
June	1337.70	1345.80	▲ 1303.00	1329.60	25.40
Oct	1331.10	1377.90	▲ 1308.00	1343.00	20.80
Silver (COMEX)-5,000 troy oz.; \$ per troy oz.					
June	35.820	35.820	35.600	36.085	0.384
Sept	36.190	36.615	35.960	36.441	0.374
Crude Oil, Light Sweet (NYM)-1,000 bbls.; \$ per bbl.					
Aug	65.12	66.03	64.51	64.92	0.55
Sept	63.85	64.53	63.20	63.46	0.31
Oct	62.91	63.38	62.19	62.35	0.13
Dec	62.05	62.50	61.16	61.24	-0.16
June '26	62.05	62.47	60.98	61.09	-0.41
Dec	62.33	62.62	61.22	61.37	-0.38
NY Harbor ULSD (NYM)-42,000 gal.; \$ per gal.					
June	2.3242	2.3360	2.2816	2.2964	0.0113
Aug	2.2816	2.2997	2.2495	2.2565	0.0069
Gasoline-NY RBOB (NYM)-42,000 gal.; \$ per gal.					
July	2.1071	2.1217	2.0790	2.0824	-0.0033
Aug	2.0923	2.1083	2.0639	2.0660	-0.0049
Natural Gas (NYM)-10,000 MMBtu.; \$ per MMBtu.					
July	3.549	3.587	3.372	3.406	-0.131
Aug	3.677	3.709	3.554	3.569	-0.086
Sept	3.675	3.706	3.570	3.582	-0.069
Oct	3.767	3.797	3.672	3.686	-0.060
Nov	4.147	4.184	4.071	4.086	-0.048
Jan '26	5.010	5.040	4.945	4.959	-0.035

Agriculture Futures					
Corn (CBT)-5,000 bu.; cents per bu.					
July	415.50	417.50	▼ 408.00	410.25	-6.00
Dec	429.25	430.50	▼ 421.00	422.50	-6.50
Oats (CBT)-5,000 bu.; cents per bu.					
July	357.00	364.75	355.00	359.25	-4.25
Dec	347.00	347.00	338.50	341.00	-3.25
Soybeans (CBT)-5,000 bu.; cents per bu.					
July	1037.00	1041.75	1017.00	1018.50	-18.50
Soybean Meal (CBT)-100 tons; \$ per ton.					
July	280.50	281.00	▼ 275.50	276.00	-4.50
Dec	295.60	295.80	▼ 290.30	290.70	-4.60
Soybean Oil (CBT)-60,000 lbs.; cents per lb.					
July	52.30	52.93	51.64	51.82	-3.35
Dec	52.75	53.34	52.18	52.32	-2.29
Rough Rice (CBT)-2,000 cwt.; \$ per cwt.					
July	13.55	13.58	13.20	13.26	-3.30
Sept	13.90	13.91	13.52	13.59	-3.31
Wheat (CBT)-5,000 bu.; cents per bu.					
July	535.00	537.00	526.50	528.25	-7.50
Sept	551.75	553.50	542.50	544.50	-7.50
Wheat (KC)-5,000 bu.; cents per bu.					
July	535.00	536.50	522.00	524.25	-10.50
Sept	551.50	551.75	537.00	539.25	-10.50
Cattle-Feeder (CME)-50,000 lbs.; cents per lb.					
Aug	303.025	304.300	301.575	302.300	0.050
Sept	303.400	304.475	301.850	302.600	0.150
Cattle-Live (CME)-40,000 lbs.; cents per lb.					
June	222.350	222.825	221.375	221.600	...
Aug	210.000	210.950	208.600	208.975	-5.75
Hogs-Lean (CME)-40,000 lbs.; cents per lb.					
July	111.975	113.075	111.500	112.825	0.600
Aug	110.750	111.775	110.125	111.225	-2.75
Lumber (CME)-27,500 bd. ft.; \$ per 1,000 bd. ft.					
July	609.50	619.00	604.50	618.50	9.00
Sept	638.50	648.50	635.50	648.00	9.00
Milk (CME)-200,000 lbs.; cents per lb.					
June	18.68	18.76	18.67	18.67	...
July	16.96	17.21	▼ 16.94	17.00	0.04
Cocoa (ICE-US)-10 metric tons; \$ per ton.					
July	9.300	9.300	9.138	9.081	-355

Macro & Market Economics

Watching the Gauges: U.S. Supply and Demand

Inventories, imports and demand for the week ended June 20. Current figures are in thousands of barrels or thousands of gallons per day, except natural-gas figures, which are in billions of cubic feet. Natural-gas import and demand data are available monthly only.

Inventories, 000s barrels						Imports, 000s barrels per day					
	Current	Expected change	Previous week	Year ago	4-week avg	5-year avg	Current	Expected change	Previous week	Year ago	4-week avg
Crude oil and petroleum prod						1,230,719	...	1,235	1,296	1,236	1,292
Crude oil						7,723	...	7,342	8,570	7,795	9,004
excl. refined SPR						415,106	-1,300	421	461	426	462
Gasoline						227,938	...	230	234	229	232
Finished gasoline						15,049	200	16	18	15	19
Reformulated						28	...	0	0	0	0
Conventional						15,021	...	16	18	15	19
Blend. components						212,889	...	214	216	214	213
Natural gas (bcf)						2,802	...	3	3	3	3
Kerosene-type						...	...	...	...	...	...
jet fuel						44,520	...	44	44	44	42
Distillates						105,332	700	109	121	108	132
Heating oil						5,734	...	6	8	6	8
Diesel						99,598	...	103	114	102	62
Residual fuel oil						22,676	...	23	28	23	32
Other oils						318,128	...	316	311	315	301
Net crude, petroleum products, incl. SPR						1,633,245	...	1,637	1,668	1,638	1,790

Weekly Demand, 000s barrels per day					
	Current	Expected change	Previous week	Year ago	4-week avg
Total petroleum product					
20,513	...	20,391	20,689	20,049	20,490
Finished					
motor gasoline	9,688	...	9,299	8,969	9,105
Kerosene-type					
jet fuel	1,706	...	1,814	1,683	1,777
Distillates	3,794	...	3,746	3,536	3,517
Residual fuel oil	167	...	352	276	254
Propane/propylene	305	...	825	1,027	625
Other oils	4,854	...	4,354	5,199	4,771

Note: Expected changes are provided by Dow Jones Newswires' survey of analysts. Previous and average inventory data are in millions. Sources: FactSet; Dow Jones Market Data; U.S. Energy Information Administration; Dow Jones Newswires

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds. Preliminary close data as of 4:30 p.m. ET						ETF		Symbol		Closing Price	Chg (%)	YTD (%)		
Wednesday, June 25, 2025						ETF		Symbol		Closing Price	Chg (%)	YTD (%)		
ETF	Symbol	Closing Price	Chg (%)	YTD (%)	ETF	Symbol	Closing Price	Chg (%)	YTD (%)	ETF	Symbol	Closing Price	Chg (%)	YTD (%)
CommSvcsSPDR	XLC	105.21	-0.02	8.7	iSHEMSCIEAFE	EFA	87.56	-0.55	15.8	SchwabUS Div	SCHD	26.20	-1.06	-4.1
DimnUSCISel	XLV	213.05	-1.18	-5.0	iSHEMSCIEAFEValue	EFV	62.41	-0.53	19.0	SchwabUSLC	SCHX	24.03	-0.07	3.7
DimenUSCoreEq2	DFAC	35.20	-0.14	1.8	iSHNatMunBd	MUB	104.19	-0.02	-2.2	SchwabUSLC Gwr	SCHG	28.63	0.41	2.7
EnSelSectorSPDR	XLE	84.54	-0.44	-1.3	iSHRUS5YIGCpBd	IGSB	52.60	-0.06	1.7	SPDR S&P500PctTr	SPDR	557.67	-0.81	-2.1
FinWiseBTC	FBTC	94.13	2.06	15.4	iSH1-3YTreasBd	SHY	82.73	0.02	0.9	TrnSelectSector	XLCX	249.35	0.85	7.2
FinSelSectorSPDR	XLF	51.41	-0.33	6.4	iSHRussMC	IWR	90.57	-0.84	2.5	VanEckSector	SMH	275.20	1.35	13.6
HealthCRetSel	XLY	133.90	0.09	-2.7	iSHRuss1000	IWB	333.46	-0.01	3.5	VangFidVgCslV	VBR	192.73	-0.88	-2.8
IndSelSectorSPDR	XLI	143.78	-0.88	9.1	iSHRuss1000Grw	IWF	415.44	0.35	3.5	VangFidVgMkt	VFMK	202.34	-0.34	3.3
InvsNasdaq100	QQQ	222.73	0.26	5.8	iSHRuss1000Val	IWD	191.48	-0.57	3.4	VangDivAlp	VIG	202.33	-0.34	3.3
InvsCOQQ	QQQM	541.16	0.26	5.9	iSHRuss2000	IWM	211.97	-1.17	-4.1	VangFTSEWldWk	VEU	66.87	-0.32	15.2
InvsS&P500EW	RSP	178.88	-0.72	2.1	iSHS&P500Grwth	IWG	107.83	0.33	6.2	VangFTSEEdwVlk	VEA	55.12	-0.50	16.8
IShBitcoin	IBIT	61.27	2.02	15.5	iSHS&P500Value	IVE	192.51	-0.32	0.9	VangFTSEEM	VWO	49.61	0.24	11.9
IShBrJUSDHYCpBd	USHY	37.31	...	1.4	iSH7-10YTreasBd	IEF	95.30	0.04	3.1	VangFTSE Europe	VWG	75.96	-0.61	19.7
IShCoreDivGrwth	DGRO	63.00	-0.36	2.7	iSHShortTreaBd	SHV	110.36	0.01	0.2	VangVgCslV	VVM	430.27	0.45	4.8
IShCoreMSCIEAFE	IEFA	91.56	-0.48	16.1	iSH20+YTreasBd	TLT	87.51	0.13	0.2	VangHdVr	YUG	130.99	-0.48	2.7
IShCoreMSCIEM	IEMG	99.55	0.07	14.0	iSHUSTreasuryBd	GOVT	22.81	0.09	-0.4	VangIndtCm	VIGI	652.04	0.82	4.7
IShCoreMSCITotInt	IXMG	76.03	-0.28	15.0	iSH3-MTreasBd	SGOV	100.60	0.01	0.3	VangIntTmBd	BIV	76.99	0.30	3.6
IShCoreS&P500	IUV	609.96	0.07	3.6	JPMNasdaqPrem	JEQ	53.94	0.26	-4.4	VangIntPrCmBd	VCIT	81.05	-0.25	2.7
IShCoreS&P MC	IHJ	61.04	-0.80	-2.0	JPMHendersonAAA	JAAA	50.66	-0.08	-0.1	VangIntTermC	VGIT	59.60	0.07	2.8
IShCoreS&P SC	ITR	107.56	-0.99	-6.6	JPMJPmPrem	JEP	56.36	-0.37	-2.0	VangLgC	VV	28.41	0.19	4.3
IShCoreS&PPTUS	IPOT	147.35	-0.11	3.1	JPUSUITShlcm	JPST	50.61	...	0.5	VangMegaGrwth	MGK	359.49	0.45	4.7
IShCoreS&PUSGrw	USMG	147.35	0.28	5.7	PacerUSCashCows	QOWZ	54.34	-0.69	-3.8	VangMgC	MO	275.79	-0.72	4.4
IShCoreS&PUSVal	IEFA	91.56	-0.48	16.1	ProSHUIPrQQQ	TIQQ	78.48	0.77	-0.8	VangRealEst	VNQ	89.28	-2.41	0.2
IShCoreTotUSDvBd	IUSB	46.03	0.02	1.8	SPDRBiog1-3MTB	BIL	91.67	0.01	0.3	VangRuss1000Grw	VGRW	106.92	0.38	3.5
IShCoreUSAggBd	AGG	98.81	-0.01	2.0	SPDRDJIA Tr	DIA	426.86	-0.22	1.0	VangSP500ETF	VSPY	557.67	-0.81	-2.1
IShEdgeMSCMinUSA	USMV	92.35	-0.86	4.0	SPDRGold	GLD	207.12	0.30	26.8	VangST Bond	VBS	78.52	-0.03	1.6
IShEdgeMSCUSAQAL	QUAL	179.37	-0.13	0.7	SPDRITDivdVUS	SPDIV	39.64	-0.43	16.1	VangSTBd	BSCH	79.27	-0.05	1.6
IShGoldTr	IAU	62.85	0.27	26.9	SPDRS&P500Value	SPV	51.64	-0.25	1.0	VangSTC	VB	233.78	0.03	0.9
IShIBOXSIGCpBd	LQB	108.79	-0.12	1.8	SPDRS&P500	SPY	716.3	0.06	3.9	VangTgTExemptBd	VTEB	48.90	-0.02	-2.5
IShIBOXS	MDD	93.54	0.02	2.0	SPDRS&P500Grwth	SPYG	93.37	0.37	6.2	VangTotalBd	BND	73.30	0.03	1.9
IShMSCIACWI	ACWI	126.41	-0.07	7.6	SPDRS&P500	SPY	67.12	0.06	3.6	VangTottntBd	BNDX	49.43	-0.08	0.8
					SchwabIntEq	SCHF	21.66	-0.53	1.7	VangTotntStk	VTS	299.36	-0.12	3.2
					SchwabUS DivMkt	SCHB	23.99	-0.08	3.0	VangTotntStk	VTV	299.36	-0.12	3.2
										VangTotWrldStk	VT	126.27	-0.17	7.5
										VangValue	VTV	174.97	-0.54	3.3

HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Nvidia Threatens Giants With Cloud Move

Things are getting awkward for tech incumbents as the AI-chip manufacturer eyes their turf

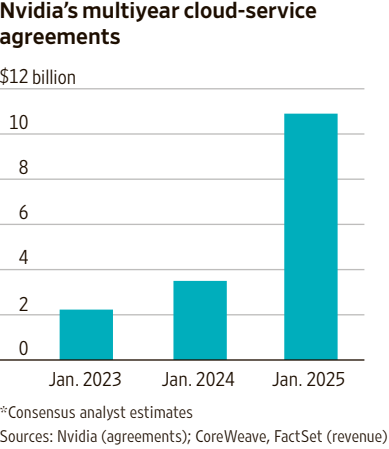
Cloud computing generates big profits for **Amazon.com**, **Microsoft** and Google. Now that cash cow faces a nascent threat with the rise of artificial-intelligence cloud specialists and a new industry power broker: **Nvidia**. AI-chip maker Nvidia launched its own cloud-computing service two years ago called DGX Cloud. It also nurtured upstarts competing with the big cloud companies, investing in AI cloud players **CoreWeave** and **Lambda**. Those moves have yet to make an enormous dent, but a competitive shift is easy to imagine if computing demand continues to shift toward AI and Nvidia remains the sector's principal arms dealer.

DGX Cloud is already growing fast. UBS analysts estimated when it launched that it could grow into a more than \$10 billion annual revenue business. And CoreWeave, which listed shares on the Nasdaq in March, is forecasting around \$5 billion of revenue this year.

Those businesses are limited by their narrow focus on AI computing, and they pale in comparison to the more than \$107 billion of sales Amazon's market-leading cloud business generated last year.

Yet any challenge in cloud computing would be worrying for Amazon: While the company's

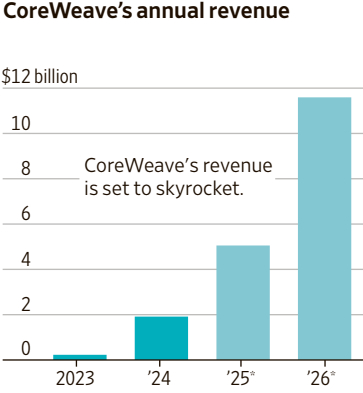
Nvidia is raising spending on computing infrastructure to help DGX Cloud grow, and has also invested in AI cloud upstart CoreWeave.



cloud division accounted for 29% of its revenue in its latest quarter, it accounted for more than 60% of its operating income thanks to its high margins.

Microsoft and **Alphabet's** Google, the next two largest cloud companies, have a lot to lose if the cloud-computing landscape shifts, too. Growing macroeconomic concerns are raising caution about IT spending. Google is under antitrust scrutiny in the U.S., and its golden goose—the search engine—is being challenged by OpenAI.

All the big cloud companies effectively offer AI chips for rent, many of them made by Nvidia,



which has a market share estimated at around 80%. In what is perhaps a testament to Nvidia's market power, though, the cloud companies are helping Nvidia grow its own cloud business.

Under DGX Cloud's unusual arrangement, the cloud giants buy and manage equipment—including Nvidia's chips—that forms the backbone of the service. Then Nvidia leases back that equipment from them and rents it out to corporate clients.

It also offers access to its AI experts and software as part of the package.

That has left cloud-computing giants in an uncomfortable posi-

tion. While they make money through the arrangement, they are also being asked to help a service that could compete with them.

Some of them haven't rushed to participate, even if they do eventually join up; Google was notably absent from a roster of companies participating in a DGX Cloud chip-rental marketplace announced in May.

Roy Ilsley, the chief analyst at tech research firm Omdia, said participating made sense for the cloud companies a couple of years ago because their own AI services weren't well-developed, although they have gotten better recently. "They needed to respond to the market when the AI revolution took off, and what Nvidia did was give them a solution when they hadn't got their own ducks in order," he said.

It isn't clear how big DGX Cloud is—Nvidia doesn't break out its revenue or profits. But the company said in its latest fiscal year that it had \$10.9 billion in multiyear cloud-service agreements, up from \$3.5 billion the year before, in large part to support DGX Cloud. If the service is more than breaking even—a fair bet given usually high cloud-computing profit margins—that is already a fairly sizable business.

Nvidia is adamant that it isn't trying to outshine the cloud-com-

puting giants with DGX Cloud. In the company's telling, it aims to help connect customers with AI computing power and Nvidia's expertise in ways that weren't otherwise possible.

That may be true for now, but it would be naive to think Nvidia doesn't have any further designs. At minimum, DGX Cloud gives Nvidia an option in the future to grow a big cloud business and the power now to help shape how AI is developed. Some of the same logic likely helps drive its investments in CoreWeave and Lambda.

Nvidia has reason to be wary of the durability of its relationships with the existing cloud players, too: As it encroaches on the cloud giants' territory, they are increasingly trespassing on Nvidia's.

All of the cloud giants are developing their own custom AI chips that eventually could supplant Nvidia's. That would save them money at the expense of Nvidia's revenue, unless the chip maker can find it somewhere else.

As Nvidia seeks new areas to conquer after its runaway AI success, cloud computing looks increasingly like fertile territory—even if some of its biggest customers may not be thrilled about it.

—Asa Fitch

A Blockbuster Investing Lesson

The next Netflix or Amazon may be lost in AI hype

With bidding wars for AI companies and talent in the news almost every day, is the next trillion-dollar opportunity getting the cold shoulder?

Please be kind and rewind 25 years to when one dominant company missed a monster opportunity and another agreed to what's been called the worst deal in history. They show that fast-growing, asset-light businesses can "disrupt" existing ones but also risk getting disrupted themselves after attracting silly prices.

Before anyone could imagine it becoming the world's most valuable entertainment company, Netflix co-founders Reed Hastings and Marc Randolph were renting DVDs by mail. The brick-and-mortar video-rental business was dominated by Blockbuster. According to Hastings and Randolph, the two met that year with Blockbuster and offered to sell themselves to the chain for \$50 million.

They were practically laughed out of the room. Netflix shareholders, now sitting on a company worth 10,000 times that spurned offer, are laughing all the way to the bank. Blockbuster filed for bankruptcy a decade later. You can stream a documentary about the world's last Blockbuster video store...it's on Netflix.

The same year, with internet pixie dust in its eyes, media giant Time Warner entered the largest merger in history with web portal AOL. From The Wall Street Journal's coverage that day: "Time Warner has essentially admitted that its own costly efforts to move the company into the digital era have failed, forcing it to hitch a ride into the future with AOL."

Two years after the deal closed Time Warner admitted it had made a gigantic mistake, removing "AOL" from the company's name. Technology moved on and imagined synergies didn't work out.

Hindsight is 20/20, but some executives have vision while the supposed best and brightest lack it. In 1997, Amazon founder Jeff Bezos, who doesn't have an M.B.A., gave a presentation to a class at Harvard Business School about his company. They formed a group to discuss it, and this was what one told Bezos, according to Brad Stone, author of "The Everything Store":

"You seem like a really nice guy, so don't take this the wrong way, but you really need to sell to Barnes & Noble and get out now."

Who knows what would have been if Netflix or Amazon had become units of large, hidebound competitors.



Scenes from 'The Last Blockbuster' documentary, with interviews with actor Doug Benson and director Kevin Smith.



We do know why dominant companies fail to embrace the future until it's too late. Executives don't want to cannibalize existing, profitable businesses they understand for ones they don't. By the time their businesses are losing customers, prices are more than full and the next iteration of the disruptive technology is about to make the original one look quaint.

Small investors aren't the only ones who suffer from FOMO.

—Spencer Jakab

FINANCE

Startup Kalshi Hits \$2 Billion Valuation

By ALEXANDER OSIPOVICH

Kalshi, a startup prediction market that became a popular way to bet on the November election, said Wednesday that it had been valued at \$2 billion in a new funding round, a vote of confidence in its business of facilitating wagers on future events.

New York-based Kalshi, which offers yes-or-no contracts allowing users to bet on topics ranging from hurricanes to the National Basketball Association finals to the Oscars, said it had raised \$185 million from investors led by **Paradigm**, a venture-capital firm best known for its crypto investments. The round values Kalshi at \$2 billion, cementing its status as a "unicorn," with a valuation in the billions.

Kalshi co-founder and Chief Executive Tarek Mansour said

the funding would go, in part, to scaling up its tech team so it can integrate with more brokers. **Robinhood Markets** and **Webull** already offer their customers access to Kalshi's contracts, which are also available to be traded directly through Kalshi's own website. More than a dozen other broker integrations are in the works, Mansour said.

Silicon Valley venture-capital giant **Sequoia Capital**, crypto investor Multicoin Capital and Citadel Securities CEO Peng Zhao also took part in the funding round, with Zhao investing in his personal capacity. News of the funding round was earlier reported by Bloomberg News.

Last year, Kalshi won a court battle with the Commodity Futures Trading Commission allowing it to list contracts on the outcome of

elections, which the regulator had previously blocked. The court win came just in time for the November showdown between Donald Trump and Kamala Harris, and led to a surge of trading on Kalshi.

After the election, Kalshi's trading volumes subsided, and the platform has pushed hard into sports. About 79% of its daily trading volume in March and early April was sports-related, Bloomberg Intelligence data shows.

State gambling regulators in Nevada and New Jersey have sought to block Kalshi's sports bets. Kalshi has so far fended off their efforts, arguing that its federal license from the CFTC allows it to offer sports-related event contracts in all 50 states.

The additional funding could help Kalshi fend off a rival platform, Polymarket, which also

attracted huge trading volumes during the November election. Polymarket doesn't have a CFTC license, and it blocks Americans from its markets to avoid running afoul of U.S. regulators, but it has been working toward gaining access to the U.S.

Proponents of prediction markets have argued for decades that they can be a useful tool for forecasting the probability of future events.

Last year, traders at Kalshi and Polymarket correctly bet on a Trump victory, even as many opinion polls showed a dead heat between Trump and Harris, in a big win for the concept of prediction markets.

But such platforms remain a relatively niche area, and past ventures such as Intrade, a prediction market that shut down in 2013, have failed to take off.

Crude-Oil Stockpiles Drop for Fifth Week

By ANTHONY HARRUP

U.S. crude-oil inventories posted a fifth straight weekly decline, leaving stocks 11% below the five-year average for the time of year, according to data released Wednesday by the U.S. Energy Information Administration.

Commercial crude-oil stocks excluding the Strategic Petroleum Reserve fell 5.8 million barrels to 415.1 million barrels in the week ended June 20, the EIA said. Analysts surveyed by The Wall Street Journal had predicted crude stockpiles would fall 1.3 million barrels.

Oil stored in the SPR rose 237,000 barrels to 402.5 million barrels. Oil stocks at Cushing, Okla., the Nymex delivery hub, were down by 464,000 barrels

at 22.2 million barrels.

Estimated U.S. crude-oil production was steady at 13.4 million barrels a day. Imports rose 439,000 barrels a day to 5.9 million barrels a day and exports fell 91,000 barrels a day to 4.3 million barrels a day.

Refinery capacity use increased 1.5 percentage points to 94.7%, compared with expectations of a half-percentage-point increase in the Journal survey. Crude oil input to refineries increased 125,000 barrels a day to just under 17 million barrels a day.

Gasoline stocks fell 2.1 million barrels to 227.9 million barrels against expectations of a 200,000 barrel increase, and were about 3% below the five-year average. Gasoline demand rose 389,000 barrels a day to 9.7 million barrels a day.

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